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National Development Strategy 2020

ACTIVE SOCIETY, COMPETITIVE ECONOMY, EFFICIENT STATE

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INTRODUCTION

Position and role of the National Development Strategy 2020

The National Development Strategy 2020 (NDS) is a part of the new national development management system, the foundation of which are determined by the amended law of 6 December 2006 on the principles of development policy (Polish Journal of Laws [Dz.U.] of 2009 No 84, item 712, as amended) and by the document on Poland's Development Management System, adopted by the Council of Ministers on 27 April 2009.

Due to the need to adjust the National Development Strategy 2007-2015, adopted on 29 November 2006, to the new socio-economic conditions and to the internal and external challenges, as well as to the requirements of the introduced development policy management system, it was decided to update it and to extend its time horizon until 2020. The efforts to update the strategy were correlated with the work on other strategic documents under development, such as the Long-term National Development Strategy and the Integrated Strategies.

The main strategic documents of the new system, on the basis of which the development policy is implemented, include: Long-Term National Development Strategy - LTNDS (Poland 2030 - Third Wave of Modernity) which defines major trends and challenges as well as the concept of development of the country in the long-term, Medium-Term National Development Strategy - MTNDS (National Development Strategy 2020) which is the most important document in the medium term, setting out strategic objectives for the development of the country until 2020, and key in determining the development activities, including those that can potentially be funded under the UE financial perspective 2014-2020 and under 9 Integrated Strategies whose aim is to assist in achieving the development objectives: Strategy for Innovation and Efficiency of the Economy, Human Capital Development Strategy, Transport Development Strategy, Energy Security and the Environment, Efficient State, Social Capital Development Strategy, National Strategy of Regional Development 2010-2020. Regions, cities, rural areas, Strategy for Development of the National Security System, Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries. LTNDS, MTNDS and the 9 Integrated Strategies are joined by a coherent hierarchy of objectives and directions for intervention. The Integrated Strategies depart from a narrow sectoral approach, instead they focus on the integration of areas and on the permeability of various phenomena and processes. The National Strategy of Regional Development, which indicates the extent of the territorial impact of interventions implemented under various public policies, and therefore also under the remaining Integrated Strategies, has a particular role in the entire system. It sets out the key regional development challenges and outlines the development objectives in various areas, taking into account the functions such objectives perform as well as the existing potentials and barriers.

The concept of spatial development of the country (National Spatial Development Concept 2030)¹ represents the spatial framework for the development policy in Poland, including the implementation of various development strategies. It is the main strategic document for the creation of spatial order in Poland, which also addresses the issues related to the development, where the space is treated as a plane of reference for development activities.

¹ National Spatial Development Concept 2030, adopted by the Council of Ministers on 13 December 2011





Figure 1. The system of strategic documents.

The work on national strategic documents coincided with the elaboration of the development objectives for the EU in its primary document - EU strategy for smart, sustainable and inclusive growth - Europe 2020 (Europe 2020 strategy), in particular with drafting the National Reform Programme (NRP) for the implementation of Europe 2020. The National Reform Programme, which is an important part of the national system of strategic documents, determines the manner of implementation of the actions set out in these policy documents so that they fit in the priorities of the common actions across the EU. The annual update of NRP, provided under the so called European Semester, makes it possible to flexibly respond to the changing conditions of the implementation of priorities set out in the MTNDS.

On the one hand, national documents transfer the European challenges into national ground, and on the other, they enable active participation in the formulation of strategic objectives of the EU through the identification of national potentials and barriers. The development objectives and priorities indicated in the national documents are, to a significant extent, a part of the European objectives, and are consistent with them.



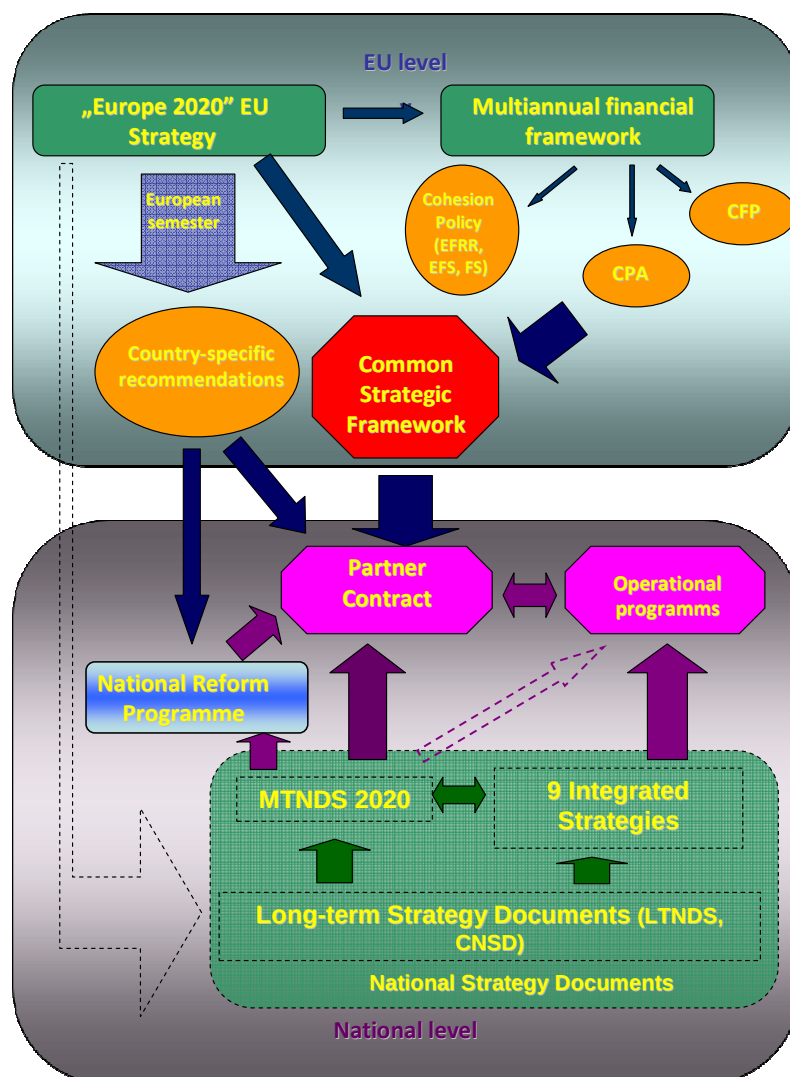


Figure 2. The relationships between the national and the EU documents.

The diagnostic basis for drafting the national development strategies is the report „Poland 2030. Development Challenges”², presenting the challenges and recommendations in the key developmental areas of the functioning of the state.

MTNDS, the main strategy for development in the medium term, while accounting for the key challenges included in LTNDS, points the strategic objectives of the country, undertaking of which is crucial in the perspective of the next few years to strengthen the processes of development (along with an estimate of the necessary funds).

MTNDS presents the development scenario resulting, among others, from an analysis of the barriers and risks as well as of the existing potentials, and of the ability to finance the operations designed.

The National Development Strategy 2020 is based on a sustainable development scenario. The success in realizing all the objectives set for in this Strategy will depend on many factors, both

² Poland 2011 Report. Economy, Society, Region, adopted by the Council of Ministers on 2 November 2011.



internal and external, which may affect the availability of funds for its implementation. The development of the situation in the global economy, especially in the euro area, shall be of particular importance. The experience of financial and economic crisis, which broke out in 2008 and affected mainly the developed countries, including the EU countries, has shown that due to the openness of the economies of individual countries and to their growing interdependence, the scope and scale of impact of emerging phenomena and crisis processes on the economies of individual countries is significant and may require verification of ambitious development plans. In the case of Poland, what will have the most significant impact on the implementation of the National Development Strategy 2020 is the situation in individual EU countries and the stability of the euro area.

The amount of EU funds which Poland may expect to obtain under the 2014-2020 EU financial perspective is yet unknown. The EU funds may be an important source of funding for development activities, but will still require involvement of the national public funds.

In the coming years, it will be crucial to reconcile the need to balance the public finances and to increase savings, while pursuing the development based on removing major barriers in its expansion, but also the growth increasingly based on education, digitization and innovation.

It is particularly important to introduce systemic, competence and institutional changes, promoting the release of development potentials, reserves and resources.

MTNDS sets out the strategic areas where the main activities shall focus, and it defines the kinds of interventions necessary in the medium-term perspective in order to accelerate the development processes. The MTNDS is thus a reference to a new generation of strategic documents prepared in Poland for the programming of EU funds for 2014-2020. This is even more important since the programming system was significantly modified in the programming document proposed in the model of legal regulations for the EU cohesion policy for the years 2014-2020; the model contains no document such as the National Development Plan or the National Strategic Reference Framework. So it is the MTNDS that creates the essential framework for the structural intervention to be undertaken in Poland within the various European policies in the next programming period 2014-2020. MTNDS reinforces the importance of cohesion policy as an instrument of national objectives, while maintaining the solidarity of Europe.

The medium-term strategy identifies actions to be taken, involving the removal of barriers to development, of specific "bottlenecks", including weakness of the Polish economy revealed by the economic crisis, while focusing on the socio-economic and spatial potentials which may stimulate the growth if properly reinforced.

The MTNDS makes the choice and it focuses on factors enabling the achievement of strategic objectives. At the same time, it shows consequence of developmental processes in various areas and their interdependencies. The use of these relationships and of the existing feedbacks will enhance the effects of actions in the multiannual perspective. On the other hand, a delay in implementation of activities in one area may prevent the realization of the objectives set up in other related strategic areas. Therefore, public intervention should make use of and strengthen the feedback loops as a source of added value, consisting in impact on many interrelated areas in the long run.

The MTNDS accounts for the results of assessment of development activities taken so far and for recommendations for development policy, contained in the document Poland 2011 Economy - Society - Regions, drafted by the Ministry of Regional Development.³

The MTNDS is not only directed to public administration. It integrates around the strategic objectives all of the public entities as well as economic and social circles involved in development

³ Poland 2011 Report. Economy, Society, Region, adopted by the Council of Ministers on 2 November 2011



and which may support it, both at central and regional levels. MTNDS indicates the reforms necessary to limit or eliminate the barriers to socio-economic development, the indicative timetable for their implementation and the way of funding the projected activities (it includes a long-term framework plan of public expenditure on development activities).

The Strategy draws attention to the territorial dimension of actions taken and to the need to strengthen and use more effectively the regional potentials. Therefore, it sees the importance of local government and of other entities in enhancing the development of regions and of the country.

Until 2020, the strategic emphasis will be placed primarily on strengthening the potentials which would ensure the future long-term development, and not only on the direct funds allocation in the areas of major deficits. Thus, the MTNDS does not develop all the areas relevant to the very fact of the functioning of the state, but it focuses mainly on those areas where actions should be taken to strengthen and accelerate the development process (including the necessary structural changes) over the next ten years.

The MTNDS is the base for the 9 Integrated Strategies which should contribute to the realization of the objectives set out in the MTNDS, develop the actions designed therein, and detail the reforms indicated in MTNDS. The role of Integrated Strategies shall be to specify the directions of the activity and to provide the instruments for implementing the strategic tasks determined for the state.

The conditions and development trends for the period until 2020

The development of the country is a complex process, affected by numerous internal and external factors. Formulation of the development policy requires an in-depth analysis and the willingness and courage to actively and effectively minimize the negative impact of adverse trends.

The international conditions are subject to constant dynamic transformations, including in the dimension of global economy, which is one of the biggest challenges for long- and medium-term development of Poland, as well as for its current interests, commitments and actions. Periodic tensions and disturbances, both in the countries playing the leading role in the world and in smaller scale economies, that shape global and European economic situation, are a particular determinant in this context. The scope and strength of their impact on Poland is significant and may be higher, given the increasing openness of the Polish economy. The world crisis related phenomena and processes in particular restrict the conditions and limit the dynamics of Polish exports, which in turn affects the growth of the country's economy. At the same time, the temporary financial problems substantially restrict the inflow of foreign capital to Poland and the growth funding opportunities.

It should be noted that Polish membership in the EU - together with the stability of the internal economy structures, including the strength and vitality of Polish companies - contributes to strengthening the resilience to these shocks and crises in foreign markets. Anticipating, however, the economic growth, both - appropriate strategic options and prudential rules in economic and financial policy - should be taken into account.

A condition necessary for the country to develop, and thus the direction of state activity, is strengthening the position and role in the international community, including national security. Poland has already reached a high level of international security, but the phenomena that may pose a threat to this status (natural disasters, cyber attacks, terrorism, and regional outbreaks of tension) cannot be ruled out. Therefore, it is necessary to constantly develop the national



security system, allowing Poland to respond effectively to the contemporary challenges and potential threats to its security and other vital interests.

Polish international position is on the one hand closely related to the development potential of the country, and on the other, it determines the possibilities of implementing the national development strategy, including the specific interests and projects.

The period until 2020 is going to be a period of intense exploration of development models for socio-economic and political systems, of models that would take into account the experience of the economic crisis and the global challenges related to the need of expanding the innovation potential of the economy and of providing a stable basis for growth. It will be necessary to raise the awareness of the smart, sustainable and inclusive growth stimulation, in accordance with the Europe 2020 strategy. At the same time, the meaning of the non-state actors with global reach (for example network online communities, multinational corporations) would increase.

The growing economic and political importance of developing countries shall change the world balance of power, which in turn will affect the global system of market regulations and of management of hazards and risks arising from these global challenges. The most important risks include: *financial* - associated with the instability of financial markets, *environmental* - associated with environmental degradation and consequent adverse natural phenomena, *energetic* - the very small supply of energy (global) and the impact it may have on the economic development of countries, *food* – related to the instability of markets and to the growing demand for agricultural products, *technical* - associated with the adverse effects of civilization leading to technical disasters, *epidemiological* - related to the possibility of a pandemic of an unknown aetiology.

The growing global demand for products, services and capital goods in the context of these threats and risks will stimulate the search for new technologies and ways of increasing the efficiency of production activity, and will simultaneously lead to the creation of new consumption patterns and lifestyles. Consequently, the main mechanism driving the restructuring and development of global economy will be the widely understood innovation, both technological and organizational or social. Management theorists postulate the transition from business models of enterprises based on the principle of profit maximization into models based on the principle of the divided value, for which the source of value and development is to balance competition with cooperation, find synergies and optimally use the distributed potentials, which becomes possible through the use of new communication techniques.

Polish economy is an integral part of the global economic system, therefore one of the key factors influencing the economic development of the country is the global economic situation. The dynamics of Polish economy and its dependence on the cycles and trends of the world system result from the direct economic ties, from the conditions on world markets, and from the consequences of participation in the EU common market and in multilateral free trade agreements. As an entity in international trade relations, Poland is also a link in the global supply chain, and therefore is not only subject to the principles of cooperation in international trade, but also has an influence on the shape of those principles.

The accession to the European Communities has a significant impact on the image of contemporary Poland. The consequences of integration are visible in virtually all areas of social and economic life. There is no doubt that membership in the European Union will continue to be a factor significantly influencing the pace and direction of development of the country.

The competitiveness of Polish economy is still low. Its backwardness in relation to the most economically advanced countries results mainly from its structure, based largely on traditional manufacturing and services, as well as from low levels of capital accumulation and of the use of human capital. The current economic growth relies heavily on the use of the “underdevelopment benefit” (economic benefit resulting from the omission of certain stages of development). Polish



economic potential could not be fully exploited due to the relatively low rates of savings and investment, the low employment rate and the insufficient productivity growth rate.

Meanwhile, the participation of Poland in international economic relations results in a situation where to act effectively in a competitive environment one must constantly develop potential and build advantages. Competition forces the entire national economy and the entities that create it to improve the management efficiency. The existing competitive advantages, based primarily on low labour costs, lose their significance. It is necessary to develop new strengths. As a result, the companies using older, less efficient business models and production technologies are in the need for extensive modernization and should base their action on an overall innovation, that is on finding and implementing organizational, process, technology, products and marketing innovation.

Along with adapting new technologies, a progressive reorientation of Polish exports towards products of a higher technological level shall take place. The competitiveness of Polish export will primarily be created in industries using medium and high technology. Competitive advantage should be increasingly based on high innovation, knowledge and creativity, on effects of scale and, increasingly, on cooperative relationships. In cooperation within the cluster structures, also small- and medium-sized enterprises can create products able to compete in the global market - regional, national and EU special commodities that may successfully compete with the traditional areas of comparative advantages of countries, including the BRIC countries. Favourable transformations in the structure of trade will be accompanied by continued importance of exports in agri-food sector, based largely on food produced using integrated, organic, traditional and regional methods and local raw materials.

Business and professional openness, willingness to cooperate and to enter in joint investment projects, namely the characteristics conditioned by the quality of social capital, promote economic development. The essence of social capital is its ability to network the resources, to integrate the activities and to develop voluntary cooperation in various spheres of life; for that reason social capital is one of the basic factors determining the productivity and innovation of the country. Due to the specific historical conditions, the social capital that is being developed in Poland usually takes the form of closed social networks, operating in isolation from institutions and from each other, often aimed at survival and adaptation rather than at development and innovation. The condition to convert the patterns of survival and adaptation to the pattern of development is to increase the level of social capital, based on open social networks, including the cooperation and communication chains of various communities, citizens and institutions.

The increasing consumer demand of the society shall increasingly affect the economic development. The growing wealth and higher material aspirations of the Poles will translate into a desire to achieve the standard of living comparable to that in the "old Union". The pursuit of cultural models and lifestyles of the affluent societies will be reflected in the structure of demand. As a result, the production of consumer goods, trade and services shall develop. Therefore, the activities for effective implementation of the principles of sustainable production and consumption, particularly shaping the pro-environmental attitudes of consumers and promoting a healthy lifestyle, shall be important. The economic importance of small and medium enterprises, capable of more flexible operation on the market and able to present individualized, unique offers, shall also increase.

Chances and opportunities for modernization and development of long-term competitive position of the country depend not only on the enterprises adaptability, but also on many other key factors of an internal nature: demographic trends, quality of human capital, access to basic energy resources, environmental situation, prospects for development of science, engineering and technology, territorial cohesion and the quality of spatial order, condition of infrastructure, funding possibilities for socio-economic development, determination of the authorities and



partner cooperation in reforming the country, culture promoting values and social practices enhancing development.

The demographic situation shapes the important determinants of economic development: potential consumer demand and potential supply of labour. The labour market will undergo a further transformation, not only because of the aging of the Polish population and the deteriorating labour force structure. Demographic processes will be accompanied by migratory pressures resulting from the globalization trends and from the opening, after the Polish accession to the European Union, of many attractive foreign labour markets, and by increasing domestic demand for jobs after the economic upturn. Consequently, legislative changes will be required, aimed at lengthening the working life and reducing the system capacity for early retirement. The problems resulting from too large share of workers in low-productive sectors of the economy (including agriculture), as well as from the low economic activity of the Poles and from the low employment rate, especially of women, will require solutions. The aging of the Polish population is also a major challenge for the health care system – it will be necessary to match the supply of health services to the demand for them, changing due to the demographic and epidemiological factors, and to introduce system solutions for the pharmaceutical care of elderly people.

The conditions for access to non-renewable resources, including energy, shall be an important factor of the future competitive position of the country. In the perspective of ten years, the energy carriers such as: coal, petroleum and natural gas will keep their primary role in energy balance of the country. Consequently, the development of the economy and its competitiveness will depend on the access to markets for these materials and their degree of monopolization. The potential opportunity lies in hydrocarbon resources from unconventional deposits, which may substantially alter the energy balance of the country. At the same time, due to technical and technological progress, the opportunities for obtaining raw materials from renewable sources and for using nuclear energy will increase.

Increasing demographic pressure and economic development affect the global ecosystem on an unprecedented scale. The problem of maintaining a healthy environment, able to reproduce its resources and biodiversity, has grown into a key political, economic and social problem, becoming a domain of increasing interest of national, regional and local authorities. Key issues arising from the civilization pressure on the environment concern the water (protection against floods, drought and water shortage, and ensuring access to clean water) and waste management (waste treatment hierarchy maintenance, usage of the best available techniques and technologies and product life cycle analysis), maintaining the biodiversity (nature and landscape protection), and air protection. Appropriate protection and response to the effects of climate changes, especially the excessive warming of the atmosphere – the so called greenhouse effect, and the changes resulting from floods, droughts and adverse weather events of high intensity have become a matter of special importance. Also the changes taking place in the protection and sustainable use of biodiversity will be considered. Creating a flexible climate monitoring systems for rapid response and organization of appropriate safeguards to reduce the scale of the damage and devastation becomes a task of paramount importance. A transition is necessary towards a green, low carbon economy, with a view to create new sources of economic growth based on the development of environmental technologies, and conducive to the creation of green jobs. This will require a set of flexible and complementary instruments (economic, legislative, informational), and strengthening of cooperation with the private sector, in particular with industry organizations.

Scientific and technological developments and their practical use in the economy increasingly determine the competitive position of the country and of enterprises. Innovation and technological race enhance competition and lead the entrepreneurs to adopting various business strategies involving - apart from self-development and implementation of innovation - creation



of strategic alliances of companies, their mergers and various forms of amalgamation. The relationship between technological change and economic growth is bilateral in nature. Technological changes stimulate economic growth, which – in turn - encourages the development of technology. Technological progress is the most important factor of productivity growth, and it will remain so in the coming decades. As a result, the technological progress and the associated increase in productivity will contribute to reductions in mature sectors of the economy, but at the same time the new technologies will stimulate the development of new markets and the demand for labour in new branches of production and services. Non-technological innovations, for example in organization, procedures and product marketing, also play an important role in improving innovation and competitiveness of the economy. In contrast to the technological innovations that require substantial financial resources for research, testing and implementation, the organizational or procedural innovations are characterized by lower cost consumption. Moreover, such solutions may lead to fast gain of a competitive advantage for the businesses that implement them. Non-technological innovation is often being developed in a processes of cooperation between entrepreneurs and their customers, leading to stronger consumer loyalty to a product or service.

The key vector of the development of technologies of strategic importance in the world will be the intensification of the consequences of the digital revolution and the resulting new opportunities to create economic value (for example processing the large data sets - the so called *Big Data* as a source of new business models), which means new challenges for Polish entrepreneurs - yet poorly prepared for the wave of change.

An important factor in the development of the system shall be the benefits – for the economy, society and the country - arising from an increased and more efficient access to ICT resources and from opportunities of cyberspace, while ensuring a high level of security for all the users. Conducting an educational campaign in this regard in the media, as well as implementation of appropriate training in companies and of training programs for public administration will largely contribute to the development of social capital, particularly by increasing the digital literacy of society and the activity of the citizens.

The attempts to meet the growing demands of society undergoing modernization will be a challenge and a development stimulus for local government units. In order to be development poles, cities need to become more friendly places to live in, work, conduct business activity, and enjoy cultural goods, leisure and entertainment. This will require an active investment policy, carried out mainly at the local level, as well as the release of market potentials, able to meet the growing needs and aspirations of the population.

The basic condition for achieving the national development objectives is to restore and preserve the spatial order to meet the needs of social, economic, environmental, cultural and compositional aesthetic. Structured and integrated space facilitates the functioning of society and of the economy by creating conditions for the efficient development processes, and, ultimately, it improves the quality of life. The lack of organization in the areas of development entails growth of outlays (private and public) for their maintenance, and generates an increase of investment and business costs.

Differentiation in terms of territorial development exists in Poland in various breakdowns - between urban and rural, metropolitan and peripheral regions, and between historically shaped districts or voivodeships. The current level of development significantly determines the possibilities of improvement in the coming years and it requires the mobilization of stronger diffusion processes.

The availability of transport and infrastructure is an important factor in the development process. Underdevelopment and inconsistencies in this area, inadequate infrastructure and its mismatch to the needs of socio-economic and spatial development require continuous modernization



efforts. Gradual improvement of the transport network in Poland as well as the connections with other European countries and with the world shall – on the one hand - dynamize the development of the country and of individual regions, but - on the other hand - it shall require substantial public funding.

Funding for the socio-economic development on a global scale in the long-term is always rooted in savings. However, in terms of liberalization and internationalization of the capital turnover, funding for the social and economic development may come from domestic or foreign savings - international credits and loans, foreign direct and portfolio investment, as well as various forms of foreign aid (for example EU funds).

European funds will continue to be a strong stimulus of modernization in the perspective of 2020. Their proper use will contribute to building a solid foundation for development. Investing in human capital and ensuring high quality education, regardless of the place of residence and of the economic status, will be factors affecting the release of activity of the population and of the dynamics of economy. Infrastructure investments will help to reduce civilisation delays; they will also affect the spread of development processes and the use of economic development potentials. They will also be a factor important for stimulating demand.

At the same time, the current decade is the time to gradually increase the share of national development expenditure. This process should force the acceleration of structural changes in the expenditure of Polish public finance sector. There is an urgent need to achieve and then maintain the medium-term budgetary objective, namely the structural deficit of 1% of GDP. The central government has the dominant share in the deficit, while the relatively greatest deterioration has taken place among local government and social security funds, which requires a corrective action.

Reducing the structural deficit of the public finance sector became an important challenge, and the actions taken to reduce public expenditure shall contribute to the reduction of the structural deficit. This will be possible, among others, by postponing the effective retirement age, by reducing the specific professional entitlements, by eliminating the factors that discourage labour force participation and continued employment, by changing the way of financing the inefficient or declining sectors. In parallel, actions should be taken to increase budget revenues by extending the uniform tax rules to cover all segments of society, by rationalizing the tax system and improving the efficiency of tax collection.

Changes should be introduced to the system of financing public policies. It is necessary to link the expenditure to its effects and to introduce a system to assess the effectiveness of public expenditure. Expenditure should be concentrated on selected areas - important for the development of the country. This should be accompanied by identifying measures related to the implementation of integrated development strategies in the country. It will be essential to actually link planning of the budget to strategic planning, based on multiannual State Financial Plan and on performance budget.

The release of the development potential requires rebuilding the state structures. Complex activities are necessary to remove legal, institutional and organizational factors being an obstacle to national development and to the achievement of life goals by the citizens.

Also the consistent continuation of the reforms started in the past is advisable. The privatization process shall be completed, which will enhance the well-established private ownership in the economy. The freedom of establishment shall be improved by deviating from the current excessive and complicated administrative procedures. It is necessary for the public-private partnerships to function on a scale far larger than before.

There is a need for a change in the philosophy and for a strong shift from administering development to managing development. The key issue is an appropriate - realistic and at the



same time ambitious - determination of development objectives and designing instruments for their implementation, and then taking consistent actions leading to their realization.

In addition to ensuring the adequate levels of funding for the development policy - coming from EU assistance funds, state budget and budgets of local governments - a crucial factor determining the development of the country is the functioning of professional management in the public sector. Its quality as a whole and at different levels determines – to a large extent - the ability to appropriately respond the national or regional strategic challenges emerging in the contemporary world.

The efficiency of the system is seriously affected by the people creating it. It is essential for the personnel responsible for designing and management of development processes to have the relevant expertise. Their selection in both central and local government should take place on the basis of their knowledge and skills. The management system in the public sector should also include cooperation with partners from science, economy, and social organizations, and it should skilfully engage them in the implementation of the development strategy.

Managing development requires not only the public authority to be determined, but also to involve the civil society actors and institutions as partners, and public institutions to become open to ideas and solutions coming from the citizens. Social development does not merely involve developing the system of social benefits and services. It is a much wider phenomenon, affecting many processes that stimulate communication and organization of individuals, communities and institutions around the common objectives. It includes the development of institutions and social behaviour, with a view to create a civic democracy, in which the economic freedom is based on civil liberties – and the other way round – the welfare of society is built on entrepreneurship, cooperation, economic freedoms and civil liberties, and it promotes the strengthening of mutual trust. The quality of social capital - trust among people and institutions, the level of civic participation, cooperation and communication skills, cultural and creative potential – translate into the living conditions of citizens and their permanent welfare, as well as into sustainable development of the country.

In such a model of democracy the citizens are actively involved in building a common state and they take responsibility for their own fate as well as for the fate of the community and of future generations. Therefore, it is essential to create such conditions for the citizens that would enable them to create development processes rather than participate in them passively. An effective civic dialogue, in which citizens actively create development processes, must be based, among others, on expanding the scope of public consultation and enabling citizens to participate in the shaping of public policies at every stage of their development. A real civilization change shall not be possible without transforming the dominating attitude of the citizens from "passive recipient" to "active participant".

It is also important to develop and promote social dialogue at all three levels: national, regional and the level of enterprises, to develop optimal solutions in the area of public policy creation, for the increase of competitiveness and innovativeness of the Polish economy, allowing for a consensus in the area of labor relations, and to guarantee a wider public acceptance of the adopted solutions.

Commissioning the performance of public tasks to NGOs plays an important role in the implementation of the civil society partnerships with institutions, based on the principle of subsidiarity.

In launching and promoting social forces dynamizing the development and in creating a system based on empowerment of the society (social subjectivity) through the development processes, one should not forget the risk of social exclusion. The problem is compounded by the fact that the currently used instruments of social policy have proved not fully effective. It is necessary to



support innovative instruments reducing the effects of social exclusion, to create social added value, including social economy. The level of social cohesion, particularly the existing diversity of income and development opportunities of different groups, largely determines the development objectives in areas such as quality of life and poverty reduction.

A factor of growing importance for modern development is culture, meaning the values and norms of behaviour accepted by society, as well as the accepted codes that enable communication and practices that condition cooperation. It is these factors that largely determine the willingness to take risks as well as creative and innovative activities, and they have a significant influence on the ability to interact and to create social capital. In today's rapidly changing society, culture is the main source for creating personal and group identity, and giving the meaning to individual and collective actions. As a result, culture is becoming increasingly important as a development factor, while at the same time it undergoes profound changes caused by civilizational transformations. As a result, culture becomes a space for innovation, where new forms of subjectivity, participation, consumption and of creation of values are sought and tested. Those have a direct (in the form of cultural industries and creative industries) and indirect impact on the socio-economic development.



Vision of Poland 2020

In 2020, Poland shall be: an active society, competitive economy and efficient state

The next decade is crucial for the economic development of Poland. It is going to be the decade of balancing public finances and increasing savings, while continuing development based on eliminating the biggest development barriers (for example catching up in infrastructure and reducing the disparities between regions). At the same time, however, it should be a decade of growth increasingly based on education, on digital impetus and on innovation.

As a result, Poland in 2020 will be able to better use its economic, social and institutional potentials in order to develop the country and improve local living conditions. The phase of using simple reserves resulting from the transformation and liquidation of the post-transformation development gaps by means of direct interventions, to some extent financed from external sources, shall end. The economy increasingly moves towards the mature development paradigm, built on the pillars of innovation, of sustainable territorial development and efficiency.

After a period of slow development resulting from the global crisis, a sustainable development scenario will be implemented. The emphasis placed on the construction of efficient and effective state interacts with the simultaneously undertaken reforms in public finance, social security, health, education, science, culture, economy, justice and democracy. The development impulses are coming from the macroeconomic solutions applied and – to a lesser extent – from direct microeconomic interventions. These processes correspond to the external environment in which Europe and the world return to the path of growth and integration.

The Polish economy is transforming into an increasingly knowledge based economy, while maintaining a strong manufacturing and industrial base as a source of productivity growth and competitiveness improvement. Such a development model gains acceptance of a majority of the population which participates, in a subjective way, in developing and implementing the modernization processes. Providing access to knowledge is an important impulse increasing the professional activation, including of those excluded, reducing the risk of structural unemployment and the phenomenon of extreme poverty.

Economic growth dynamics will be higher than at our neighbours. It is assumed that in 2020 Poland will reach 74-79% of average EU GDP per capita. The implementation of key MTNDS development goals in infrastructure, in human resources development and in promoting entrepreneurship, accompanied by successful implementation of the National Finance Recovery Programme, will allow Poland to achieve more rapid growth in 2020 perspective.⁴ In the horizon of 2020, to use this potential will require greater labour supply, among others by starting the process of postponing the retirement age and by further social security system reforms. After an in-depth analysis of costs and benefits of the current tax system, appropriate changes will be introduced to encourage companies and households to invest and build the foundation for the innovation of the Polish economy. Also firm anchoring of inflation and public finances allowing the Polish accession to the euro area are elements of this long-term Polish growth potential

⁴ Maintaining the current development potential of Poland (without carrying out the reforms set in MTNDS) would allow meeting 70% of the average GDP per capita in the EU-27 around 2020. The pace of real convergence in the status quo scenario (so maintaining the existing development potential of Poland) in 2011-2020 would be significantly lower than in the period 2001-2010. In the years 2001-2010 the GDP in Poland - in comparison to the EU-27- increased from 48% to 62%, which is about 14 percent point. Without reforms this growth would amount to only 8 percent points in the next decade. The assumptions - Institute for Structural Research (ISR).



Use of labour resources will be increased to a level guaranteeing that the needs of development are met, which would be possible, for example, by increasing the professional activity of the elderly and of women. Economic activity and adaptability shall reach a level competitive with other economies at a similar or higher level of development.

The availability of transport and infrastructure will improve significantly and will no longer pose a problem of civilizational delay and development barrier. A greater emphasis shall be put on sustainable transport and on development of more environment friendly means of transport.

The energy demands of developing economy and society are met, and the sources are diversified in compliance with the environmental requirements. We are getting ready to for nuclear power implementation.

Increasing socio-economic and territorial cohesion shall enhance the inner strength and national security. The economic development level achieved shall improve the efficiency of the economy and the level and quality of life.

Poland has reduced the gap with the top European countries in the scale and the way of creation and use of intellectual capital. Intensification of territorial development processes and balancing development have helped the problematic areas to define and mobilise their own potentials, leading to better integration of the whole country.

By creating conditions for better use of opportunities by individuals and groups at risk of exclusion, the scope of this phenomenon was reduced. Citizens as well as social groups and business communities perceive the state as more friendly and efficient than it was in 2010.⁵ The degree of social trust keeps increasing.

The objectives set out in the Europe 2020 strategy are implemented in a harmonious way, but taking into account the specific situation of Poland as well as the level of development and the priorities of national strategies. Poland will aim at achieving the objectives set by the European Union, while focusing on its objectives to increase competitiveness of the economy, to improve institutional efficiency and effectiveness, and to ensure social and territorial cohesion.

As a result, the country, the widest circles of society as well as individual citizens, will successfully achieve their goals and will satisfy their material and socio-political needs, as well as their cultural and civilizational aspirations, including participation in the life of the international community. Poland shall be a well-organized country, one that has well established conditions for sustainable development and offers a wide range of possibilities and opportunities for individual development. This will increase the sense of justice and social solidarity as well as the public confidence.

In implementing the vision of Poland 2020, the following key areas of development shall play a crucial role:

Institutional transformations strengthening the efficient state - higher quality of public institutions, the active role of social capital.

The modernization of the state in the period until 2020 will be based on pursuing the public interest in a harmonious manner, in accordance with the principle that the interest of each of Polish citizen should be respected. This will be supported by good governance of the country, in line with modern standards - management through objectives defined in a rational and realistic manner, involving different actors, integrating various public policies, and taking into account the specific circumstances and needs of different territories, based on the principle of open government. The vision of Poland as an efficient state includes system solutions, procedures and

⁵ In 2010, the level of trust in public administration amounted to 42% (CBOS).



institutions enabling an effective and user-friendly implementation of laws, and satisfying the needs and aspirations of citizens. It shall also involve legal and institutional infrastructure fostering the creation of competitive advantages for the country and for economic and social actors operating in it.

The implementation of this vision requires modernization efforts as well as political, constitutional and institutional reforms. Modern mechanisms of acting by public administration shall be introduced into the mainstream of Polish institutional development. A new model shall be developed to include social, economic and scientific groups into the stream of social and economic changes in order for them to become active partners for the planning and implementation of development activities. At the same time, the role of local government in policy development and in shaping the public space will increase, which is important for all the areas of development.

Effective and open public institutions will foster the growth of confidence, whereas the public debate, involving citizens in the process of creating development policy, as well as the increased access to knowledge and to public information will promote understanding of the socio-economic transformations undertaken and will increase their public acceptance. Concern for the public interest, the high quality of public debate and of public space, the increasing civic participation - individual and institutionalized - and the increased role of creative and intellectual potential shall foster the building of civil society.

Development processes will be supported by a gradual release of public funds. Actions for public finance balancing and for systemic transformations enabling departure from the existing structure of public expenditure towards an increased spending on research, development and education and a decreased relative share of fixed expenditure will begin to bring positive effects. The increase in the efficiency of public funds will contribute to a better use of off-budget sources for funding development. In many cases, the effects of changes introduced in the first phase of NDS will be visible in the long-term perspective only.

Effective socio-economic development and the high competitiveness of the economy - economic growth resulting in Polish GDP per capita at the level of 74-79% of that in the EU by 2020; knowledge-based economy, modern infrastructure, human capital - the leading competitive advantages.

In 2020, Poland will become a country with a modern economy, characterized by high productivity. The main barriers to growth, such as low employment, and the lack of balance between labour demand and supply shall be eliminated; transport, energy and IT will evolve sufficiently to meet the development needs.

Effective structural changes shall be an important factor in improving the competitiveness of the economy. Although the industry will be dominated by medium-tech sector, the sectors of high-tech and of services with the highest added value will grow fastest. The effective mechanisms introduced to promote innovation as well as the increase of public investment on research and development will stimulate involvement of private entities in this area. Competitive advantages will also be built, based on the specialization of regions, conducive to above-average concentration of entities operating in particular sectors, which will result in the formation of these regions in cluster structures, characterized by a greater propensity of the participating entities for innovation, internationalization and growth of social capital.

A competitive economy is an economy possessing adequate and effectively used energy resources allowing for dynamic growth. By 2020, most of the activities related to the diversification of energy sources and carriers will enter a crucial phase of implementation. Increased energy efficiency of the economy and increased use of renewable sources will contribute to reducing CO₂ emissions and meeting the commitments under the Climate and



Energy Package. The condition for the implementation of the country development objectives - in addition to the energy access – is also a man-friendly environment, being a basis of his existence and aimed at satisfying his numerous needs. Innovative solutions will be introduced for the rational use of resources, while reducing the impact of human activities on the environment.

The growing competitive advantage of the country will increasingly result from the development of human capital, created by people ever better educated, more active, and endowed with abilities enabling better navigation on the labour market, as well as from the development of social capital, strengthening the skills and attitudes conducive to cooperation, communication, creativity, openness, flexibility and ability to use knowledge and experience. This will be fostered by reforms of education system, including higher education, and involving both organizational and financial rules as well as the introduction of modern education models, which will contribute to learning the key skills and attitudes such as: language skills, practical knowledge, team work skills, ability to use modern technology and creative thinking. Changes will also be introduced in the approach to the learning process by disseminating solutions for lifelong learning. The professional activity of Poles will contribute to the creation of favourable conditions for combining work and family functions; actions will be taken for activation of the unemployed, for reduction of the incentives for early exit from the labour market, and for provision of help in work continuation thanks to the spread of a healthy lifestyle. The development of human capital will also affect the growth of social infrastructure, including infrastructure of culture. The modern cultural institutions, art schools and institutions operating in historic buildings create the space for the development of key competencies and are an important factor in the development of the country.

Greater stability of the economy will contribute to balancing the public finances by the rationalization of public expenditure and by improving its structure in the direction of an increase in the share of expenditure for development. At the same time, the stability of business conditions will also allow maintaining low inflation and public deficit levels, and balancing the current account balance.

Socio-economic and territorial cohesion - better territorial cohesion, availability of public services, broad range of opportunities for individual development, smart and effective social integration.

Improving the competitiveness of Polish economy and providing a stable base for a long-term development of the country is only possible if all areas, individuals and social groups will have the opportunity to participate in and profit from the benefits generated by those transformations.

In the period until 2020, a higher level of cohesion shall be achieved, both in social and territorial dimension, mainly thanks to public intervention aimed at making use of development potentials of all regions, and to the efforts undertaken within the framework of social policies in the area of prevention, rescue and activation as regards such social issues as poverty and social exclusion. As a consequence, the diversity of the measured core indicators relating to the most important factors in regional development shall be reduced. This does not mean an automatic reduction of diversity in the level of GDP per capita, or the ability to create better jobs. Levelling the differences in this scope will be a result of long-term processes of structural transformations.

An effective but also sustainable transport system is a necessary condition to fully exploit the potential inherent in the economy. In 2020, the existing high quality transport links (including connections between provincial cities and Warsaw, transport links around major urban centres, and ensuring better accessibility of rural areas which conditions the availability of labour markets, and also cross-border connections) will strengthen the process of balancing the territorial development of the country, and also promote its social, economic and spatial cohesion.



By 2020, the access of citizens to basic public services shall improve. This will reduce the peripherality of border areas by increasing their accessibility in domestic and international relations. Restructuring processes will lead to increased competitiveness and to diversification of economic structures in rural areas through modernization and innovation in the agri-food sector and through development of non-agricultural economic functions.

Also the processes of marginalization will be halted in the areas losing their current socio-economic functions, while their capacity to develop will be enhanced through revitalization processes. New functions, recovery and diversification of business will take place in the most deprived neighbourhoods of cities, as a result of consistent revitalization activities undertaken.

Measures will be taken aimed directly at strengthening social cohesion, at increasing the activity of people socially excluded or at risk of social exclusion, and at improving the efficiency of social benefits. Social enterprises operating in the system of social economy shall be used for this purpose, not only strengthening social cohesion, but also allowing for the implementation of a range of public services, helping to create social capital and being a binder for the local community, and functioning on the principle of solidarity (non-profit).

Increasing social cohesion will enhance the competitiveness of the economy and will significantly improve the labour market. The approach to social cohesion will be redirected primarily to the efficient use of potentials of people with disabilities and dysfunctions which hampering their own use of these potentials. Thus, the instruments of social policy will be designed first and foremost to eliminate or minimize the causes of exclusion and, if it turns out impossible, they will aim not to disturb the economic and social integration - in the greatest scope possible. Increasing social cohesion will also contribute to improving the health of Poles, achieved through actions aimed at adapting the health care system to the demographic trends.

Strategic objective and intervention areas

The main objective of medium-term strategy is to strengthen and make use of the economic, social and institutional capabilities in order to ensure rapid and sustainable development of the country, and to improve the quality of life.

MTNDS indicates how the objectives of the Europe 2020 strategy will be achieved, taking into account the specificity of Poland and conditions that contribute to the established national development objectives.

MTNDS determines the key indicators reflecting the progress towards the objectives set in the selected strategic areas, and it indicates the paths leading to the levels designated, which are the guidelines for the directions of interventions, activities and indicators detailed in nine Integrated Strategies.

The choice of the three strategic areas (Efficient and effective state, Competitive economy, Social and territorial cohesion) as well as the specific objectives and directions of priority interventions in these areas is a response to the key challenges of the coming decade, and it will help to intensify the development process and to avoid the development drift.

Efficient state, which processes the available public funds effectively and makes efficient use of the energy of self-organizing civil society is a precondition for achieving the development objectives agreed upon. Efficient state is: transparent, friendly, supportive and participative. The efficiency of the state depends on the effectiveness of its institutions and on its capacity to launch and carry out necessary reforms, in cooperation with its citizens and with public acceptance; it also depends on the management capacity at the time when resources are limited. The development management system is a complex one, and the ability to identify challenges



and strategic issues as well as to respond to them effectively is largely dependent on the quality of this system at each level of state organization.

It is important to complete the process of transition from administering development to managing it (by introducing all the components of the system of management of the development of the country), which would increase the efficiency of public institutions and foster the optimal achievement of objectives.

The manner of state organization is an important component of its institutional efficiency, both of its chief organs, central government and the subordinate institutions, and of entities operating at different territorial levels of the country. The efficiency of the administration of justice is a major aspect of the efficiency of the state. The state is the guardian of liberty, but it also performs specified intervention functions under various public policies. The state, therefore, is selectively active in areas that require its support to benefit the citizens. It means that public institutions of the modern state should be open to the needs of citizens and enterprises, which does not mean paternalistic care aiming to meet all the needs of public services, but rather the proper implementation of the subsidiarity principle. According to this principle, institutions of the state support the citizens in satisfying their needs and aspirations not only through providing direct public services, but also through stimulating the development of social capital (for example, through public-social partnerships). The ability of public institutions to do so will largely shape the public opinion about the efficiency of the state, and it will have an impact on the acceptance for the implemented reforms. At the same time, it will prepare the ground for active involvement in the creation of development processes.

The efficiency of the state requires sound legislation, regulations conducive to the development of entrepreneurship, as well as macroeconomic stability and conditions fostering the growth of state revenues, with the participation of socio-economic partners.

Gaining funds for development is an important task. In the first years of the strategy implementation (that is in the years 2012-2015), state activities should not be limited solely to mitigating the effects of economic slowdown caused by the global crisis, but should also create the basis for building new competitive advantages of the Polish economy. Also removing the existing development barriers, the "bottle necks" that hinder the increase of competitiveness of Polish economy, still remains an important task, in particular, decreasing the high public sector deficit, increasing funds for development activities and streamlining the system of financing public policies and of local government institutions.

The available, limited budgetary resources should be concentrated and focused on specific areas, most important for the development of economy competitiveness. At the same time, a gradual reallocation of public expenditure should take place, towards increasing expenditure on development activities.

Efficient state provides security for its citizens in all its aspects, it reacts in crisis situations and eliminates situations that cause or may cause risks to health and life of citizens. For this purpose, it is necessary to build an integrated national security system, linking security with development of the country, and involving all state structures. The tasks to be taken for safety of citizens should also include measures to ensure food security, which affects the quality of life and of public health, as well as development opportunities. Building strong social capital, on the other hand, will contribute to strengthening the development potential of the country as well as the legitimacy and social acceptance for the changes conducted.

Increasing the competitiveness of the economy is a key task, conditioning the development of the country and the Polish position on the world market. Efficient functioning of the economy, based on sound principles, its efficiency and modernity affect the prosperity of the citizens, as well as the ability of the state to perform its functions and to ensure safety. The modern system



of global links creates huge opportunities for development, but also exposes the economy, including the Polish one, to the competitive pressure of unprecedented scale. The traditional competitive advantages diminish in importance. Hence it is extremely urgent to develop new advantages, based on knowledge, on intellectual and social capital, as well as on the results of digitization.

Over the next decade, the education system and the conditions for shaping positive attitudes towards lifelong learning – including informal learning - shall be radically improved. Young people shall receive the state-of-the-art knowledge to enable them to function in modern civilization, to develop their curiosity, creativity, willingness to seek original solutions, the ability to cooperate and the competencies necessary for self-development in the future. Higher education system will aim at functioning in accordance with the third generation university model (connecting the educative and research role with implementing innovation and with business). Links of higher education system with the industry shall be strengthened. The number of graduates in technical and natural sciences shall increase. The intellectual capital, which is a solid foundation for a modern and competitive economy, shall be reinforced.

At the same time efforts will be made to increase innovation in the economy. Expenditure on R&D shall be increased and the efficiency of its use shall be improved. Conditions will also be created to stimulate the funds of private sector for this objective. The commercialization of research results shall be improved. The development of advanced technologies shall be supported and the number of innovative companies shall grow. Total employment as well as the employment in sectors with high added value shall increase. As a result, the number of patents, innovation and new technologies in Polish economy shall increase.

The existing economic potential should be used effectively. The specialization of regions based on their resources and development opportunities has to be supported.

The conditions of business functioning shall be subject to special attention. This issue requires a broad spectrum of activities - from the creation of a favourable regulatory environment – free from unnecessary and severe administrative burdens for businesses, through facilitated financing, to adequate support for building of a modern and functional infrastructure. The development and improvement of the accessibility to transport and telecommunications infrastructure is essential.

Increasing the productivity and efficiency of work will have a significant impact on the growth of competitiveness of the economy. The factor of an increasing strategic importance for achieving this goal would be the appropriate use by the economy of the effects of digitization and of the opportunities created by the evolution of the information society into a network digital society. It will be of major importance to reduce energy consumption and to ensuring stable energy supply, adequate to the needs of the society, and at competitive prices.

In order to improve social and territorial cohesion conditions will be created for the spread of the developmental processes in geographical terms - in various areas with weak potentials, as well as in the form of inclusion in the development process of those who have been just passive recipients of change. Development processes are usually accompanied by stratification, resulting from a combination of factors such as: backwardness of infrastructure, outdated socio-economic structure, low productivity and innovation, as well as weakness of human and social capital. Compensatory measures taken do not always bring the desired effect. Therefore, emphasis should be placed above all on the activities highlighting and supporting the diverse potentials, both of individuals and of social groups, as well as of individual territories on the basis of the generational and territorial solidarity rule (consisting of equal opportunities and competitiveness). In this context it is important, on the one hand, to reduce the "development gap" through actions aimed at eliminating barriers to opportunities for development and, on the other hand, to strengthen the development potential. Higher social and spatial cohesion makes it



possible for pro-growth factors to impact the various areas of socio-economic life. In the territorial arrangement, such cohesion manifests itself through stimulating the development of competitiveness and innovation growth centres, such as regional centres, on the one hand, and on the other hand - through strengthening the development potential of areas with lower macroeconomic indicators. The impact of centres of growth on these areas and the spread of developmental processes will support changes in the economic and social sphere. Taking care of natural resources, including the maintaining of full functionality of ecosystems, is an important element of territorial cohesion. This applies both to the improvement of infrastructure and to taking account of the needs of sustainable environmental management in development processes.

Development policy principles

MTNDS is based on an integrated approach to planning and to interventions under various public policies. This integrated approach allows the use of endogenous potential of territories, their resources and knowledge. This allows for implementing interventions in response to global development challenges, such interventions being adapted to the local conditions. The integrated approach facilitates combining various sectoral and domain interventions, with a view to achieve the highest possible level of synergy (horizontal integration). It also promotes a stronger liaison and coordination of activities undertaken by actors at different levels of governance (vertical integration). Such integrated approach also combines economic, social and territorial aspects. Properly conducted development policy, concentrated thematically and territorially, shall contribute to a better use of all public resources, which is becoming increasingly important in the context of limited national funds and efficient use of EU funds, including under the financial perspective 2014-2020.

The assumption underlying the MTNDS tasks identified for the state is that public intervention should be focused on those areas and projects that bring the greatest added value in achieving specified goals and developmental effects. The thematic concentration of public intervention in the areas key to the development in the coming years and in the resulting projects, with necessary resources to achieve the expected impact, should strengthen the existing development potential and its best possible use. Such an approach enhances the development impulses and allows them to spread to other areas.

The concentration of public funds on the implementation of a limited number of priorities, essential for ensuring economic growth and competitiveness of the economy, will prevent them from spreading, and thus being used ineffectively. The scope of the state's involvement should be differentiated - interventions will be undertaken in those areas where the market action is insufficient, and in the scope necessary to achieve the planned objectives and results. In areas where market forces are sufficient, the public intervention will be limited to creating regulatory, institutional and organizational conditions, facilitating the undertaking of certain activities by non-state actors.

The importance of public-private partnership will grow. Various financial engineering instruments (guarantees, loans, preferential loans and equity instruments, such as seed funds and venture capital) will be used in a larger scope, thus increasing the efficiency of invested funds and facilitating the involvement of, for example, NGOs in the execution of public tasks commissioned by the public administration. Thanks to the repayable assistance, a large part of funds can be re-used, allowing support for more entities than in the case of non-repayable assistance in the form of single cash transfers. A necessary condition for the use of financial engineering instruments is to encourage private capital to become more involved in financing the planned projects. The advantages of extending the scope of financial engineering instruments include: an increased involvement of financial institutions, the ability to attract additional resources, and the distribution of risks incurred during the investment by all stakeholders.



The effectiveness of thematic concentration will depend largely on directing public intervention taking into account the specificity of the territory for which such intervention is targeted. It is also necessary to use a territorial approach to development, which consists, on the one hand - in the use of knowledge and experience of local and regional development actors, and on the other hand - in making use of analyses of the challenges and potentials for development, as well as of functional linkages between different areas in planning and implementation of development activities. The result of a territorial approach should consist in designing a set of public interventions under several policies which would be tailored to the needs of a given territory, involving various actors at the national, regional and local level. Territorial approach promotes consistent funding of the development objectives in relation to space, and it increases the efficiency of public intervention in accordance to the principle of subsidiarity, and multi-level management of development processes. Better targeting of public resources strengthens the development processes specific for a given area / territory.

Many reforms need to be carried out in order to avoid the development drift. It should, however, be taken into account that the public funds are limited in relation to the tasks set by the MTNDS. In order to increase the efficiency of funds distribution, the principle of conditionality in the granting of public funding shall be followed. The volume of public funds allocated to various tasks will depend, among others, on the type of intervention, on the entities performing the task (for example, using the public-private partnerships mechanism, extensive involvement of local communities, for example in the form of local initiatives, as defined by law), as well as on expected outcomes, etc. The principle of conditionality will also account for the territorial conditions.

Such a conditional allocation of public funds should bring tangible benefits, particularly given the limited financial resources and the savings measures undertaken. The focus on results will facilitate the achievement of MTNDS development goals rather than dispersing resources, and as such will force better targeting of the planned public interventions. The instruments of conditionality can successfully support efforts to prepare the ground for structural transformation and public investment (for example adequate administrative capacity and a favourable regulatory environment, application of useful principles and standards, set out among others in the EU Directives); they can also mobilize public institutions and private partners to improve their efficiency and effectiveness.

The development goals set will be achieved thanks to several interventions under various public policies, carried out by different entities (ministries and institutions). This will require good coordination of interventions, at the stage of programming and planning as well as the stage of implementation, in order to obtain the synergies necessary to achieve the objectives of MTNDS. This means moving away from the sectoral to a horizontal approach. The implementation mechanisms in all development strategies and programs, including the rules for identifying and funding projects, need to be subordinated to the above principle.

An essential condition for high efficiency of public intervention is to base public policies on evidence (*evidence-based policies*), that is to make decisions, at both strategic and operational levels, on the basis of analysis. This will be supported by strengthening and widening the level of evaluation in order to examine the whole system of policy development systematically, regardless of the source of funding for intervention. An adequate analytical capacity of the units responsible for programming and implementation of development activities and for ongoing cooperation with external experts shall be an important support for the *evidence based policies*. It will also be important to stimulate the development of new analytical methods resulting from the progress of knowledge and of measurement techniques (such as new sources of data and information resulting from use of digitization), as well as the development of knowledge on identifying, analysing and meeting the needs.



Legal framework, applicable national and EU documents

National documents

The system of national strategic documents is set out in the Act of 6 December 2006 on the principles of development policy (Polish Journal of Laws [Dz.U.] of 2009 No 84, item 712, as amended). This Act determines, among others, the medium-term national development strategy, including its time horizon, its role and relationship with other documents, and its internal structure. The Act also lays down the requirement of periodic updates of the strategy - at least once every four years.

In order to increase the efficiency of programming and implementation of development policies and to improve the quality of public institutions, the Ministry of Regional Development, in collaboration with the Office of the Prime Minister and Strategic Advisory Group of the Prime Minister, has developed the assumptions of Poland's Development Management System – a document adopted by the Council of Ministers on 27 April 2009. This document provides for a deep reconstruction of the current programming model of national development, including integration of socio-economic and spatial planning.

Poland 2030. Development Challenges Report, presented in July 2009 (developed by the Strategic Advisory Group of the Prime Minister), is the basis for a debate on the future of the country. This document, one of the first such extensive reports drafted by the Government, diagnosis the current situation and presents the dilemmas that need to be solved in a horizontal perspective, combining sectoral measures; it also gives recommendations on how the identified dilemmas are to be solved.

The report is a tool to develop a strategic orientation in governing the state through:

- identification and description of the 10 key challenges and accompanying dilemmas - opportunities and threats Poland is going to face over the next 20 years;
- multi-level diagnosis allowing to specify the situation of Poland after the 20 years of transformation;
- determining the development path for Poland, which will allow avoiding the risk of development drift;
- recommending the directions of state policy corresponding to the challenges diagnosed in order to enable and promote the implementation of sustainable development model for Poland.

The basic group of documents relevant for the medium-term national development strategy, emerging in parallel with it, includes: Long-term national development strategy, a group of integrated development strategies and the new National Reform Programme - the so-called new generation documents. The basis for creating a new system of strategic documents is the national development strategies organization plan, adopted by the Council of Ministers in November 2009 (as amended), which sets out key development strategies for implementing the development objectives contained in LTNDS and in MTNDS (while reducing the number of the current development strategies to nine documents of this type). Due to the adopted procedure and the schedule of work on these documents, they are closely correlated and mutually determine each other. These relations correspond to the provisions governing the hierarchy of strategies, according to which "the medium-term national development strategy takes into account the findings of the long-term national development strategy" and is implemented through other development



strategies. National Reform Programme is the document determining a set of activities, which the Polish Government is undertaking to implement the Europe 2020 strategy.

The Multiannual State Financial Framework, prepared under the provisions of the Act of 27 August 2009 on public finances (Polish Journal of Laws [Dz.U.] No 157, item 1240, as amended) is an important element of the new system. It contains a forecast on the amount of funds to be allocated from the state budget for the implementation of strategic development objectives in a four-year perspective.

EU documents

The Europe 2020 strategy for smart, sustainable and inclusive growth adopted by the European Council on 17 June 2010, is a key document for drafting the medium-term strategy for the country in the context of Polish membership in the European Union. Europe 2020 strategy is of fundamental importance for the development of the EU over the next decade. It specifies the actions to be undertaken in a coordinated manner by the Member States to accelerate getting out from the current crisis and to prepare the European economy for the future challenges. The strategy determines three priorities the implementation of which shall take place both at EU and at national levels: smart growth (fostering knowledge, innovation, education and digital society), sustainable growth (more resource efficient production) and inclusive growth (increasing professional skills and fighting poverty). The implementation of priorities under the Europe 2020 strategy will result achieving five measurable, interdependent objectives, outlined in the strategy and concerning:

- ✓ increased spending on R&D,
- ✓ increased employment rate,
- ✓ increased share of people with higher education in society; smaller percentage of early school leavers,
- ✓ reduced CO₂ emission rate, 20/20/20 objectives on climate and energy achieved,
- ✓ reduced number of people living in poverty.

The instrument for the implementation of Europe 2020 strategy at the EU level consists of seven flagship initiatives and of 10 Integrated Guidelines for economic and employment policies of Member States. Medium-term goals of national development strategies support to a large extent the implementation of all these projects.⁶

Objective II.2. MTNDS Economy efficiency improvement » Flagship initiative: An industrial policy for the globalization era ;

Objective II.3. MTNDS Economy innovation improvement » Flagship initiative: Innovation Union;

Objective II.4. MTNDS Human capital development » Flagship initiatives: Youth on the Move; An agenda for new skills and jobs;

Objective II.5. MTNDS Increasing the use of digital technologies » Flagship initiative: Digital agenda for Europe;

Objective II.6. MTNDS Energy security and safety of the environment; and Objective II.7 MTNDS Improvement of transportation efficiency » Flagship initiative: Resource Efficient Europe ;

Objective III.1. MTNDS Social integration and Objective III.2. MTNDS Providing of access and public services of defined standards » Flagship initiatives: An agenda for new skills and jobs and European platform against poverty and social exclusion.

Other medium-term objectives of the national development strategies will contribute indirectly to the implementation of Europe 2020. The actions within the framework of objectives under II.1.

⁶ Actions to follow up directly in the implementation the Europe 2020 Strategy are indicated in this document (highlighted in the tables).



Strengthening macroeconomic stability and I.2. Providing funds for development activities, which include response to the barriers to growth identified for Poland by the European Commission - a high structural deficit of public finances and a low overall level of investment expenditure, including for transport and energy infrastructure - are particularly important.

The realization of these objectives will proceed, among others, in the rhythm of the European Semester, which is currently the basic instrument of EU economic policy coordination.

Also the renewed EU Sustainable Development Strategy, aimed at balancing economic growth and high living standards of environmental protection, adopted by the European Council on 26 June 2006, is an important document which focuses on issues related to the management of natural resources, including the recommended methods of production and consumption, aimed at protecting the Earth's limited resources. The strategy aims to increase prosperity through action in areas such as: protection of the natural environment (economic development without destroying the environment), equity and social cohesion (creation of a democratic society with equal development opportunities for everyone), economic welfare (increased employment and stable jobs), meeting the obligations on the international scene (international cooperation and assistance for developing countries entering the path of sustainable development). The EU Member States, including Poland, are obliged to achieve the objectives of this strategy on the basis of documents and national policies.

Under MTNDS also actions resulting from the so-called **Climate and Energy Package** are implemented. Climate and Energy Package is a series of legislative solutions, adopted on 17 December 2008 and aimed at controlling and reducing greenhouse gas emissions in the EU. The package assumes a 20% reduction in greenhouse gas emissions in the EU, compared to the year 1990, a 20% share of renewable energy in total energy consumption in 2020 (the share for Poland is 15%), and 20% increase in energy efficiency by 2020.

MTNDS also takes into account objectives formulated in other materials and documents of strategic nature, of both national and European legislation, relating to the activities relevant for the functioning of the state, economy and society.



MAIN AREAS OF INTERVENTION, OBJECTIVES AND DEVELOPMENT PRIORITIES

Strategic Area I. Effective and efficient state

Objective I.1. Transition from development administration to development management

The way the state is organized is an important element of changes aimed at improving its efficiency and effectiveness, namely: its structure, division of powers and responsibilities, coordination and collaboration mechanisms and process management skills, all of them ensuring that the state is able to respond effectively to the challenges resulting from internal and external conditions. This applies to the chief state authorities, central government and its subordinate institutions as well as to entities operating at different territorial levels of the country, namely in local government and self-government administration.

Modern public institutions are institutions that are effective, accessible, open to the citizen's needs, transparent and friendly, ready to support civic participation and civic energy. The speed of their reaction to the changing needs and expectations will largely shape the public opinion on the efficiency of the state, and above all will create climate of social acceptance for changes planned under various public policies. Public institutions will also promote active inclusion of the citizens in development processes. Thus, public institutions should be flexible in order to react fast and effectively, to ensure that the solutions used by them bring the greatest possible benefits to the citizen, the entrepreneur and the state. Therefore, a key element in the functioning of public institutions will be moving from administration to management. This means shifting the focus from a passive approach, aimed at following the procedures to an active one, associated with the search for best practices and with the implementation of objectives. To make the transition from administration to management possible, it is necessary to review and analyze the mechanisms and principles of the functioning of public institutions, both those operating at national level and those operating at different levels of territorial administration. This review will result in the competencies of public institutions becoming organized and it will lead to the introduction of necessary structural and organizational changes.

Completing the process of implementation of a new system of strategic documents, reflecting the vision and the developmental tasks of the country, will also be conducive to managing development effectively. It is also important to build mechanisms ensuring consistency of socio-economic, regional and spatial programming as well as implementation of strategic objectives through efficient preparation and implementation of programs. It is necessary to improve the administration management systems through increased use of tools based on process approach and risk management.

Simultaneously, there will be measures introduced to improve the quality of the law created. The quality of law is a decisive factor in the operation of the state. It determines the effectiveness of state authorities, it affects the quality of life, it is decisive for the competitiveness of the economy. Functional law should be adequate to the needs of regulations, reducing the intervention of the state in the lives of individuals or of business organizations and companies to a reasonable minimum. It should also correspond to the dynamics of development of modern civilization, keeping pace with the social, economic and technological processes that are taking place. A review of the existing legislation shall constitute basis for necessary changes, ensuring consistency, timeliness and adequacy of the provisions while eliminating unnecessary regulations and simplifying the legislative process.

The development of ICT will be conducive to better communication between public institutions and citizens, it will increase the availability of infrastructure in this area, and will foster the



implementation of the open government idea, giving the citizens an opportunity to actively participate in creating the law and in implementing policies. Modern technologies make it possible to spread the formula of e-consultation at each stage of development of public policies. At the same time, it would be necessary to use and strengthen the existing channels of communication between the government and the citizens.

Priority directions of public intervention:

I.1.1. Organized competences will enable the implementation of development activities

As a result of the review of public institutions, a number of changes will be introduced in the scope of competence of individual actors (government and its subordinate entities, government and self-government administration, within self-government administration) with a view to avoid duplication of their responsibilities and to improve coordination necessary for the implementation of development activities. This is particularly important in relation to the units of local self-government. Organizing their competencies will cause transferring to regional and/or local level a part of the tasks of the government administration and of non-budgetary institutions that, due to their nature, should be addressed by local self-government. When the scope of the changes is defined, the way of funding of the tasks shall be adjusted accordingly, which may involve modifying the system of local government revenues. The solutions developed, as a rule, should cause no increase in the burden of the state budget but should only improve the efficiency of public spending, including its better adaptation to the tasks, which will be fostered by greater flexibility in the management of funds.

The process of introducing a new system of strategic documents shall be completed, based on long- and medium-term national development strategies and on 9 Integrated Strategies, as well as taking into account the concept of spatial development of the country. This process will consist in making the inventory of and consolidating the currently applied programs and other implementation documents as well as in developing and implementing new, programmes and instruments, necessary for Integrated Strategies. At the same time the voivodeship development strategies will be updated, which should include the objectives of the medium-term national development strategy, of the national strategy for the national development and of relevant cross-regional strategies. Documents will be prepared related to the next EU financial perspective (2014-2020), adapted to the new cohesion policy (taking into account, among others, the conditionality and thematic concentration), to Common Agricultural and Fisheries Policy as well as to priorities of Europe 2020 strategy.



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
organization and ensuring coherence of horizontal and vertical competences within the public administration, including the adaptation of the financing system		Efficient State strategy, Regional Development Strategy
strengthening the coordination of development activities (including Europe 2020, spatial planning, etc.) - Coordinating Committee for Development Policy in collaboration with relevant ministries		Efficient State Strategy, Other Integrated Strategies
development and implementation of a new generation of strategic documents - including programs implementing integrated development strategies, documents related to the new EU financial perspective		All Integrated Strategies Voivodeships Development Strategies
preparation and implementation of comprehensive monitoring system for the development processes in the country and in its regions		Regional Development Strategy Voivodeships Development Strategies

I.1.2. Increasing the efficiency of public institutions

Changes in the structure and in the way of governance of public institutions will be the key to increasing their efficiency. The principles of ministerial accountability for government departments shall be reformulated. Uniform rules shall be set governing the functioning of administration, among others its remuneration,.

Introducing of the managerial public governance model, characterized by, among others, focus on the citizen, on examining the results instead of the procedures, and on increased participation of non-state actors in performing the tasks will improve the efficiency of public institutions. Mechanisms will be introduced of periodic assessment of public entities in their implementation of tasks as well as in the effectiveness of their response to social and economic needs, as defined in the approved policies, programs and plans, including those resulting from international cooperation within the European Union. Costs and benefits analysis of the activities performed by the public institutions as well as civil monitoring will be used to improve their effectiveness.

Stabilization of the personnel of public administration will be important, as well as the improvement of its competence, knowledge and skills and introduction of proper incentive schemes. A professional body of staff should be a characteristic feature of both the administration and the government. Towards this end, a modern training program for civil servants shall be developed, with an emphasis on strengthening the role of leaders and leadership in administration, on disseminating ethical principles (codes of ethics), and on partnerships and networking in administration.

Improving communication with the citizen and the internal flow of information will be ensured by a central platform for sharing information between public institutions and individuals / citizens as well as entities. At the same time, the ideas and principles of open government will be implemented, consisting in facilitating the participation of citizens and of civil society organizations in the creation of and consultation on the new legislation and policies as well as on services of public benefit, based among others on open resources (data, public information, culture, knowledge, etc.). Public institutions will also develop new ways of involving citizens in the process of consultation as regards complex development programs that combine education and information with public debate.



A new model of governance should ensure the transparency of activities and functioning of mechanisms to prevent the occurrence of corruption, including through instruments to combat fraud affecting the public administration.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
efficiency of public institutions assessment (including agencies, institutes) - the basis for decisions on changing the way of their functioning and financing		Efficient State Strategy, Other Integrated Strategies
changes in administration, increasing the effectiveness of actions (review of relations of ministers with the government activities, defining uniform rules for the functioning of administration in terms of remuneration)		Efficient State Strategy, Social Capital Development Strategy
introduction of a managerial model of governance in public administration and adoption of dialogue as a method of finding the best solutions to issues of social importance issues (focus on citizen and on dialogue, periodic reporting and assessment of the ongoing projects, task approach)	introduction of a managerial model of governance in public administration (change in the operation of inspection bodies)	Efficient State Strategy
improving the functioning of administration in its relations with the citizen, and supporting the development of social dialogue and civil society as an instrument of shaping the relationship between government and citizen (information, appealing against decisions, manner and time of handling administrative matters, support for the development of civil and social dialogue)		Efficient State Strategy, Social Capital Development Strategy, Human Capital Development Strategy, Voivodeships Development Strategies
developing a model of cooperation between administration and scientists and experts (principles code)		Efficient State Strategy
	introducing a system of public services management (better targeted, market-contracted services, effectiveness and efficiency evaluation)	Efficient State Strategy, Regional Development Strategy
	increasing the share of non-state actors in the tasks of administration (audit of institutions involved in the implementation and rebuilding the implementation system)	Efficient State Strategy, Social Capital Development Strategy, Human Capital Development Strategy, Voivodeships Development Strategies



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
	modernization of the civil service (increasing the impact of performance and work assessment of members of Civil Service on their career; variable compensation; promotion of mobility in the civil service; introducing regulations for local government employees analogous to those provided for in the Act on Civil Service)	Efficient State Strategy
preventing corrupt practices in government		Efficient State Strategy, Social Capital Development Strategy

I.1.3. The introduction of uniform rules for e-gov in administration (e-government)

Europe 2020:
Digital
agenda for
Europe

In the context of administrative efficiency, standardization and interoperability of the IT solutions applied is important. A single IT centre for the whole government is planned to be created, making it possible to implement uniform rules for e-gov, as regards, for example, ordering the equipment centrally, and concerning the type of software used as well as the exchange of information and communication. Digitization of public administration will be necessary, allowing a simplification of administrative processes and the creation of structured digital knowledge resources; it will also make auditing the quality of public information possible, with a view to create a platform for information flow. A priority task, conditioned by the development of ICT infrastructure, will consist in providing access to the widest possible range of public services rendered electronically, allowing full interaction with the office, and making it possible to handle matters at a distance. These actions will help to simplify the procedures for handling matters and will facilitate access to the information required at any stage of the administrative procedure. Interactive administration portals, enabling instant access to the service or information required, tracking the status of official matters and personalization services (matching the offer to user's profile and requirements) shall be used for this purpose. Electronic Platform of Public Administration Services (ePUAP) should be – among others - developed in this direction. An essential element in introducing the e-government will be training of administrative staff, responding to immediate needs arising from the use of modern tools.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
creation of a single processing centre for government administration (allowing for uniform principles as regards software, a single e-mail addresses template, and central ordering of equipment)		Efficient State Strategy



MTNDS		
digitization of public administration, allowing a simplification of administrative processes and the creation of structured digital knowledge resources (electronic records and documents), including the digitization of analogue resources		Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy, Voivodeships Development Strategies
creation of a central platform for sharing information between public institutions, between institutions and individuals / citizens and entities, aimed at improving the internal flow of information and the communication with the citizen		Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy Human Capital Development Strategy
further development of digital public services (e-government), in particular of ePUAP platform, widespread integration and digitization of social benefits, electronic identity cards, registration of companies on-line, etc		Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy, Voivodeships Development Strategies
computerization and provision of government services by electronic means, included in the eGovernment Benchmarking community study		Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy

* Operations for implementing the EU 2020 strategy are highlighted blue in the table.

I.1.4. Law quality improvement

The activities shall be continued aimed at systemic reform of the Polish law as well as of the operation of public administration, with a view of making the institutional environment more supportive to the development of entrepreneurship in Poland and more citizen-friendly, ensuring at the same time that law functions properly and citizens are protected against their rights being violated (for example corruption, fraud, unfair competition). In this context, it will be important to reduce bureaucracy, as well as the number of permits, records of regulated activities, licenses, authorizations, and the administrative burden of regulations.

It will be necessary to strive to modify the law-making mechanisms and the principles of its operation, to review the existing regulations, except those functioning as expected, and to undertake actions to repeal unnecessary legal act. Increased attention shall be paid to the effects of the introduction of draft legislation and to their influence on the financial and economic balance of costs and benefits. The regulatory inflation, observed for a long time, shall be limited and the awareness and ability to use other, non-legislative forms, of shaping social and economic life shall be strengthened. The projects will be accompanied by regulations based on facts and professional analysis of the consequences of their implementation. Consultation procedures will



be improved to ensure that stakeholders and experts have a real impact on the formulations of solutions. The area of law application requires significant improvements. It is particularly important to ensure a systematic monitoring of the law functioning and a radical reduction of the disparities in the application of the provisions, which undermine legal certainty and prestige of the state. The access of the poorest social groups to legal and civil advice at the prejudicial and judicial stage of proceedings should also be increased.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
review of existing legislation, ensuring the consistency of law functioning and eliminating the unnecessary regulations		Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy
implementation of a periodic assessment of the law introduced		Efficient State Strategy
introduction of continuous monitoring of the legislative process at European level in order to early respond to the proposed solutions		Efficient State Strategy

I.1.5. Ensuring spatial order⁷

A system of monitoring of spatial processes will be built, based on the European and national spatial information, with a strong role for the integrated information system on real estate. Evaluating the implementation of spatial policy, as well as of other policies with a significant impact on the spatial structures, shall be an important element of such a monitoring system.

In the medium-term perspective, it is advisable to significantly increase the coverage of the country with spatial development plans, making such plans obligatory for the development areas. Study of conditions and directions of spatial development of municipality and local spatial development plan are the basic documents for space management. An obligation shall be introduced to prepare spatial development plans for functional areas, including: urban areas, metropolitan areas in particular, developmentally sensitive areas, i.e. areas where natural resources are protected and used for economic purposes, cultural heritage sites, areas at risk of natural disasters, mountainous areas, areas not yet covered by the process of planning (the coastal zone, territorial sea, exclusive economic zone) and border areas.

Delimitation will take place at the stage of voivodship spatial development plan, with participation of entities of national, regional and local level - this concerns in particular metropolitan areas. Moreover, to ensure continued and sustainable development of inland coastal areas and of marine areas, the Integrated Coastal Zone Management mechanisms will be implemented and spatial development plans for marine areas shall be elaborated.

An appropriate system of regulations and decisions will be introduced, allowing – among others – to control the suburbanization processes, to make plans for development areas and to use functional planning, taking into account the social aspect as well as the need to protect cultural and natural landscape. The planned system of controls and decisions, as well as the monitoring of

⁷ Specific activities for the provision of spatial order were included in the "National Spatial Development Concept 2030" adopted by the Council of Ministers on 13 December 2011 and in the documents for its implementation.



spatial phenomena, shall be introduced following the principle accounting for environmental aspects.

A greater emphasis shall be put on strengthening social participation in spatial planning. Local real estate stock will be supported to facilitate land purchase, expropriation and exchange, as well as mergers and secondary divisions of land and acquisition by the municipality of the re-divided land for the purposes of common facilities (streets, parking lots, technical facilities, green areas). In addition, economic incentives will be introduced fostering a more efficient use of space. People responsible for land management will take actions to develop land assigned for this purpose, using the public resources, whereas economic instruments will be developed, compensating municipalities for the expended funds to encourage them to draw up local spatial development plans. These changes will also constitute an incentive for municipalities to cooperate within the functional areas of the cities as well as within the developed functional areas, identified in spatial development plans of the voivodeships.

One of the major challenges in this area is to ensure proper water management as a component of biodiversity, but also as the basis for regional development and for economic growth. Sustainable water management is also important for protection against floods. This issue is linked closely to spatial policy and to ensuring spatial order.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
preparing systemic regulations and decisions to facilitate the implementation of solutions associated with changes in spatial structures		Efficient State Strategy, Strategy for Energy Security and the Environment
delimitation of functional areas at national and regional levels		Efficient State Strategy, Voivodeships Development Strategies
development of methods for analysis of the impact of public policies on the changes in spatial structures, based on satellite technology	a system for monitoring the course of spatial phenomena and the impact of public policies, based on European and national information on spatial infrastructure	Efficient State Strategy, Strategy for Energy Security and the Environment
introducing an obligation to prepare spatial planning drafts in digital forms	launching a digital data system on spatial development plans	Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy
establishment and expansion of national infrastructure for spatial information		Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy
introduction of measures conducive to the more efficient use of space		Efficient State Strategy, Social Capital Development Strategy



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
creation of municipal real estate stocks		Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy

Objective I.2. Providing funds for development activities

The primary task of the state over the next decade will be to provide funds for development activities. This task, in the face of high deficit and debt and the consequent need to increase savings discipline requires making difficult choices and adopting comprehensive solutions.

Polish economy has coped with the global economic crisis relatively well, but the crisis has highlighted structural weaknesses of the public finance, for example a high risk of structural deficit of public finance and of public debt.

The existing barriers that prevent or restrict the provision of an adequate level of funding for the development activities, and thus for increasing the competitiveness of Polish economy - alongside the high public deficit and debt, include: inefficient system of financing public policies and scarce funding for local government units, the structure of public expenditure not responding to the challenges economy has to face (large share of rigid expenditure, limited resources for investment), and a poor use of extra budgetary funds. The problem remains valid despite the new solutions introduced in recent years (Multiannual State Financial Framework – MASFF, performance budget). The insufficient link between financial planning and the strategic objectives of development policy leads to a situation where funds are dispersed or overlap, and are spent on activities and initiatives not forming a coherent whole (for example, some development programs, including multiannual ones). Moreover, a thorough analysis and evaluation of the effectiveness of public expenditure is lacking. Only the compliance of spending with the Budget Act is assessed. Neither the formalized regulatory impact assessment (RIA) serves the task.

Economic growth (3,9% GDP in 2010)⁸ of Poland, which remains at a good level compared to other European countries, can potentially support the achievement of the set objective, as well as the EU funding (which however in the next programming period, namely 2014-2020, may be somewhat lower compared to the funds received by Poland under the Financial Perspective 2007-2013) and other funding, including from private sources.

Therefore, in order to create the conditions for achieving the development objectives, set for the medium and for the long-term, it is necessary – on the one hand – to take several actions to balance the public finances, and on the other hand – to modernize the structure of expenditure towards increasing funding for pro-development activities and improving their effectiveness as well as to seek and make better use of the off-budget sources of development financing. A significant potential in this regard lies in the effective use of the public-private partnership instrument, and even the public-private-social partnership instrument as the source of financing development undertakings.

⁸ Source: CSO.



Priority directions of public intervention:

I.2.1. Modernization of public expenditure structure

The budgetary resources available should be concentrated and focused on specific areas, most important for developing the competitiveness of the economy. Attempts will be made to modernize the structure of public expenditure, consisting in gradual reallocation of public expenditure towards an increased spending on development activities (education, health, transport, communication infrastructure, environment, research and development, culture). Spending on R&D and education in particular will be increased, and simultaneously changes will be introduced in the financing of research and in the management of science. The investment in transport infrastructure, as well as in telecommunication and energy will also be increased. This will require rationalization of other budget items and proper addressing of the necessary transfer expenses.

Classification of expenditure will be tailored to the needs of development policy, so as to fully reflect the resources allocated for development activities.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
adjustment of the budget expenditure classification to the needs of development policy		Efficient State Strategy
making certain categories of expenditure more flexible		Strategy for Innovation and Efficiency of the Economy Human Capital Development Strategy
pro-development reallocation of public expenditure (education, health, transport, communication infrastructure, environment, research and development, culture)		Strategy for Innovation and Efficiency of the Economy Strategy for Energy Security and the Environment Transport Development Strategy Social Capital Development Strategy
increasing public expenditure on culture (1% of the state budget by 2015) - implementation of the Pact for Culture		Social Capital Development Strategy

I.2.2. Improving the efficiency of public funds

Actions will be continued to increase the efficiency of expenditure. Earmarking in the Multiannual State Financial Plan (MASFP) of funds for the implementation of integrated development strategies, implementing the performance budget in full, defining competencies in the scope of financing public policies, changing the funding model of such policies, and introducing a system to assess the effectiveness of public expenditure – all these measures will foster concentration of resources and will enhance their effectiveness.

Mechanisms will be introduced to eliminate the dispersion of budgetary resources and to ensure that they focus on the selected areas, relevant for the development of the country. One of such mechanisms will consist in actual linking of budget planning documents, prepared both at the national level (MASFP, state budget) and by local self-government units (long-term financial forecast of local government, local government budget) with key strategic documents, namely: LTNDS, MTNDS, and the Integrated Strategies. The criteria for territorial allocation of funds



intended for financing national public policies having a strong territorial impact (health, active labour market policies, culture, education, higher education, etc.) shall be worked out or developed. It is also possible to introduce changes in the LGUs revenue system, which will become better tailored to the needs of local governments, and will increase the financial autonomy of local government units in carrying out the development activities.

The existing development programs, including in particular the multi-annual programs, shall be organised. This will lead to reducing their number and to focusing on key development activities, resulting from the vision adopted for the country. These activities will require, among others, ensuring a full compliance of the currently implemented performance budget with the strategic documents - to ensure transparency in the financing of development activities, to identify the development expenses, and to ensure that such expenses are better linked to the MTNDS development priorities and are focused territorially. At the same time, the multiannual state budget planning needs an improvement; the financial plans should secure the funds for development activities in a period longer than the currently provided for (4 years). Such MASFP should be a point of reference for the annual budget.

In addition, a system will be introduced to assess the effectiveness of budget expenditures, which shall constitute a basis for making decisions on the allocation of funds in the subsequent years.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
introducing a system for assessing the effectiveness of public expenditure		Efficient State Strategy
organising competencies in financing of public policies, in the vertical and horizontal arrangement		Efficient State Strategy, Regional Development Strategy
changing the way / model of financing of public policies (health, culture, education, higher education, etc.)		Efficient State Strategy, Other Integrated Strategies
concentrating the resources in selected areas significant for national development		Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy
better matching of public intervention		Efficient State Strategy
introducing potential changes in the LGUs financing		Regional Development Strategy Efficient State Strategy
linking expenditure to effects - full implementation of performance budget		Efficient State Strategy
rebuilding the long-term approach to multiannual budget planning – earmarking in MASFP the funds to be spent on financing integrated development strategies; channelling resources territorially, etc.		Efficient State Strategy
basing the multiannual financial planning system in the public finances sector on the widely used classifications (for example COFOG, ESA'95)		Efficient State Strategy

I.2.3. Increasing the use of extra budgetary funds

Given the amount of resources needed to achieve the development objectives set, including in particular those concerning infrastructure investment, it is necessary to diversify the sources of financing development. The limited budgetary resources for development activities will, therefore, be supplemented with, among others: a bigger use of public-private partnerships, the EU funds under the 2007-2013 budget perspective and under the 2014-2020 perspective (with increased use of financial engineering instruments such as: guarantees, loans, preferential loans



and equity instruments, such as seed funds and venture capital), as well as direct foreign investment. It is important at the same time to ensure efficient service for businesses and citizens by banks, and to mobilize the private sector to cooperate and share responsibility for safe environment in all the spheres of business and the public activity. Instruments should also be used to encourage entrepreneurs to finance investment form funds other than their own, thus creating greater opportunities for development.

The main source of development funds are savings. Institutional and financial solutions will be developed to promote long-term forethought and productive investment for the future. Conditions will be created, conducive to economic and institutional saving for old age.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
promotion and increased use of PPP instrument		All Integrated Strategies Voivodeships Development Strategies
completion of the privatization process		Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy
more efficient use of the EU funds, in line with the potentials of regions and with the challenges identified in individual strategies (procedural changes, institutional changes, the principles of co-financing)		All Integrated Strategies Voivodeships Development Strategies
increasing the rate of domestic savings		Strategy for Innovation and Efficiency of the Economy

Objective I.3. Improvement of the conditions for satisfying the individual needs and activity of citizens

Europe 2020:
Digital agenda
for Europe

Modern states are highly powerful thanks to the awareness, activity and prosperity of their citizens - both in their professional and social life. Citizens want the state to provide the conditions for satisfying their individual and collective needs and aspirations. A state fulfilling its subordinate role in this regard encourages the building and strengthening of confidence of its citizens.

A hardly effective justice system is a particular problem which results in, among others, too long proceedings in general courts and unsatisfactory law enforcement. It is particularly important to reduce the divergence of application of the existing provisions, undermining legal certainty and prestige of the state. It would be important to change the legal mentality and the attitude towards citizens, through easing excessive formalism and drawing more attention to the purpose of the provision and to its proper interpretation. At the same time, it is crucial to shape attitudes of respect for standards and for the rights of others, as well as attitudes of morality, honesty and trust. Compliance therewith does not only reduce the need for state intervention in the relations between citizens or businesses, it also promotes economic development and social prosperity.

Currently we observe a low level of social capital in Poland, which largely results from a low level of mutual trust between citizens and public institutions and from low confidence in the relationship between citizens and social groups. It is necessary to change the method of financing the activities of public institutions and public administration, as well as related regulations and practice, so that citizen would no longer feel like a suppliant but finds himself to be the centre of



attention; the number of entities and of individuals with whom the administration interacts and communicates in an open and approachable way should grow steadily. Underdeveloped culture of social dialogue at the stage of policy making and regulation drafting adversely affects the level of credibility towards public authority, increasing the feeling of having no influence on the national decision-making processes. The lack of universal responsibility for public good is accompanied by the acceptance of “non-citizen” behaviour and by a lack of practice and of mechanisms for cooperation between citizens. Also a low level of public debate, which is dominated by the winner-looser model instead of looking for consensus, is an obstacle for the social capital development. At the same time this debate, appropriated by the media, is often not conducive for dissemination of good practices and mechanisms, or of positive impulses for social cooperation. A kind of resignation of public media, especially of television, from the standard-creating role that would enable the dissemination and promotion of social and civic values is particularly worrying.

The emergency response system needs to adapt to the increasingly emerging crises, such as natural disasters including floods, resulting from climate and weather conditions of a special intensity. Gaps in the organization of information flow between different levels of governance and institutions involved in emergency response, the lack of coordination between crisis management structures and the competent institutions, including local authorities, as well as the weaknesses in the operation of the coordination centres – all cause a substantial discomfort.

The traditional forms of crime, such as theft, burglary or robbery, are accompanied by the development of organized crime, applying more advanced technologies and techniques. Computer crimes are a new and increasing phenomenon, such as: computer fraud, identity theft, manipulation of balance sheets, computer espionage, computer piracy and sabotage, violation of intellectual and industrial property. All these phenomena have a negative impact primarily on the economic market and on the possibility to carry out business in accordance with the principles of fair competition. New trends in combating threats to public safety indicate the need for prevention of losses resulting from these crimes, which significantly affect the development potential of individuals, of society and of the state. Therefore, reducing the losses caused by crime may be an important source of further financial reserves to be used on pro-growth policy of the State.

Analyzing the national security issues and the related tasks, it is also necessary to indicate the scale of deaths in traffic accidents in Poland (one of the highest rates in Europe). Environmental crime, including environmental pollution and destruction of wildlife, including the protected species, etc. represent a significant threat.

Despite those obstacles, there exist capabilities and conditions with the potential for the development of an efficient and effective state. They include: entrepreneurship of citizens, their motivations and aspirations to create conditions for optimal development and for high standard of living, relatively high level of education, sustainable and stable democratic governance system that allows for developing modern democratic governance, increasing activity of citizens in decision making and in the exercise of power, as well as physical, economic, population and socio-cultural resources of the country ensuring the continuity of development processes. Given the above circumstances, the state will create system solutions (legislation and institutional mechanisms as well as other instruments) and real opportunities for promoting the public interest and for satisfying the needs and aspirations of as many citizens as possible, including the entrepreneurs.



Priority directions of public intervention:

I.3.1. Improving the efficiency of justice

The judicial reform shall be consequently continued, with the aim, first of all, to increase the efficiency, the quality and the effectiveness of the national judicial system, taking account of the wide spreading use of modern information and communication technologies. This will result in better guarantees for effective enforcement of the rights of the citizens, including entrepreneurs, before common courts, thus increasing public confidence in the courts. It is essential to improve and simplify the procedures. This should lead to shortening the duration of proceedings and to consistent law enforcement in all cases of violations. The measures taken, including the implementation of existing normative solutions, aim and will continue to aim at streamlining the judicial proceedings and at liquidating structural backlog, particularly in courts where the number of such backlogs is the largest. Continuous efforts taken to simplify and improve the procedures for civil and criminal litigation, as well as the digitization of judicial proceedings and of office management will play a significant role in improving the public image of judicial system.

It is particularly important for the justice system to be consistent for the citizen and pervious at each stage of legal proceedings, starting from the operating authorities and public prosecutor's offices, through courts, lawyers and other participants of the proceedings, and ending with appeals bodies, including international courts (ECJ, and others). It is equally important is to monitor the functioning of the law and to ensure fast response when the law is infringed; it is also important to ensure that balanced and proportionate penalties (including administrative) are inevitable. All this will foster building the public confidence in the state as well as in its law enforcement structures and in its administration. It will, therefore, be necessary to increase the effectiveness of cooperation and coordination between these institutions. They should assist citizens and provide them with a complete sense of legal security.

Effective management of the courts requires improving their organizational structure to ensure an efficient use of personnel. In courts, functions related to law enforcement and legal protection will be separated from administrative functions involved in providing conditions for law enforcement and legal protection. The allocation of responsibilities among persons in charge of judicial structures shall also be revised in order to facilitate the implementation of the rule of law and order.

In order to facilitate access to justice, actions will be required facilitating access to the legal profession, in particular to that of a judge; this will be achieved i.a. through a movement of highly skilled persons from other legal professions. Also the quality of postgraduate practical legal should be improved. Provision of better access to legal information and legal services, including access to legal aid for the poorest people, and the constant increase in the availability of judicial decisions shall be another important area for changes. Mechanisms of amicable settlement of disputes, including mediation, shall be extended and promoted.

A comprehensive legal education model shall be developed and implemented, taking into account the new role of legal professions, as well as training of administrative staff and introduction of elements of economic analysis of law and management as compulsory subjects. Solutions will be introduced in the area of professional career of judicial staff, with effective evaluation being the basis for determining their career paths. The training and motivation system for professional judges and prosecutors will account for the skills necessary for their reliable cooperation with other courts, in particular those from other EU countries.

Changes will be necessary in the prosecution organizational and procedural system, so that it can act as a well-organized and professional division of state apparatus, equipped with proper instruments and guarding the rule of law in close cooperation with the law enforcement



authorities, courts and tribunals. The transformations undertaken shall cause a higher ministerial, pro-social commitment of this body of justice, which will carry out its official duties with realistic understanding of the interests of the citizens and of legal entities as overriding. At the same time, the prosecution authorities should reconcile this approach with the requirements of legality in the interpretation and application of legal norms - in a proper and consistent manner.

Actions aiming at strengthening the position of the victims of crimes and at raising public awareness of their rights, as well as at adequate training of services having contact with these persons, and at developing cooperation mechanisms for various actors and institutions assisting those people, shall all improve the image of the justice system.

In order to improve the efficiency and effectiveness of judicial executions, actions will be continued to deformatize and speed up the enforcement proceedings, and to increase the availability of judicial enforcement as well as the effectiveness of administrative judicial supervision over court bailiffs and judicial proceedings.

It is essential carry out the necessary organizational and procedural reforms in terms of services of court-appointed curators to create a professional probation service. It is also planned to take actions to reduce the prison population and to adjust the number of inmates to the infrastructural capacity of the Prison Service, to promote the penalties alternative to imprisonment, and to increase the scope of and the possibility to use electronic monitoring.

IT solutions will be introduced consistently, which will significantly facilitate the functioning of the courts and will allow for creating an electronic database of cases, thus improving the management of the judiciary system and increasing its efficiency. The quest for the full digitization of justice will entail the introduction of electronic transmission of documents and electronic case files, allowing for the greatest possible mutual electronic contact between the court and the parties. Natural and legal persons will have access to on-line services, allowing them to use the contents of court records on-line, and to apply for copies from court registers via the internet, and copies such obtained shall be regarded as official documents. Access shall be created to clear and transparent legal information in the form of a system for providing information via helpline and on-line. Citizen – judiciary system of electronic communication methods (e-courts) shall be introduced and court proceedings shall be conducted using new technologies (e-hearings).

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
comprehensive reform of the judiciary system (changes in the court management system, increasing the efficiency of cooperation and coordination of the common courts with other bodies affecting the functioning of the judiciary, improving court procedures, gradually increasing the access to judicial decisions and the possibility to resolve disputes out of court, using the help of attorneys)		Efficient State Strategy
changes in the functioning of legal professions and of legal education model		Efficient State Strategy
changes in the organizational and procedural system of prosecution		Efficient State Strategy
complete digitization of the judiciary system		Efficient State Strategy
providing better access to legal information and legal services		Efficient State Strategy, Social Capital Development Strategy



I.3.2. Social Capital Development

The development of social capital is one of the key challenges of Poland and serves to increase the scale and stability of civic engagement and cooperation, among others by increasing citizen participation in the governance and their greater involvement in formulation and implementation of national development policy. Actions taken in this area should be treated as a long-term investment, having in mind that the state should only create the conditions for this process, favouring bottom-up initiatives of civil society.

Given the barriers described above, to stimulate the development of social capital the state will, first of all, promote the attitude of active, informed citizenship, as well as pro-business and pro-innovation attitudes. Actions will also be taken to increase the scope and results of the activity of civil society.

Changes will be introduced in school curricula, based on integrating or increasing the range of issues related to civic, cultural and media education, and on strengthening the activities enhancing creative thinking and the ability to cooperate. The curriculum will be complemented with practical aspects of civic education, for example, the role of voluntary bodies in dealing with important local issues, as well as with elements related to economic education, such as for example the subject of social entrepreneurship. The proposed changes should be introduced as a part of general curriculum from the earliest grades, and their effects should be included in school certificates. These changes will be accompanied by adequate training programs for teachers to help them develop the students' teamwork skills using new technologies.

Support for citizenship education in teaching other than formal will also be an important element of the education process. It is particularly important to create appropriate legal regulations fostering the development of informal civic education and extend such education to cover people who have completed their formal education, including those aged 50 +.

Participation in culture will be promoted through an open access to the digital heritage resources, through developing culture and shaping basic culture skills, including the ability to use digital media by all citizens. In urban areas, the activities increasing the supply of culture will be mostly supported, while in rural areas, emphasis will be put on improving access to cultural services and their quality.

The importance of lifelong learning as an integral part of changes in the system of citizen education will increase. The idea of volunteering as well as the cooperation of volunteers with community organizations will be promoted in order to strengthen civic society, especially among 50+ citizens and among the residents of rural areas. It will also be important to launch the long-term volunteer programs, particularly for people who have completed secondary education (comprehensive or technical secondary schools), as well as to implement employee volunteer programs in the offices of local and central government.

Actions aimed at greater involvement of citizens in the legislative process will promote public participation. Measures will be introduced to facilitate voting in general elections, such as voting by Internet, extended voting time, or polling stations and voting system adjusted to needs of the disabled. The inclusion of citizens in the legislative process will be done primarily by defining and implementing general principles for public consultations with a wider use of digital tools, including online consultations, by open access to public information and knowledge, by increasing the possibility of exploiting civic initiative at the local level, and by building a platform for exchanging information and experience related to the activities of the State. Modern methods of public debate will be developed, particularly in relation to issues of high complexity (like the development of nuclear energy), which will consist in combining information and educational campaigns with an open debate involving the widest possible cross section of society rather than the narrow expert circles. Modern, innovative methods of building social consensus



on development policy will be introduced, making use of such instruments as the deliberative poll, foresight, social pact. It will be imperative to strengthen the importance of the institution of civil and social dialogue and to raise the awareness of administrative staff on its role in the processes of management of national development.

To provide a better model of public policy making and of the law making process, social dialogue between government, employers' organizations and trade unions must be effective and it must give the social partners a real sense that they have an impact on state policy. For this reason, it is necessary to further strengthen the institution of dialogue and to raise the level of knowledge in this area. A well-functioning social dialogue enhances social peace and helps to develop solutions fostering innovativeness of the Polish economy.

Expanding the scale of activities of NGOs and creating better legal conditions for their operation by, among others, supporting the development of social entrepreneurship, introducing public-social partnership and allowing the use of existing infrastructure for the purposes of civic initiatives, will support the potential and the activities of NGOs. The simplification of the law will be an important element in facilitating the possibility for citizens to organize and undertake actions to achieve common objectives.

Active local communities will be strengthened through the creation of public space or making it available, among others by constructing new, or making use of the existing, infrastructure elements of culture and sport (libraries, community centres, sports clubs), and by promoting the existing statutory mechanisms, such as local initiatives. District centres, whose the activity helps to integrate the residents of rural areas, will be supported as well as the sports organizations. This particularly applies to sports clubs, which have a significant potential to associating people and are a source of creation and promotion of extensive positive experience with a view of building social capital. In addition, measures will be taken to identify communities that explicitly require external support.

The role of public media will be redefined, so that their main task will be to fulfil the public mission of creating a platform for public debate, disseminating reliable information and knowledge, promoting citizenship, and thinking in terms of public interest.

Also the role played by churches and religious associations in the processes of social integration, identity building and creating active social attitudes will be significant from the point of view of cooperation under the social capital development programs.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
building a platform to exchange information and experience relating to the action lines of the state (flow of information, electronic information base, centre of coordination, consultation regarding regulatory activities, use of digital tools)		Efficient State Strategy, Social Capital Development Strategy
defining and implementing the general principles of public consultations with the wider use of digital tools, such as online consultation, e-petitions, etc.		Efficient State Strategy, Social Capital Development Strategy
changes in the curriculum, including citizenship, culture and media education, the principles of teamwork and educational projects as one of the basic methods of teaching		Social Capital Development Strategy Human Capital Development Strategy



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
Increasing the ability to adopt civic initiatives for new acts of law at the local level		Social Capital Development Strategy Efficient State Strategy
introducing instruments that enable citizens to engage in the legislative process to a greater extent (facilitating the use of referendum process by citizens, implementing new methods of voting in general elections, digitizing public consultation process)		Efficient State Strategy
redefining the mission of public media		Social Capital Development Strategy
promoting voluntary institutions, including the implementation of employee volunteer programs in central and local government offices		Social Capital Development Strategy Efficient State Strategy, Voivodeships Development Strategies
introducing public-social partnership in order to enable the use of existing infrastructure for civic initiatives		Social Capital Development Strategy Efficient State Strategy, Voivodeships Development Strategies
Changing the role of public cultural institutions (libraries, community centres, etc.) and increasing the activity of existing sport organizations, especially sports clubs; building new or upgrading the existing, reformed institutions of culture and sport; supporting cultural and sport institutions in their role of integrating community, and stimulating local civic activity		Social Capital Development Strategy Voivodeships Development Strategies

I.3.3. Enhancing citizen security

Due to the fact that the threat of loss of life in traffic accidents in Poland is still one of the greatest in Europe, there will be programs launched to improve road safety, correlated with infrastructure improvement and with traffic rules awareness and education campaigns, and promotion of safe behaviour on the road. The most important tasks will be, among others, to establish and develop automated traffic surveillance, to develop an integrated system of management of accidents as well as an integrated system of passenger and freight handling, to improve forms and channels of communication with the public as regards road safety, to promote Intelligent Transport Systems, and to create a system of financing of investment in road safety.

At the same time, relocation of police and prosecutor's staff shall take place, necessary to reverse the negative trends in vulnerable areas and regions, and the number of staff and amount of equipment shall be increase, if necessary. Alternative crime prevention methods will be used (non-police), including cooperation with the research and private sectors, central and local administration, civil society and the media with a view to improve the effectiveness in combating crime, both common crime, the most burdensome kind for the residents of the country, and organized crime, resulting in great losses of the State Treasury (including through the



establishment of an interdepartmental co-ordinating body, conducting strategic and planning activities, in compliance with the Internal Security Strategy of the EU and with other strategic programmes that provide for including crime prevention in the state strategic policy).

Actions will be intensified in the field of health security. It will be important to ensure access to health care, along with an adequate level of these benefits, which requires a change in the financing policy of medical care and a reasonably deployed and well-developed health care infrastructure. A health care system shall be worked out and implemented that will ensure its effective functioning in a situation where public funding is limited. It is necessary to develop a new funding model, taking into account the supply of medical care at private expense. In constructing the system changes, demographic challenges and lifestyle diseases will be taken into consideration in the first place.

In view of the demographic challenges over the next decade, emphasis will be put on those segments of health care that will - on the one hand - promote fertility and health prevention of the youngest part of population (infertility treatment programs, support to extend the promotion of prenatal diagnosis, appropriate standards of care during childbirth, and maternal and child health care), and - on the other - will be responsive to the epidemiological challenges of an aging population (better access and quality of geriatric, oncology, cardiovascular, neurological, orthopaedic, rheumatologic and endocrinological services, as well as the long-term care). Particular emphasis should be put on the development of human resources in health care (there should be incentives to encourage students to specialise in priority areas and to study subject studied by an insufficient number of students) and of health infrastructure. Moreover, in view of the steadily declining number of professionally active nurses and midwives, and of a significantly declining interest in training for those professions, the system of basic and postgraduate training of nurses and midwives will be tailored to the needs in terms of staff in this field.

Areas and measures to prevent and reduce the growing incidence of lifestyle diseases, such as diabetes, mental diseases, orthopaedic disorders and effects of addiction, in particular among children and adolescents, shall be developed, and they shall be supported by medical and nursing care at school. Fight against cancer and against cardiovascular diseases will continue to be treated as a priority. Due to the growing number of transport injuries and a high percentage of traffic deaths, as well as permanent disabilities due to the lifestyle diseases, there is a need to pay particular attention to building a modern, efficient, integrated system of cooperation between emergency services. Good functioning of the National Emergency Medical Services, defined as a structure of closely cooperating units, is of particular relevance in this context.

The activity of the state will be focused not only on treatment but, first and foremost, on prophylaxis and disease prevention. These will include increasing health awareness and healthy lifestyle through promotion and health education (especially among those with the lowest socio-economic status), encouraging civic participation in the form of, for example, volunteering of elderly people, and increasing the level of physical activity of the population, in particular of children and adolescents.

In order to improve the functioning of the system, it would be necessary to introduce a digitized health care system (e-health). Medical services database shall be created as well as Poles' health database. The doctor will have access to complete patient history; this will seal and improve the system which will become more transparent and functional. Consequently, the efficacy of health services will grow.

Further consolidation of food security will be important - maintaining production potential (i.a. maintenance of the soil in good agricultural condition), as well as agricultural production and food supplies in the quantity and at the quality strategic level necessary to feed the population. At the same time, actions aimed at ensuring food market safety, through increasing the quality of agricultural and food products (food production by integrated, organic, traditional and regional



methods and from local raw materials will be promoted), will receive high priority. State will also take care of raising the knowledge and awareness consumers on of healthy nutrition and disease prevention. Additionally, initiatives will be supported, which aim to raise other products safety level (for example, toys, cosmetics, as well as electrical and electronic equipment).

The above topics are inextricably linked to environmental security, understood as counteracting the negative effects of restructuring and of environmental pollution, and thus helping to improve health and the quality of life of the society as a whole. The system for monitoring compliance with environmental law, currently functioning in Poland, is fragmented and inefficient. Taking into account the interest of citizens, actions will be taken to strengthen and improve the performance of environmental protection agencies in Poland.

In connection with ascribing an important role to the digitization process in future socio-economic development of Poland, the IT infrastructure and public/private IT systems will become an increasingly important area of concern. Their protection against accidental threats and deliberate attacks requires the development of network monitoring systems, as well as early detection of threats for the security of the network, prompt response to threats emerging threats, and the identification of perpetrators. In view of the fact that public institutions increasingly use digital technology to achieve their objectives, one of the key issues will be to provide them with a secure digital infrastructure. Also a proper preparation of the users of IT systems, i.a. through actions aimed at increasing their awareness on ICT security, will be important – it will enable the users to minimize on their own the risk resulting from such threats.

A priority interest of the state is to increase its ability to respond effectively in crisis situations and to address situations that may pose or pose a risk to life and health of citizens, to the environment and to property, that is, first of all, to improve and develop the emergency response system. To this end, it will be necessary: to develop and improve cells constituting the rescue system, including the modernization of equipment, proper selection and training of personnel, and adequate financing. It will also be necessary to develop and properly maintain the forecasting, warning, alerting and notifying systems to ensure their good performance, including in the field of nuclear safety. Specialised activities will include, among others, the implementation of risk management plans for risks of natural origin and risks caused by human activity. The best possible use should be made of personal and material potential of Polish armed forces for crisis management system. To increase the effectiveness of emergency response it will be required to couple the efficiency of state institutions with the civic capacity to cooperate, resulting from the social capital. It is necessary to increase citizen involvement in crisis management: shaping public awareness of their responsibility for own safety and for environment safety, and promoting appropriate behaviour in an emergency situation. This implies the need to redefine the mechanisms of action and interaction between state actors and civil society in the processes of both the threats and their effects immediate removal. It is also planned to organize legal regulations related to civil protection.

Strengthening the cross-border aspects of internal security has become Polish interest of an increasing importance. In order to prevent, reduce and effectively eliminate the security risks, cooperation will be developed with the services of neighbouring countries and with relevant international organizations.

It has become necessary to integrate and to coordinate better the activities of the institutions responsible for internal security (including in terms of public order and public security), having the power to carry out preventive measures, including introducing the required changes to the system of civil protection. The system of internal security should enable an effective response to major threats, such as natural disasters and catastrophes, organized crime, corruption and terrorism, as well as to common crime, which is the most troublesome for citizens. Ultimately, it



is assumed that a coherent, integrated and complementary system of state security (internal and external) will be created, linking security with development of the country.

It is also considered necessary to comprehensively approach the activities related to social security of citizens in a particularly difficult situation, which they cannot deal with on their own, based on their powers, resources and opportunities.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
preparation and implementation of programs to improve road safety , correlated with work on the improvement of transport infrastructure (including improvement of road surfaces, permanent separation of opposing traffic lanes, one-way road network development), and continuing awareness and education campaigns on traffic rules as well as the promotion of safe behaviour on the road		Transport Development Strategy Human Capital Development Strategy Efficient State Strategy, Voivodeships Development Strategies
measures to increase the quality of food products, including support for integrated, organic, traditional and regional food production methods, using local raw materials development and implementation of food quality systems, development of research on food safety; safety and quality control of agricultural products and food		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies
maintaining agricultural production at a determined strategic level, in quantity and quality necessary to feed the population		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries
changes in the healthcare system (changes in funding and management model - additional funding sources, increased efficiency)		Efficient State Strategy
development of health infrastructure, including the long-term care facilities, taking into account the demographic trends and public health profile		Efficient State Strategy, Voivodeships Development Strategies
raising the knowledge and consumer awareness of healthy nutrition and disease prevention		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Human Capital Development Strategy Voivodeships Development Strategies



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
activities in the field of public health (precisely targeted prevention, information and popularization campaigns) implemented at various levels (school, work, media), prophylaxis of cardiovascular diseases and cancer		Human Capital Development Strategy Voivodeships Development Strategies
development of health awareness and healthy lifestyles through health promotion and education (especially among those with the lowest socio-economic status) and increasing the level of physical activity, with particular emphasis on promoting physical activity among children and adolescents		Human Capital Development Strategy Voivodeships Development Strategies
development of computer network monitoring systems, providing secure digital infrastructure for public institutions		Strategy for Development of the National Security System
building within internal security system of a new subsystem for civil protection against dangers arising from civilizational development and weather anomalies, as well as system of protection against terrorist threats, crime and other negative phenomena of wide range - preparation and implementation of modern organizational, legal and financial solutions; preparation and implementation of programs to integrate the systems of prevention and combat of organized crime, corruption, and terrorism, as well as the system of crisis management and other systems into a modern internal security system, also based on interdepartmental cooperation		Efficient State Strategy, Voivodeships Development Strategies

I.3.4. Consolidation of national security

The strategic development of the Polish security policy for the next decade will be characterized by a comprehensive approach. Main areas of activity will cover both international areas and safety-critical fields of activities in the country. It is assumed that work on the integrated system of state security shall be undertaken and completed fast.

The main tasks of Polish security policy include protecting and ensuring the following: the duration of the state as the institution, the society and the civil community; territorial integrity of the country; political independence and sovereignty; proper functioning of state institutions; internal stability, as well as comprehensive and sustainable socio-economic development, enhancing the level and the quality of life.

Poland is not facing any military threat at the moment, while being exposed to the dangers of a various nature coming from both the international environment and the internal system. They include: economic challenges and threats, ecological and biological hazards, IT hazards (cybernetic), transnational organized crime and terrorism.

Polish participation in the NATO and in the European Union enhances national security, ensuring better defence of national territory. The participation in NATO involves readiness to collectively defend all of the Allies, also through participation in external operations, as well as continuous improvement of the capability of the Alliance to achieve its tasks. Membership in the European Union gives Poland a chance of permanent and sustainable socio-economic development and of participating in the creation of the capacity of common emergency response and of common defence under the Common Security and Defence Policy.

Further professionalization and modernization of Polish armed forces (especially expanding the operational capabilities which are key for the Armed Forces of the Republic of Poland to perform their tasks effectively), as well as building and strengthening the high prestige of professional army, also



through disseminating knowledge on the army, and on actions enhancing international security, and on civilian actions for the benefit of the community - they will all be important.

Legal conditions, investment incentives and institutional-coordinating mechanisms will be created fostering the development of advanced equipment and technologies in military-defence, which could also be used in increasing the level of modernity of the economy of Poland.

Further improvement of the Polish border monitoring system will be implemented. These borders are at the same time the external borders of the EU. This would require, among others, support of border and customs services. At the same time, a comprehensive migration policy will be developed.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
development of professional and modern Polish Armed Forces		Strategy for Development of the National Security System
strengthening the consistent mechanisms for coordination and cooperation of bodies, actors and organizational structures operating in the field of national security, including armed forces, and ensuring an appropriate level of information and telecommunication security to their actions		Strategy for Development of the National Security System Efficient State Strategy
R&D development in the field of military-defence, aimed at increasing the modernity level of the economy		Strategy for Development of the National Security System Strategy for Innovation and Efficiency of the Economy



Strategic area II. Competitive economy

Objective II.1. Strengthening macroeconomic stability

EUROPE 2020:

Guideline 1
Ensuring the quality and the sustainability of public finances

Guideline 2
Addressing macroeconomic imbalances

Macroeconomic policy is what determines socio-economic and territorial development. It creates the basic conditions for business activity of citizens and of business entities, for their investment and consumption decisions. It can minimize or increase the risk of engaging in economic activity as well as the related costs; it can reduce or increase the price that businesses, households and individuals pay due to cyclical economic fluctuations. Reasonable macroeconomic policy reduces the susceptibility of the economy to "external shocks", and with greater stability of the economy, it minimizes the spread between the periods of recession and of boom.

On the other hand, the role of development policy is to create conditions for medium-and long-term economic growth, prosperity, as well as social and territorial cohesion. Given the scale of the impact of the two policies on businesses and on citizens, it is extremely important for them to be complementary and mutually supportive. This means that the task of macroeconomic policy is to create the best possible framework for the implementation of development activities under other public policies, whereas development policy must be conducted so as not to stand in contradiction with the objectives of macroeconomic stability and with the objectives of the policy-mix. Therefore, it is necessary to take into account the interdependencies between the activities for macroeconomic stability and the planned interventions in different areas achieving public development objectives.

Development policy will be affected by the situation of the European economy. In turn, the inherited starting point - the strengths and weaknesses of the Polish economy and the opportunities and threats it will have to face – will determine the actions undertaken, particularly in the first years of MTNDS. These actions may determine the direction which the Polish development will follow in the coming decades.

In the ten-year horizon of MTNDS implementation, Polish development policy will face a challenge of reconciling two perspectives. On the one hand, it will be necessary to support processes allowing to maintain the current rate of eliminating the development gap in relation to the more developed economies of Western Europe, and to flexibly adapt to the emerging internal and external challenges. On the other hand, the implementation of MTNDS will need to address the urgent reform challenges, which will also lay foundations for achieving the objectives set out in the long-term development strategy of the country.

The challenges resulting from international context and from the situation of Polish economy must be responded to through ensuring macroeconomic stability of the country, including through improving the public finances and preparing for full participation in the third stage of the Economic and Monetary Union. In the context of development objectives in the long run, it is necessary to ensure the funding for the increased expenditure on infrastructure, science and health, as well as to redefine the direction of economic incentives arising from the tax system and public spending, so that the saving rate and the gross investment rate would increase by about 3-5 percentage points, and the rate of employment of people aged 20-64 would grow to 71% in 2020 and would maintain the upward trend over the next decade to eventually exceed 75%.

In the first place, that is prior to 2015, the economic policy will focus on macroeconomic stability, on securing the sources of future funding of modernization of the country and on laying the foundation for future growth. In the years 2016-2020, the emphasis will be placed on making use of previously developed advantage and on accelerated modernization of the country, not only through expenditure on infrastructure, but also on science and education. In a broader context, it is necessary to account financial plans for the necessary increase in spending on health and on pensions. This means that reforming public finances and increasing the rate of savings and of



investment are the tasks that need to be completed before 2015, and continued in the 2016-2020 period.

Priority directions of public intervention:

II.1.1. Recovery of public finances

The reforms necessary to achieve the priority objective - public finances recovery - will create the so-called outcome-income mix, and as such will consist in increasing savings discipline and at the same time rationalizing budget expenses and ensuring increased revenues for the state budget. One of the steps taken in this direction was the introduction of changes in Open Pension Funds.

The purpose of changes undertaken will not only be to reduce the public deficit but also to ensure the sustainability of changes that have been achieved (achievement and maintenance of the MTO), to secure the pro-development investment, and to increase incentives for investments, savings and work.

Limiting budget expenditure should not affect the areas that are key for achieving the development goals agreed upon (investment in education, science, research and innovation, culture, health, transport, communication infrastructure, and environment), but should be focused on inefficient expenditure (transfers), in particular those expenses that have a demotivating impact on undertaking and maintaining employment. In this context, measures will be taken to reduce sub-sector specific entitlements in the pension system, and to increase the efficiency of social benefits in case of illness, maternity, disability or accidents at work. It is also important to develop and implement solutions that lead to a gradual raising of the retirement age and to equalising the pensionable age between men and women. Changing the system of financing inefficient sectors of the economy is an important task. Thanks to the introduced spending rule which will apply until the excessive deficit procedure is repealed and which assumes that the discretionary and new rigid expenditure of the budget cannot grow faster than 1% per year in real terms, the expenditure on public administration and on employment in the public sector will be rationalized, as well as other elements of public consumption. In particular, the rationalized system of purchasing goods and services in central government administration, introduced in 2011 will be developed further, based on the functioning of the central unit for central government purchases (Shared Services Centre).

Increasing the budget revenues will be possible thanks to changes in the tax system, which would consist of widening the tax base – all social groups will ultimately be covered by the same taxation rules, and in sealing and rationalizing the tax system.

The effective implementation of MTNDS activities will foster fiscal consolidation by raising the average rate of economic growth in the period 2012-2020. If the medium-term economic growth in Poland is around 3.5%, it may be assumed that achieving and maintaining the MTO would prevent further increases in the public debt.



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
on the side of budget expenditure:		Human Capital Development Strategy
reduction of specific entitlements in the sub sectors of the pension system, including the protection of acquired rights (retired officers of the armed forces, judges and prosecutors)		
changes in the tax system and in social benefits - synchronization of both systems		
gradually raising the retirement age and equalising it between women and men		Human Capital Development Strategy
changes in Farmers' Social Security Fund - linking the amount of insurance premium to the income; sealing the farmer social insurance system		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries
changes in financing the inefficient industries / sectors		Strategy for Innovation and Efficiency of the Economy
increasing the efficiency of social benefits (illness, maternity, invalidity, accidents at work)		Human Capital Development Strategy
changes in the system of family benefits		Human Capital Development Strategy
rationalized system of purchasing goods and services in central government, development of the central unit for central government purchases (Shared Services Centre)		Efficient State Strategy
on the side of budget income:		
focus on creating economic growth		Strategy for Innovation and Efficiency of the Economy
changes in the tax system (for example sealing and rationalizing the tax system, changing taxation rules for mineral resources, simplifying tax procedures)		Strategy for Innovation and Efficiency of the Economy Human Capital Development Strategy Strategy for Energy Security and the Environment
development of migration policy, taking into account the growing demand on the Polish labour market for labour immigration and the principle of its complementarity with domestic labour force (to create the legal and institutional basis for this policy)		Human Capital Development Strategy

II.1.2. Increasing the rate of domestic savings and investments

In order to quickly alleviate the gap in GDP per capita, Poland has to invest more, to adapt new technologies more quickly and to increase economic activity.

Increasing the level of savings and of domestic investment as well as boosting innovation throughout the economy is of key importance for the development opportunities that Poland will have in the period until 2020 and beyond. The achievement of high economic growth in the coming decades will be conditioned by Poland joining the knowledge-based economies, and this in turn will depend on the expenditure on research and development and on investment in the capital-intensive, modern sectors of economy. This will be fostered by gradual changes in the



structure of public expenditure towards reducing the negative balance between the current expenditure - consumerist or transfer in nature, and the expenditure on pro-development areas. The use of EU funds will allow for achieving a higher growth in gross fixed capital formation in the coming years, but in the long-term, it would be crucial to increase the rate of private and domestic savings.

Thus, it is important to create incentives to increase savings and to search for investment opportunities based on external funds.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
changes in the structure of public expenditure on development		Strategy for Innovation and Efficiency of the Economy
more efficient use of EU funds (procedural changes, institutional changes, changes in the principles of co-financing) and acquisition of funds from external sources		All Integrated Strategies
shifting the fiscal burden from taxation on labour and savings to taxation on consumption		Human Capital Development Strategy Strategy for Innovation and Efficiency of the Economy
creation of economic instruments and institutional arrangements for savings in the third pillar		Human Capital Development Strategy

II.1.3. Integration with the euro area

Stable level of economic equilibrium is a state when the predictability of the occurring processes is high, and thus the danger of rapid changes, resulting from both internal and external conditions, is limited. A higher level of equilibrium implies: stable public finances, stable prices (their increase does not exceed a certain range, which is "safe" for the economy), small fluctuations in the exchange rate of national currency, and low interest rates. These elements are the basic criteria of Maastricht, and meeting them is a condition for any EU country to enter the euro area.

Measures taken for the recovery of public finances will allow Poland to meet the fiscal convergence criterion, but actions will also be needed in other areas of the economy. The intention is to integrate Poland with the euro zone as fast as possible. This process, however, should be conducted in a manner that maximizes the benefits and reduces the risks related to adopting the common currency. The date of adopting the euro has not yet been determined due to the considerable uncertainty as to when will the formal conditions be fulfilled for the adoption of the euro, and also due to the unstable situation in the euro area.

The experience gained during the crisis of the euro area showed that adopting the euro may be very beneficial, but it may also involve a high risk. This depends, among others, on proper preparations and on the way of conducting economic policy in the country, including economic reforms which contribute to sustainable fulfilment of the nominal convergence criteria. Reforms enhancing the competitiveness of economy, and in particular, reform of the product market and of labour market, are an integral part of Polish integration strategy with the euro zone. The introduction of the euro in Poland can bring direct benefits, such as reduced exchange rate risk and smaller costs of foreign exchange transactions, decreased nominal interest rates, and greater price transparency. In the long-term, the participation in the euro area promotes the



intensification of trade, fosters investment and enhances integration of financial markets. In addition to development benefits, arising from the very membership in the euro area, also the significance of political benefits of participation in the common currency zone has increased.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
preparation for entry into the ERM II		Strategy for Innovation and Efficiency of the Economy Efficient State Strategy
meeting the convergence criteria: - nominal convergence criteria: • the exchange rate criterion • the criterion on price stability (the so called inflation criterion) • the interest rate criterion • the fiscal criterion - legal convergence criterion		Strategy for Innovation and Efficiency of the Economy Efficient State Strategy
preparing for the introduction of the euro		Strategy for Innovation and Efficiency of the Economy Efficient State Strategy

II.1.4. Developing export of goods and services

Nowadays, the global economy becomes more open, and the flow of goods and services becomes increasingly easier. To benefit from these processes and to avoid technological backwardness, Poland should adopt an active, export-oriented policy. The existing competitive advantages, based mainly on low labour costs and cheap raw materials, need to be replaced with new assets. The transformation of Polish exports composition, and also of the structure of added value created is a key factor determining whether Poland will benefit from globalization and from its continued high pace of economic development.

Developing export potential of the Polish economy is important for several reasons. Export creates additional production and increase in employment. It is important to be able to achieve a positive balance in foreign trade or to improve it. Simultaneously, a strong competitive pressure mobilizes business entities, leading to a more efficient use of production factors. Export also has some beneficial effects in terms of internal diffusion of knowledge, skills and standards - from the exporting companies - through business partners - to the entire national economy.

To be able to compete on international markets requires the development of pro-innovation orientation, based on new technologies, including in particular technologies corresponding to the model of sustainable and environmentally friendly development. An equally important role is played by information and communication technologies. This direction entails the need to engage highly skilled and better-paid employees. At the same time, it positively affects the use of available labour resources.

Diffusion of knowledge, including the hidden one, is particularly intense within the cluster structures, in which business entities, business environment institutions, local authorities and research and educational institutions join their forces in building a competitive advantage. The development of clusters in areas of Polish product specialities can and must be an important lever for the development of Polish exports, both in high-technology sectors (ICT, engineering,



aerospace and automotive) and traditional sectors (fashion, amber, yachts and motor boats, agri-food industry) as well as in services (creative industries, film, medical services and others).

The instruments fostering the growth of export, supporting Polish companies in entering new markets and promoting Polish goods and services, will be developed over the next decade. The system for promotion of the national economy shall be strengthened. The entrepreneurs will benefit from high-quality information services provided by specialized operators. The system supporting the identification of trading partners will be extended. Assistance will be provided in overcoming barriers to entering the market, such as obtaining the required certificates, permits and licenses.

Mechanisms supporting the operation of domestic companies on foreign markets will be implemented and made better use of. Loans, insurance and export guarantees will be made available. Specific solutions in this scope will be addressed to SMEs. In Poland, like in other countries, a specialized bank should be established, focusing on the promotion of exports and offering this kind of financial instruments.

Support capacity will be tailored to the specific needs of exporters. The competence of staff in the exports development will be expanded. Managerial and marketing studies will equip graduates with the knowledge necessary to operate on international markets. Appropriate educational programs will be prepared. Knowledge on the existing support instruments and on the practical benefits of their use will be promoted.

Internationalization of Polish enterprises will also be promoted. Entering foreign markets should be accompanied by establishing representative offices, branches and subsidiaries. Joint ventures with foreign partners can deliver significant benefits for both the economy and individual companies.

Activation of exports will be a major priority in economic relations of Poland with other countries. Economic policy will be an important element of foreign policy.

Direct foreign investment will continue to play an important role in the development of exports. Conditions will be created, at national and local level, to encourage the influx of foreign investment to Poland. Large corporations, while locating their production facilities as well as service or research centres in Poland, grant access to international distribution channels and provide global marketing support.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
strengthening the system for promoting national economy		Strategy for Innovation and Efficiency of the Economy
development of instruments supporting the operation of Polish enterprises on foreign markets (including loans, insurance, export guarantees)		Strategy for Innovation and Efficiency of the Economy
Using FDI to enhance the export potential		Strategy for Innovation and Efficiency of the Economy



Objective II.2. Growth of the efficiency of the economy

Recent years have highlighted the progressive changes in the structure of the economy, measured by the shares of economic sectors in the gross value added created. The importance of the services sector, especially of market services, has been gradually increasing (64.8% in 2010), while the share of agriculture has dropped (3.5% in 2010). The process of modernization of manufacturing sectors continues, however, the pace of structural changes is too slow, which has an impact of the GDP growth and on the prosperity of the Polish population.

EUROPE 2020:

An industrial
policy for the
globalization
era

Innovation
Union

In order to move towards a civilizational leap, it is assumed that a shift will be made from the existing structure of the economy to a knowledge-based economy.

Although the industry will be dominated by medium-tech sector, the sectors of high-tech and of services with the highest added value will record the fastest rates of growth.

Agriculture will experience evolutionary development, based on systematic raising the added value attributable to each employee. The structural changes will lead, among others, to stronger links between the farms and the market. In order to achieve competitiveness in the market, the quality of food will be crucial – it will replace the existing competitive advantage of Polish agriculture associated with low production costs and low prices.

In the context of achieving this objective, the level of state intervention gains particular importance. Both, a too low and a too high level of state intervention may disrupt the natural free market competition. Hence the important role of the state as the creator of appropriate legal, administrative and security conditions as well as of adequate infrastructure for business development, and of a signpost showing the directions for development of industry. An example of active state policy will be public support for the most innovative Polish clusters, showing the greatest development potential, and able to create highly-competitive products and services, which are Polish and European export specialties.

Priority directions of public intervention:

II.2.1. Raising the productivity of the economy

The low level of capital and labour productivity in Poland is caused by an outdated structure of production, dominated by raw material industries and by production characterised by low-level of processing. Although structural changes have been taking place since the 90's of the XX century, namely the importance of agriculture and of traditional industries have been declining while the importance of market services has been growing, these changes remain insufficient.

To make the economy more productive, it would not be enough to only reduce the costs of labour. The most important task in the coming years will be to make changes in the structure of the economy, so that the manufacturing sector would be dominated by industries that use advanced technologies, that exploit the latest advances in microelectronics, in materials science or in computer science. Also the development and use of IT technologies in all of the sectors / industries of the economy will be of great importance, in particular in the new areas where these technologies have not yet been used. Modern industries contribute substantially to the productivity growth of the economy, not only thanks to their high productivity but also to their favourable impact on other industries.

The development of high technology and its wide-spreading use in enterprises also leads to changes in the employment structure, enhancing growth of labour productivity. The demand for unskilled labour keeps decreasing, while the demand for workers having high skills, knowledge and experience keeps increasing.

An important task to be performed under MTNDS 2020 will be to continue privatization of state enterprises and to introduce changes in the financing of the ineffective state sectors / industries /



departments, in order to gradually decrease their production, and to re-train and transfer their staff to departments with higher potential productivity.

In the second period of MTNDS 2020 implementation, namely in the years 2016-2020, the potential of state will be directed at supporting industries and services with the highest productivity potential. Until then, it will be necessary to train the employees properly, so that the labour market could quickly respond to the increased demand for highly skilled labour force.

During the whole period of strategy implementation, also actions aimed at increasing the work productivity level will be supported, namely changes in the way of training of the staff, and greater focus on learning foreign languages and computer operating skills at all stages of education.

In order to ensure sustainable economic development of the regions, local economic systems will also be supported to ensure that local resources and human capital for are used for production and local products are sold as close to the place of manufacture as possible.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
supporting actions aimed at raising labour productivity, at structural change of the economy, at implementation of advanced technologies and at upgrading the skills of employees		Strategy for Innovation and Efficiency of the Economy Strategy for Energy Security and the Environment
changes in the financing of inefficient industries / sectors / branches (including privatization)	supporting sections with the highest productivity potential	Strategy for Innovation and Efficiency of the Economy
creating conditions for better use of ICT in the economy		Strategy for Innovation and Efficiency of the Economy
inclusion of employers in the system of identification and anticipation of professional and qualification needs of the labour market		Human Capital Development Strategy

II.2.2. Increasing the share of medium- and high-tech industries and services

The structure of production in Poland is still unfavourable in comparison with the highly developed countries. It is true that recent years have brought positive changes (decrease of production in heavy industry, increased highly processed production), but the economy is still dominated by the low-processed goods industries whose production requires a relatively large quantity of materials, labour and energy, and a small share of knowledge and innovation.

In 2009, the share of medium- and high- tech industries in the production sold in industry amounted to 31.7%.⁹

To succeed in catching up with the developed countries, it is necessary to institute changes in the economy that will enable an efficient adaptation of the world's most productive technologies and the implementation of own modern innovations. This would be enhanced by optimizing the structure of public funding mechanisms and by improving the efficiency of funding R&D&I , inter alia by limiting the scale of non-reimbursable intervention instruments primarily to financing R&D

⁹ Source: CSO.



and social and breakthrough innovation. Financing of other innovations will be based to a greater extent on the financial engineering instruments (co-financed by private capital), directed primarily to private entities for specific projects.

To stimulate the growth of medium- and high-tech industries it is necessary to support research and development activities. Supporting the processes of commercialization and protection (especially patents, licenses, etc.) of intellectual property, which adds value to research and development, will become a priority.

Changes in the economy should be effected in two ways - on the one hand, in the direction of rapid modernization of the internal structure of the industry towards high-technology products, and on the other hand - in the direction of intensive implementation of ICT into the service sector. Such changes are possible, inter alia, by supporting development of the best Polish clusters which, thanks to joint projects with clusters from other EU countries, contribute to the creation of innovation, to the diffusion of knowledge, and to the increase in the degree of internationalization of entities that are parts of such clusters.

In a market economy, the impact of the state on the actions taken at the market should be limited to what is necessary, not to disturb the existing competition. Therefore, the role of the state will principally be limited to creating conditions for the development of medium- and high-tech industries and services.

One of the main activities in this area will be for business environment institutions (BEI) to strengthen the local capacities and the so called smart specializations, in particular to support the creation and development of new technology companies. In the context of medium and highly advanced technologies, BEI will be particularly important, including: technology transfer centres and resorts, research and development institutions and technology and industrial parks. Also all BEI providing financial support will become very important.

In the first period - until 2015 - the economy will continue to be modernized primarily as a result of the import of advanced equipment and license purchases due to the still low share of own research and the limited financial resources dedicated for this purpose. After this period, a widespread development of own abilities to create new technological solutions is assumed to occur. It is particularly important to promote new technological solutions, which would be conducive to the safety of the citizens (consumers) and the public.

Another measure aimed at the development of high technology industries is the creation conditions encouraging foreign investors to invest their funds in Poland, in order to develop high-tech sectors. R&D investments of the green-field type are particularly preferred.

In order for the implementation of the above described activities to be possible, a proper preparation of personnel for medium- and high-tech industries is necessary. It is important to increase the number of people with scientific education – educated in technical, mathematical and interdisciplinary fields.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
active creation of BEI adapted to the local potential	support and development of BEI	Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
education of personnel for medium- and high-tech industries and services		Strategy for Innovation and Efficiency of the Economy Human Capital Development Strategy Social Capital Development Strategy Voivodeships Development Strategies
determining mechanisms to identify sectors able to achieve a competitive advantage and launching support instruments for those sectors		Strategy for Innovation and Efficiency of the Economy
modernization of the economy by promoting transfer of technology and license purchase (financial engineering)	development of capacities for self-formation of native technological solutions	Strategy for Innovation and Efficiency of the Economy
promotion of FDI inflows for developing high-tech sectors	development of cooperative relations between FDI and native business	Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies
analysis of demand for raw materials for industrial development	providing stable and adequate energy supply	Strategy for Energy Security and the Environment Strategy for Innovation and Efficiency of the Economy

II.2.3. Increasing the competitiveness of and modernization of the agri-food sector

Further transformation of the agri-food sector will be aimed at boosting its competitiveness and efficiency. Measures will be implemented to stimulate the modernization and improvement of innovation and profitability of the agri-food sector, to strengthen the environmental and public functions of agriculture and fisheries and to support the diversification of income sources of households involved in agriculture or fisheries. Structural changes, such as increased area and economic size of farms and increased employment of the population leaving the agriculture in non-agricultural sectors of the economy will also contribute to the creation and development of small and medium enterprises and to the formation of entrepreneurial attitudes among the rural population. These activities are important both in the period until 2020 and the period until 2030, because the structural changes in agriculture are slow, and the problem of hidden unemployment cannot be solved in the short term.

Stimulation of the development and implementation of research, support for the formation of clusters and for dissemination among farmers and fishermen of information on modern technical and organizational solutions through, among others, professional consulting, will be also an important element of this efforts.

The rational management of resources in agriculture and fisheries requires above all promoting the continuation of good agricultural practices and support of such forms and methods of creation of manufacturing space, which promote environmental protection and integrated development of agriculture.



Competitive advantage of agriculture is conditioned by the operation of farms focused on mass production and high quality products. Therefore, conditions will be created for the development of various forms of farms, in accordance with the dominant factors shaping the conditions of development -both current and anticipated in the future.

The introduction of these measures will result in increased participation in the international food market - not only due to price competition but also thanks to the quality and innovation of the products.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
modernization and innovation growth in the agri-food sector leading – among others – to improvement of the employment efficiency and conditions of production in farming and fisheries		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries , Voivodeships Development Strategies
supporting the creation and development of small and medium businesses and of entrepreneurial attitudes among the rural population		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries, Regional Development Strategy Human Capital Development Strategy Voivodeships Development Strategies
creation and transfer of knowledge and technology for sustainable development of the agri-food sector		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries, Strategy for Innovation and Efficiency of the Economy, Voivodeships Development Strategies
stronger links of agricultural holdings with the market (improvement of agricultural producer organizations, improved logistics in the agri-food chain, including wholesale markets)		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries
productivity increase and quality improvement of the agricultural production and fisheries, in compliance with the principles of environmental protection		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries, Voivodeships Development Strategies

II.2.4. Improving conditions for the operation of businesses

The increasing number of small and medium enterprises helps to strengthen the competitiveness and efficiency of the economy. In order for this number to increase steadily, the conditions for business operations need to be improved, as they often make it more difficult for the small enterprises to enter the market.

Poland was at a distant, 70th place among 183 countries surveyed by the World Bank in 2010 in terms of the business environment (113 in terms of ease of starting a business)¹⁰. Therefore, in the first period of the MTNDS implementation (until 2015) it is necessary to reduce the artificial burdens and administrative barriers, including the simplification and consolidation of the tax system, and in the second period (after 2015) – to fully implement the digitalization of public services (e-government), so that the entrepreneur would be able to resolve most of the administrative issues on the Internet.

The importance of non-cash transactions will increase, which will reduce costs of running businesses and will increase the security of transactions. By 2020, non-cash turnover will become a dominant form of payment.

¹⁰ Source: Doing Business 2011, Making a Difference for Entrepreneurs, World Bank, Washington 2011.



Electronic forms of economic activity will greatly expand in the second half of this decade, together with the accelerating development of electronic commerce, which will allow for small and medium enterprises to reach the market more easily, thus increasing their market coverage.

Development of the infrastructure - especially transport infrastructure, which facilitates business access to new markets (suppliers and buyers, as well as various types of resources) and accelerates the implementation of business processes - will simplify the business activity. Despite the fact that certain costs have already been incurred and numerous investments have been started - Poland lags far behind the developed EU countries. Connections between major urban centres, connections leading to these centres, and connections within their functional areas as well as connections increasing the accessibility of rural areas will be built or upgraded in the following years. This will allow for the diffusion of the economic growth of the most vibrant centres towards the current peripheral areas and will affect the competitiveness of regions and of the entire economy. At the same time, initiatives will be supported that encourage the use of products in the areas of their production, so as to eliminate the need of transport over long distances.

Leisure patterns change with the increasing wealth of society and with changes in the economy. Many people are increasingly eager to use the so called leisure industry in their free time – they are increasingly willing to spend their free time and holiday away from home. Therefore, it will be important to create adequate conditions for the development of companies organizing leisure and tourism (including cultural and creative businesses). This applies to both to the areas that have a high tourist potential due to their natural advantages, and also to urban areas, which often have too few leisure opportunities in relation to the existing demand for such services.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
elimination of unnecessary burdens and administrative barriers	development of digital public services	Efficient State Strategy, Strategy for Innovation and Efficiency of the Economy
dissemination of non-cash transactions	non-cash transactions becoming the dominant form of payment	Strategy for Innovation and Efficiency of the Economy
creating favourable conditions for development of leisure industry (cultural services, sports, cinema, computer games, online media - including digital - and tourism)		Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy Voivodeships Development Strategies
development of transport infrastructure, data communications, etc.		Transport Development Strategy Strategy for Innovation and Efficiency of the Economy Regional Development Strategy Voivodeships Development Strategies



Objective II.3. Increasing the innovativeness of the economy

In a global economy, stimulated by the ongoing parallel processes of trade liberalization and rapid technological progress - organizational and marketing competitiveness should be the major source of Poland strong competitive position. For this purpose it is necessary, among others, to implement an economic policy allowing for a gradual transition from a model of technological development based on the ability to absorb and adapt solutions created in the leader-countries toward a strategy based primarily on creating and exploiting own knowledge.

The actions taken so far in order to build the innovative potential of the Polish economy have not produced satisfactory results. Despite some progress, Poland - in comparison with other countries - still has to make up a considerable distance. The biggest problems are the size and structure of research and development funding, especially private research and development funding, and poor cooperation between science and business. The R&D expenditures in Poland amount to about 0.7% of GDP annually, which represents about 1/3 of the EU average.¹¹ Only a small percentage of companies are innovative and benefit from the protection of intellectual property (a small number of patents).

It is assumed that over the next decade a significant increase in innovation in the economy will take place. A broad perception of innovation will be promoted, not only in the technology and product areas, but also in organizational, process and marketing dimensions, including in the services sector. Conditions will be created for implementing innovation in business and thus for building a strong competitive position on Polish, European and global markets.

Progress in this area will be possible due to a broad spectrum of activities involving the modernization of public systems aimed at strengthening research and innovation, ensuring a favourable regulatory environment, supporting the development of financing instruments, concentrating of funding on pro-quality tasks in higher education and research institutions of the highest calibre, and creating attractive perspectives for education, training and careers. Modernization activities addressed at the improvement of the functioning of the sector of science and of higher education will include a greater integration, as well as better use, of opportunities arising from participation in the European Research Area and European Higher Education Area.

Development activities addressed by public intervention should correspond to the specific characteristics and capabilities of each region. Because the innovations are created and used primarily in urban centres, characterized by high capacity in knowledge, science and economy, these will be the focus of the major part of the effort involved. Warsaw has to play a special role in this regard, it should become a dynamic centre of innovation and an important place for economic decision-making in Europe. Other regional centres and major cities will develop their specialties based on the local potential, often reinforced by foreign investment. Investment in education facilities will create conditions for strengthening regional potentials, favouring the development of human capital, and thus innovation and creativity.

Progress in innovation, closely linked with its diffusion to various regions and sectors of economy and society, will accelerate the development of the entire country, including specific problem areas. Strengthening the academic centres in less developed regions through close cooperation with the best national universities and research institutes will be particularly important.

Priority directions of public intervention:

II.3.1. The increase in demand for research results

Increasing the competitiveness of Polish economy requires much more activity in the field of research and development conducted by the native companies. The main barrier for the greater

¹¹ Source: CSO.

use of innovation by companies is the high cost of development and implementation. In the coming years, conditions will be created for stimulating private sector participation in financing this type of activity.

Increasing companies' interest in R&D and implementation of innovations will contribute to the development of instruments for their financing. The market model, with the dominant role of the mechanisms of credit and Venture Capital funds, will be the priority. However, until these institutions become fully developed and efficient, state sponsored activities involving alleviating market imperfections will be required. In order to support the broadest possible group of beneficiaries and to ensure the restoration of financial resources, revolving mechanisms will be applied. Guarantee instruments will also be developed, activating the resources of private financial institutions. The potential of public-private partnerships will be broadly used. Initiatives will be undertaken to engage foreign capital. Instruments to stimulate private investment will be accompanied by a further increase in public spending.

The increase in demand for the results of R&D will be influenced by the mechanisms of operation and funding of national research institutions based on market mechanisms. It is assumed that together with increased professionalism, efficiency and excellence of the work carried out in these institutions, private sector interest in their offer will increase. Such a state of affairs shall result from a well developed system of parametric evaluation of research units. Linking their funding to the quality and efficiency of research performed, including a widespread use of the competition system, will become a rule. The next step would consist in the commercialization of research results, promotion of close relations with the market, and creation of efficient transmission mechanisms between science and the economy. Simultaneously, funds will be distributed using a competition system, open both to private and to governmental research units. Such a mechanism would enhance the potential of the top research teams, force them to compete for funds, improve the quality of scientific work and ensure that the results obtained will be relevant to the investments incurred and to market demand.

An important additional instrument for increasing the demand for innovation will be the institution of public procurement. Government administration and local government entities are important actors in the market, and their spending may significantly incentivize the private entities to conduct R & D. Public procurement, particularly in areas such as transport, energy, environment, health, education, information and communication can create a significant potential for creating innovative solutions. It shall be started by the public authorities, which will formulate their orders in a way encouraging increased participation of new technologies and innovations in the goods and services purchased.

Financial incentives will work together with other regulatory solutions, creating favourable conditions for taking up activities related to research and development. Such activities will be encouraged by the presence of open and competitive markets. Therefore initiatives aimed to facilitate business and promote the freedom of enterprise will be continued. Monitoring of the market in parallel with monitoring of the regulatory should be continued, so that no rules or standards would prevent the development and introduction of new technologies nor the emergence of new markets.

Understanding the significance of innovation in terms of the effective operation of business enterprises and in terms of gaining competitive advantages is an essential element in creating demand for it. Efforts will be undertaken for building culture of innovation among entrepreneurs. Promoting awareness of the benefits of implementing continuous improvements in market activity, in products, in processes, and in methods, as well as in the use of new technologies will affect the way the entire economy works. Such efforts should be accompanied by diffusion of skills related to planning and implementation of business development strategies.



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
improving the existing system of incentives (including tax, loan guarantees, revolving instruments) to finance research and development	widespread use of incentives to fund research and development	Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy
building culture of innovation among entrepreneurs to increase their understanding of the role of innovation in conducting business effectively, and in developing strategic planning skills		Strategy for Innovation and Efficiency of the Economy . Voivodeships Development Strategies
developing financial market to increase innovation (capital funds, guarantee funds and loan funds, leasing companies), including through different types of stimulators and legal framework		Strategy for Innovation and Efficiency of the Economy, Social Capital Development Strategy Voivodeships Development Strategies
increase in expenditure on R & D		Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies
improving the efficiency of public funds for R&D		Strategy for Innovation and Efficiency of the Economy
development of new parametric evaluation system of research units + competition system for research funds allocation		Strategy for Innovation and Efficiency of the Economy
	using public procurement to stimulate R&D	Strategy for Innovation and Efficiency of the Economy
adopting regulations to stimulate technological progress and innovation in business		Strategy for Innovation and Efficiency of the Economy

II.3.2. Increasing the degree of commercialization of research

In the construction of knowledge-based economy a major challenge for the coming decade is to increase the links between the science sector and entrepreneurs. Knowledge developed academic scientific and research centres should be converted into commercial success to a greater extent than before.

The primary task of the state will be to create an appropriate regulatory environment stimulating cooperation between universities, businesses and financial institutions. A need arises, therefore, to disseminate among entrepreneurs the information about the opportunities for R&D funding and on the possibilities of cooperation with specialized entities or academic institutions conducting such activities. Government's key partners in this regard will be business associations and business organizations. The scientific community will be encouraged and mobilized, at the same time, to respond to the needs of research for the industry.

The instruments addressing the issue of inter-sectoral mobility of workers will play a key role in strengthening the links and partnerships between business and universities. These instruments



will contribute to overcoming the differences frequently separating research from the needs of the business sector.

In this context, it is important to induce a deep change in social attitudes and cultural elements, so as to make them be more favourable to innovation.

Overcoming the differences between the business community and the researchers, as well as the fragmentation of markets for knowledge and technology will make the transfer of knowledge more effective. It is assumed that knowledge and intellectual property management units will emerge at the universities in the first half of the decade, and that in the second half of the decade they will practically exist everywhere. Such units will be supported by innovative academic enterprise centres.

These actions will be based on further improvements in the quality of education. An essential element of the process of modernization of universities will be the increased role and increased quality of research carried out in university centres. These endeavours should largely be interdisciplinary or trans-disciplinary, and much of them will be implemented in cooperation with foreign partners and on behalf of companies. The number of foreign lecturers and students shall increase. The relations between regional universities and local communities shall improve.

Transfer of knowledge, especially through the cooperation of R&D representatives with business - a potential source of income for scientific units - should contribute to increasing the quantity and quality of research.

However, during the implementation of the strategy, the number of studies funded with public monies will still be significant. In the allocation of research grant, projects based on the cooperation between scientific entities and economic actors will be preferred. An important criterion for the selection of projects will be their degree of support for innovation and the possibility of practical implementation of their results. Resources will be concentrated thematically to priority directions of scientific research and development, reflecting the needs of economy and society. Local potentials will be supported, creating the so called smart specialties, as well as the R&D Infrastructure projects aimed at empowering national research units within the scope of the European Research Area.

The competitiveness of the economy will be significantly affected by commercialization of research results. Towards this goal, the system of research support and research results diffusion will be improved. The key elements of such an improvement will be the following: conditionality of support grants, identification of key areas of support, marketing and promotion of research results (including abroad). This approach will help to build new offerings based on market research. Undertaking the research work in collaborative areas or on the basis of contracts with enterprises will be promoted.

One of the important ways to increase the degree of commercialization of research results will be increasing the awareness and knowledge of the persons involved regarding the possibilities of patent protection of innovations and the benefits of patents. Research units (in particular those whose R&D activity is financed from public funds) will implement management strategies for intellectual property protection in order to provide adequate legal standing for the results of their work and to facilitate the commercialization of innovations. Basic courses on entrepreneurship, innovation and management processes related to intellectual property rights should be available in all areas of academic studies. It is also necessary to provide timely, affordable and predictable patent litigation procedures. Instruments will be established to support national entities and natural persons not engaged in business or science, to obtain protection beyond the Polish borders for inventions, utility models and industrial designs.



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
development and implementation of a system to support research and diffusion of research results (conditionality of granting support, identification of key areas of support, marketing of the results -promotion, including abroad)		Strategy for Innovation and Efficiency of the Economy
improving the conditions of exercising intellectual property rights and raising the awareness on benefits and on the possibilities to patent innovative solutions, simplifying the procedures		Strategy for Innovation and Efficiency of the Economy
supplementing the programs of study (especially for technical and natural sciences) with the knowledge about creating and managing businesses, on the forms of business financing, and on protection of intellectual property rights	spreading among university graduates the knowledge on creating and managing businesses, on the forms of business financing, and on protection of intellectual property rights	Strategy for Innovation and Efficiency of the Economy Human Capital Development Strategy
establishing academic business support units at universities		Strategy for Innovation and Efficiency of the Economy Human Capital Development Strategy Social Capital Development Strategy Voivodeships Development Strategies
developing mechanisms to support financing the implementation of research results into production	functioning of the mechanisms financing the implementation of research results into production	Strategy for Innovation and Efficiency of the Economy

II.3.3. Providing human resources for R & D

Building a knowledge based economy, combined with the ambitions for Polish economy to gain a competitive advantage resulting from innovation, require undertaking of a diverse set of measures aimed at ensuring adequate human resources for R&D. Effective planning and implementation of innovative production processes as well as effective marketing of innovative products require adequately trained professionals. Efforts directed to increase the level of higher education will be accompanied by measures to promote further education and training.

Development of human capital in R&D will be supported. It is essential to improve the quality of higher education but also to increase the effectiveness of teaching at the early stages. Mathematics and science skills, the inventiveness and the ability to search for independent solutions will be developed at all stages of education; moreover, cooperation habits will be formed. Curricula and teaching methods will be tailored to the current state of knowledge and to technological progress. Efforts taken to ensure that the university graduate is equipped with the knowledge, skills and competencies that are desirable on the labour market will be supported. Education will become more attractive to young people because conditions will be created for the development of their creativity and individual abilities.



The number of students at publicly-funded studies in maths, science and engineering will increase significantly, compared to the number of other students. This will be accompanied by actions to encourage women to study sciences. Students will be equipped with the skills necessary to commercialize research results and to manage intellectual property rights. Skills required for research projects and interdisciplinary cooperation will be formed. The relationships between universities and businesses will be developed, including through internships, joint research, joint development of educational programs and promoting (for example, through grants) fields of study that are essential for the development of the country. The opportunities of postgraduate education and improvement of skills will be increased. Foreign specialists - lecturers, research staff and managers - will be recruited. The access to international information resources will be granted. Universities will be provided with modern technical equipment required for education at the highest level. Mechanisms will be introduced to compete for funds, promoting the top universities.

Assistance in profiling universities as academic or vocational will be important - this should be done taking into account the directions of development reflecting the potential of the region where a given university operates. Those science branches will be developed where local research units and companies are among the leaders in Poland, in Europe or in the world. This should be accompanied by exploring the possibilities of success in areas specific to local or regional economies, as well as in areas conducive to building new advantages on the basis of the existing potential.

If Poland wishes to strengthen its position in the field of science, technology and innovation, it should attract more high-class scientists and, first of all, it should fully exploit its own human resources. The aim will be to create such a system of recruitment and financing of doctoral programs that would ensure that the best graduates, with abilities and high motivation for scientific work, will have the optimal conditions to continue academic career. Foreign scholarship programs will be implemented for young people holding a doctoral degree to allow them to gain experience in the renowned research centres and conditions will be created enabling them to work in the best national research centres.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
improvement of the quality of education at all levels, equipping pupils with state-of-the-art knowledge, enabling their functioning in modern civilization; development of creativity, of willingness to seek original solutions and of cooperation skills;; support for establishment of specialized centres of excellence at universities in place of dispersed teacher specializations		Human Capital Development Strategy Social Capital Development Strategy Voivodeships Development Strategies
profiling of universities in order to ensure appropriate personnel, in compliance with specialization of regions		Human Capital Development Strategy Regional Development Strategy Voivodeships Development Strategies
measures to increase the number of students in mathematics, science and engineering		Human Capital Development Strategy Voivodeships Development Strategies
	modernization of study programs in the direction of trans-and inter-disciplinary	Human Capital Development Strategy Social Capital Development Strategy



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
establishing basis for professional mobility between science and business sectors	introduction of mobility as a rule in scientific career	Strategy for Innovation and Efficiency of the Economy Human Capital Development Strategy Social Capital Development Strategy
further support for research conducted by young scientists		Strategy for Innovation and Efficiency of the Economy
	spread of contractual employment of foreign experts and scholars	Strategy for Innovation and Efficiency of the Economy
system solutions to support starting and developing scientific career		Human Capital Development Strategy Strategy for Innovation and Efficiency of the Economy
creating conditions that encourage young scientists to stay in the country (to counteract the brain drain) or to return and pursue scientific career		Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies
design, implementation and evaluation of a National Qualifications Framework consistent with the European Qualification Framework		Human Capital Development Strategy
Implementing a program for measuring intellectual capital in companies		Human Capital Development Strategy

II.3.4. Increasing the use of innovative solutions

In the coming decade, profound reforms of the system of promotion of innovation and R&D will be carried out. In the actions undertaken, the different potential of different sectors and regions has been taken into account. The growth centres operating in sectors and in regions will be strengthened, and conditions will be created fostering the spread of development processes.

These efforts will be accompanied by establishing a creative-cooperative technological model of learning, with high capacity to generate own solutions and to absorb the foreign ones, and enabling to assume the role of international leader, at least in certain technological niches. The links between local, regional and national scientific institutions will be developed and strengthened, as well as their participation in international networks (European and global). Forecasting and analytical tools will be used regularly for the elaboration of priorities and plans for the development of science and technology, including using the foresight method.

Effort will be made to promote development of products and services in areas where Poland may become a leader on the European and on a global scale, namely in industries with high potential demand. Such specialised areas may include eco-innovation, whose importance in energy efficiency and in supplying clean and secure energy will significantly grow over the coming years (including renewable energy sources and clean energy, based on fossil fuels).

Local self-government units will become important partners in the formulation and implementation of innovation policy. The Regional Innovation Strategies, which are the basic instrument for defining smart specializations of voivodeships, will become crucial in this scope. Conditions will be created to enable local authorities to take on a leadership role in integrating local academic, scientific and economic circles, as well as to coordinate the activities of entities operating in regional systems supporting innovation.

Business environment institutions that support innovation are expected to strengthen and develop. Business entities supporting academic entrepreneurship will develop their activity at



universities. Formation of spin-off companies will be promoted. The efficiency and effectiveness of technology transfer centres, technology incubators, science and technology parks, and of centres of advanced technology will be increased. Entities supporting the maximum use of creative business potential, such as training and research centres, financial institutions and consultancy in innovation and intellectual property, as well as local and regional development agencies and other support organizations will be created and improved. Access to their services will be enabled. A platform to share knowledge will be created. Effective mechanisms of searching for research projects that can be commercialized will emerge. A system of technology brokers will be created.

Cooperation between market participants will be promoted. Support instruments will be introduced aimed at joint venture companies. The scale of cooperation will increase, allowing - especially SMEs – to create solutions and use technologies unavailable for them as for single units.

Effectively operating clusters will foster competition. They will contribute to connecting businesses and research institutions and to combining their resources, thus bringing knowledge faster into the market. They will cause the productivity to increase, will attract investors, support further research, strengthen the industrial base, and will lead to the development of specific products and services. Clusters will also attract industrious and talented individuals. Economic entities operating in clusters will have an important competitive advantage. Cluster structures, as an effective mechanism of focusing resources and means, may become growth poles across the region. Businesses operating within clusters will gain greater capacity to seek potential opportunities for foreign expansion, through establishing cooperative relations on a supra-regional and transnational level. The functioning of clusters will be based on market participation model, with the leading role of the private sector in their initiating, funding and management.

Development of innovation requires an adequate infrastructure basis. To build such basis is a task for the next decade. Both national resources, as well as resources from EU funds should be involved. The existing technical infrastructure for the development of innovation shall be built and strengthened, especially in regions endowed with sufficient potential in this scope. Particular attention will be paid to ensuring an easy and affordable access to broadband, which is especially important for the development of knowledge-based entrepreneurship.

The sales of goods and services with added value, created by intellectual property, keeps growing constantly. In modern economies, creative industries will soon have the same significance as traditional industries. Particular attention should be paid to the development of cities, which are the natural environment for the creative industries. Cities need to become attractive places to live in and to invest in, they should be an inspiring space, and should ensure that cultural heritage is maintained and cultural potential is developed; they should also be open to new cultural phenomena. This is the only way cities can attract and retain active and creative individuals.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
development of network of links between national research institutions		Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies
participation of national research institutions in international networks		Strategy for Innovation and Efficiency of the Economy



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
strengthening and development of business environment for innovation		Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies
support of creation of clusters	basing the operation of clusters the market participation model	Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy Voivodeships Development Strategies
development of academic business support units at universities		Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy
incentives for increasing innovation, using FDI, eliminating legal barriers restricting innovation, supporting the development of cultural and creative sectors		Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy Voivodeships Development Strategies
development of innovation infrastructure (including broadband)		Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies
Improvement of knowledge transfer by undertaking research under commission and under cooperation		Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy Voivodeships Development Strategies
development of culture of innovation and entrepreneurship, including social entrepreneurship		Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy Voivodeships Development Strategies



Objective II.4. Human capital development

One of the key factors determining the development of the country and its competitiveness is the quality of human capital. Development (quantitative and qualitative) of human capital is understood as the development of national and local labor markets as well as productivity growth of employees, and - consequently – as growth of production and services, development of innovation, increase in the productivity of the economy, and raise in the level and standard of living of all citizens.

Factors that will adversely affect the quantitative development of human capital, especially in the long-term, and that should be taken into account in advance by the active policy of the state, are mainly the demographic factors. The following factors are of major importance for the development of human capital in the context of demographic challenges: low fertility, increasing share of post-production age group in total population, negative migration balance, low professional activity of the senior generation. According to available demographic forecasts, the number of Polish population will decline steadily. The dynamics of this decline will increase after 2015, when the proportion of the population of working age will drop significantly.¹² CSO forecasts predict a loss of working-age population of about 2 million people in the period 2010-2020.

Moreover, territorial diversification of the existing demographic trends will become more noticeable, also in terms of population density and of changing population density in individual Polish areas (areas of depopulation, areas of concentration of the population). These phenomena will constitute a significant risk for the development and a challenge over the coming years.

Among the main barriers to growth in Poland, two should be distinguished, namely a low rate of employment (64.6 %, 20-64, 2010) ¹³ and the mismatch of education to labour market needs. Poland is a country with one of the lowest in the EU levels of economic activity. The workforce is characterized by poor mobility, mismatch of the supply and demand structures for labour by qualification, low labour market flexibility, early age of professional deactivation, diverse employment age for men and women, low profitability of work in relation to social benefits, low female employment rate, low employment of the disabled, and poor adaptation of curricula to the needs of labour market. An active policy of the state will, therefore, be focused on the areas constituting a barrier to growth in employment.

The most important features of human capital that increase its employability are: knowledge, qualifications and professional skills. The level of human capital is largely determined by the quality of education, including higher education and scientific research. Knowledge is becoming an essential factor in the development of society, and, consequently, of the state and the economy. It is, therefore, important to invest in the wider education policy and research, with the highest rate of return, although it is postponed.

According to forecasts of the European Centre for the Development of Vocational Training (CEDEFOP), until 2020 Poland will face a growing demand for highly skilled workers, while demand for medium- and low-skilled labour force will drop.¹⁴ In this context, the promotion of adult learning becomes particularly important, especially in the form of short courses and at work. The rate of the lifelong learning in Poland is significantly lower than the EU average. The creation of a cohesive system, under which the labour market and education policies will be developed, will be accompanied by the development of lifelong learning and learning in all of the life roles.

¹² Source: CSO, Eurostat.

¹³ Source: CSO.

¹⁴ Source: Source: Skills supply and demand in Europe: medium-term forecast up to 2020, publication of Cedefop 2010, pages 63-67.



Identifying the barriers and territorial potentials properly is essential for the activities supporting the development of human capital to be successful. Specific features of individual areas, resulting from, i.a., their socio-economic functions, such as urban areas, rural areas and interactions between them, determine the directions in which regional labour markets as well as skills and competencies of human resources develop.

Also the increased awareness of entrepreneurs in the field of human resource management will positively affect the development of human capital.. The entrepreneurs, knowing how to manage their personnel, will use human capital better and more effectively.

Priority directions of public intervention:

II.4.1. Increasing labour force participation

Tasks of the state will focus on reducing disincentives to employment or to undertaking and maintaining a professional activity. Efforts are needed to support and stimulate labour participation by creating solutions that enable and facilitate the reconciliation of work and family life. One of the major activities in this area is to increase the availability of various forms of institutional care for children and to build an effective system of care for dependents and the elderly. Simultaneously, efforts will be taken to increase the attractiveness of working as a source of income in comparison to alternative sources, especially to social benefits, so that the system would be aimed at promoting active job search and would increase the motivation to take up legal employment.

Special focus will be put on actions aiming to enable a proper career start of young people entering the labour market (promotion of the transfer between education and employment, so that graduates would quickly undertake work or return to employment, improvement of the profitability of the first job – changes in the system of social benefits, flexibility of employment and stability of employment conditions, renewable seasonal contracts). Simultaneously efforts will be supported to improve the quality of higher education, to promote undergraduate studies as sufficient to take up and pursue activities on the labour market, and to promote short forms of training.

Conditions will be created to increase the number of people with disabilities employed in the open market, including, i.a., gradual increase in the participation of disabled children in public education (school infrastructure, qualified teachers), modernization of protected labour market and of its role, ensuring universal access to high quality rehabilitation, changes in the funding of support for employment of disabled people, adaptation of public transport for persons with disabilities.

The progressive aging of the population makes it necessary to extend the working life of the Poles. Systemic reforms will be introduced in the system of social benefits (including social security), resulting in postponing the retirement age (including the limitation of specific entitlements in the sector pension sub-system) and in equalising the pensionable age between men and women. These measures will be accompanied by promoting older employees among employers (for example, showing strengths of older employees and breaking old stereotypes) and by system solutions to promote employment of older people. Support measures will be introduced to enable people aged 50+ to gain new knowledge and to supplement the knowledge they have in educational institutions, including institutions of higher education; this will allow for keeping older people in the labour market. Such measures will contribute to the activation of this group of people, both on the labour market and in social debate.

Actions favouring flexible forms of employment will aim to increase labour force participation. Increasing labour market flexibility should be accompanied by ensuring security in the framework of flexicurity in its four pillars - flexible and predictable conditions of contracts, concept of learning throughout life, active labour market policies, and modern social security system. These



efforts will be very important because analyses show that Poland has one of the worst record among the European Union countries in implementing flexicurity¹⁵.

Also the elimination of barriers associated with establishing, conducting and developing own businesses will promote the increase in labour market participation.

An integrated approach to development implies that - in addition to systemic changes - measures should be introduced to respond to the challenges of regional labour markets, in compliance with the nature and the needs of individual voivodeships and accounting for the differences between urban and rural areas. Guidelines for public intervention will take into account the situation and potentials of regional diversity, including the condition and quality of human capital and the needs of the regions.

Moreover, changes in the model of operation of Public Employment Services (PES) are necessary, consisting principally in a departure from registration and payment of benefits related activities as the basic function of PES towards active recruitment. Activation services should be separated from those responsible for the registration of the unemployed and for the redistribution of benefits. This requires a redefinition of the rules and a development of a new model of cooperation with employers, who have the most reliable information about the demand for labour, as well as with other labour market institutions, both public and operating in the private sector. An important element of the system changes will consist in synchronizing the activities of public employment services and social assistance services.

The objective pursued in state policy by 2020 is to increase the employment rate to 71% (this objective is also included in the National Reform Programme – a document implementing directly the EU 2020 objectives).

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
limiting the disincentives to labour market participation taking or maintaining employment	synchronization of both tax and benefits systems	Human Capital Development Strategy
elimination of the solutions in the pension scheme that allow an early deactivation - including reducing the specific entitlements of the branch subsystems of the pension scheme		Human Capital Development Strategy
gradually raising the retirement age and equating it for women and men		Human Capital Development Strategy
implementation of programs activating reserves on the labour market (earlier start of the young people, higher participation of women, the elderly and the disabled, improving the employability of the inactive)		Human Capital Development Strategy Voivodeships Development Strategies
strengthening the institutional conditions for combining work and family functions - early education and care for children aged 0-5 years: integrated approach, universal accessibility, diversity of forms, provision of easy accessible care at schools, flexible forms of employment compliant with the flexicurity model, etc	first stage of creating a new system of care for dependents and the elderly - improvement of system efficiency	Human Capital Development Strategy Voivodeships Development Strategies

¹⁵ Compare Flexicurity in Poland: diagnosis and recommendations. Final Report of Research, Ministry of Labour and Social Affairs, Labour Market Department, Warsaw 2009



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
developing and implementation of comprehensive solutions for a better career start of young people entering the labour market (including the activities related to increasing competencies and qualifications)		Human Capital Development Strategy Voivodeships Development Strategies
creating conditions for increasing the employment of disabled people in the open labour market		Human Capital Development Strategy Voivodeships Development Strategies
reform of public employment services and of social assistance services - synchronization of their activities; separating activation services from those responsible for the registration of the unemployed and for the redistribution of unemployment benefits		Human Capital Development Strategy
development and implementation of a system of contracting activation services outside of the public employment services		Human Capital Development Strategy
elimination of barriers associated with establishing, maintaining and developing own business		Strategy for Innovation and Efficiency of the Economy

II.4.2. Improvement of human capital

The challenges associated with intelligent, sustainable and inclusive growth, including the need to increase employment, faced by modern states and by their citizens, are conditioned to a large extent by the quality of human capital. What determines the quality of human capital, in turn, is the level of competence and skills of the citizens¹⁶. Improving the quality of human capital refers to the situation where citizens gain skills and qualifications to respond to the needs of socio-economic and personal development - from the youngest to the oldest years of life and in different ways - in schools and in other institutions of formal education, but also in their jobs and thanks to community involvement, learning on their own and from each other.

It is important in this context to make a transition from the education model based primarily on school training and on transferring encyclopaedic knowledge to a wide education model, combining school teaching with learning other than formal, i.e., lifelong learning and learning hands-on (accounting for the specific needs of employers and the needs resulting from living in the information-driven society). In this model, education is not only associated with teaching in schools and institutions of higher education, but also with training, which is ubiquitous and organized by a wide spectrum of entities active in the economy and in civil society, and whose status is equivalent to formal education. In this model, it is not only ministries and government departments that are responsible for educating citizens but also the social partners operating in the economy and in civil society. This broad approach to education may contribute to solving

¹⁶ State of competence and qualifications of people in Poland and the priorities for improving their levels are presented in more detail in the strategic document arising from commitments in the European Union; The prospect of learning throughout life.



faster the problem of mismatch in labour supply and demand in its qualification and professional dimension, which can be observed on the Polish labour market. It can also increase the attractiveness of graduates as employees.

These changes would involve the need to adopt a new, more effective direction of investment in education (education and training), including the following: organizing and developing the system of recognition of qualifications acquired outside the system of formal education (validation system); implementing systems for storing and transfer of information on educational achievements, consistent with European systems; implementing national qualifications framework¹⁷; incorporating individuating mechanisms in education and training programmes; adjusting educational offer to the specific needs of learners of all ages and of the needs of employers; expanding the use of information and communication technologies (ICT) in education and training; developing “distance” learning and training; developing educational and vocational counselling; reforming the scoring in competence examination systems; promoting new forms of adult education based on a system of validation.

These activities will be complemented by a new approach to the organization of early childhood education and care - not oriented to replace parents, but to support them in bringing up young children using more diverse forms of education and care that currently available, including in particular those exploiting the potential of small flexible initiatives organized locally without major investment.

In such an approach, the new investment trends in education and training will be supported by the implementation of the national system for forecasting labour demand, integrated with a system of information about the offer and the quality of schools, colleges and courses as well as with a career guidance system, to allow the learner to choose his/her educational investment wisely. With no such system in place, the anticipative actions, as well as the immediate actions to balance the market – will not be very effective. Measures to improve the quality of human capital need to respond to the challenges of regional labour markets, matching their specific characteristics and needs. It is important, in particular, to improve the quality of schools offering vocational training and at the same time to promote vocational training among young people and other stakeholders, and also to encourage the development of practical training in higher education. Rationalising the selection of educational path will result in a better match between supply and demand sides of the labour market, raising the growth potential of the economy.

In the context of the changing needs of the labour market, a priority task of the state will be to provide equal educational opportunities at all stages of education and training, and to improve of the quality of educational services. The reform of education and training will be focused on enhancing their quality and efficiency to respond to the needs of knowledge-based economy. Support provided in this area will contribute to an effective management of education, to improved training curricula supplemented with innovative elements, and to strengthening the effectiveness of training and education personnel. At the same time, changes will be introduced in the system of evaluation, remuneration and promotion of teachers that will support remaining in the profession of the best teachers and their relevant motivation, and will increase the attractiveness of the teaching profession to young people. It is necessary to enrich the curriculum with competencies and skills needed in the future work. It is also important to make changes in the functioning of schools accounting for the development of civilization - on the one hand - the increased economic activity of parents / carers, on the other - the need to include modern elements in the curriculum, such as civic education, development of creative thinking and the ability to cooperate, engagement in important local issues, and development of digital literacy

¹⁷ Organizing and defining levels of qualifications regardless of the place, manner and time of learning.



and social skills. Developing these competencies should also be an important element of higher education.

It is important for the state policy to encourage having children, ensuring at the same universal access to quality education, including early childhood education. Investment in human capital of the youngest translates in the long-term into tangible benefits in the form of a higher level of prosperity. Citizens should have universal access to quality education throughout life - from various forms of early education until the old age (such as universities of the third age), and the task of Polish schools should not only include general education but also preparation of graduates to meet the needs of the labour market. Hence there is a need to adapt curricula accordingly, to introduce a new model of vocational training based to a greater extent on practical learning, on flexible learning paths, and on promotion of vocational and technical education; and in the area of higher education – to introduce practical training profile, raising the skills and knowledge of students in the sciences of key importance for the economy, to promote cooperation between the institutions of education and the business, as well as with the R&D sector and with the civil sector (NGOs).

Efforts will also be taken to better exploit the potential of universities, in particular, to support education in the fields of mathematics, natural sciences and engineering (due to their priority for the competitiveness of the economy). In addition to equal educational opportunities in regional terms (ensuring equal access to education), it is important to extend additional support for and stimulate the development of leading research centres (for example, National Scientific Leadership Centres) in order to increase innovation and competitiveness of Polish science on the international arena (strengthening the position of Polish universities in international rankings).

Improving the quality of education (teaching and training) will also be enhanced by the introduction of the so-called European reference tools - national qualifications framework, consistent with the objectives of the European Qualifications Framework, including the system of validation, as well as quality assurance systems in higher education and vocational education and training (EQAVET), systems for the collection and transfer of educational achievement (ECVET and ECTS), and systems for classification and forecasting the supply of skills for the labour market (ESCO, Skills Panorama).

Taking into account the fact that health is a significant element conditioning the activity on the labour market and having a decisive impact on the quality of human capital, pro-health and preventive activities will be promoted and supported with a view to prevent diseases which nowadays are the major cause of premature labour market exit and of making use of social security resources (i.e. occupational diseases and lifestyle diseases). Projects for improving health are horizontal. Their implementation, however, should account for territorial diversity - such as health and social factors conditioning health, anticipated trends in this field, and access to health services.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
support for the development of different forms of care and early education for children		Human Capital Development Strategy, Voivodeships Development Strategies
laboratory equipment for schools and educational institutions		Human Capital Development Strategy, Voivodeships Development Strategies



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
introducing changes in education and training: organizational changes and changes of funding principles, with an assumption of financing pro-quality activities		Human Capital Development Strategy Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy
monitoring the effects of the implementation of new general education core curriculum and of the reform of higher education system - in terms of learning the key skills and attitudes (language competence, skills adapted to the requirements of the labour market, work experience, ability of creative thinking); development and implementation of a new model for working with gifted students; propagating teamwork and modern communication and information technologies in teaching; personalization of the learning process.	possible revision of general education curriculum, with even stronger focus on training in key competencies and attitudes	Human Capital Development Strategy Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy
improving the system of external examinations with a stronger focus on the assessment of key competencies; improvement of evaluation as a tool for assessing the work of schools, changes in the assessment of the pupils with greater focus on problem-solving skills		Human Capital Development Strategy Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy
dissemination of digital education		Human Capital Development Strategy Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy Voivodeships Development Strategies
improving the qualifications and skills of staff - introduction of staff training model with emphasis on team work and on practical experience, making use of modern technology, developing vocational skills and qualifications; improving the quality and importance of practice / training for teachers		Human Capital Development Strategy Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy
promoting adult learning based on the most effective forms of education, for example short courses tailored to the needs of learners; learning at work and through community involvement; developing a funding model for adult learning to support the most effective forms of education and to ensure their wide availability, based on financial engineering of public funds, funds of employers and funds of learners		Human Capital Development Strategy Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
implementation of a new model of vocational training based on practical learning and flexible learning paths, and of higher education - practical training, promoting vocational and technical education, etc.; creating possibilities for better cooperation between vocational schools and entrepreneurs; ensuring the possibility to confirm the competencies acquired in learning - other than formal,		Human Capital Development Strategy Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies
introduction of an integrated system of guidance and counselling on education and career paths provided by collaborating institutions of the educational system and of the labour market		Human Capital Development Strategy
listing the "occupations under pressure"; usage of different instruments to acquire foreign workers, whose shortage will be observed in the coming years; preparation of a new concept of migration policy aimed at flexible alleviating shortages on the labour market ¹⁸	implementation of a new concept of migration policy	Human Capital Development Strategy Voivodeships Development Strategies
promoting and supporting pro-health and preventive activities preventing occupational and lifestyle diseases		Human Capital Development Strategy Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies

II.4.3. Increasing labour mobility and spatial mobility

The policy creating conditions for flexible forms of employment, enhancing the mobility of the work force and the competencies of graduates (including digital and cross-cultural competence), as well as circular mobility (in particular with a view to reduce hidden unemployment in rural areas), promoting non-agricultural forms of employment in rural areas, and providing universal broadband Internet access for all residents will increase labour force participation. Towards this end it would be appropriate to modernize the system of professional qualifications, including to introduce solutions allowing for the confirmation of competences acquired through non-formal and informal learning, as well as a support system for increasing or changing qualifications of people who are disadvantaged on the labour market, etc.

Increasing the mobility of the population will be also important for economic development. It is necessary to increase accessibility to labour markets, both in material terms of material - such as transport and housing, as well as in terms of digitization of peripheral areas. Development of transport infrastructure should allow for the possibility of rapid access from the currently less developed (mostly rural) centres to the growth centres, which offer more employment opportunities. Reducing travel time to urban centres will translate into increased willingness to seek employment outside of the place of residence and, consequently, affect the economic development of regions from which the employees come from.

¹⁸ According to recommendations included in "Polityka migracyjna Polski-stan obecny i postulowane działania", adopted by the Council of Ministers on 31 July 2012.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
modernization of the vocational qualifications system so that the qualifications isolated for individual professions would correspond with the European Qualifications Framework via the national qualifications framework (solutions allowing for the validation of competences acquired in non-formal and informal learning, system supporting the increase or changing the qualification of people disadvantaged on the labour market, etc.		Human Capital Development Strategy
creation of an effective housing rental system		Human Capital Development Strategy, Voivodeships Development Strategies
increasing accessibility to transport - access to labour markets		Transport Development Strategy Regional Development Strategy Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies

Objective II.5. Increasing the use of digital technologies

EUROPE 2020:
Digital agenda
for Europe

Contemporary Poland is unevenly developed in terms of access to what is called "a digital society". Approximately 65% of Poles use the Internet¹⁹, there are, however, considerable differences in the use of the Internet in terms of such variables as education, age and place of residence of the population. Younger people are the "digital generation", and in terms of the ability to use the digital world they are equal to their peers from more developed countries. Meanwhile, people over 50 years of age make very little use of the information civilization.

Telecommunications infrastructure itself is also developed very unevenly. The situation is especially difficult in poorly urbanized areas, where costs of network construction are higher and give a lower rate of return, which makes them less profitable for private investors. Despite the upward trend in broadband penetration, this increase is insufficient and Poland is still at a distant place among the EU Member States.

This situation is a product of - inter alia - the availability of the infrastructure and the cost of telecommunications services, as well as the use of digital technologies by businesses and individuals.

Digital Poland cannot be reduced to the reception of content and services generated abroad. This implies the need for an effective generation of services and content over broadband networks, tailored to the interests and needs of individual customers and communities. Although the market will undoubtedly, at least partially, meet the needs of the society, it is the state that should identify strategic objectives and tools to be used for the Polish content and services to become adequate.

In the most developed countries of the world the access to ICTs is widespread. To increase the competitiveness of Poland, it is assumed that the same level of access to the technology and infrastructure, as well as to content and services, and of digital literacy will be provided in our

¹⁹ 64.9% according to data from the publications: The use of ICT in enterprises and households in 2010, CSO, 31/03/2011



country as is considered a standard in the European Union. In the next few years, a strong development of telecommunications services and solutions related to digitization (computerization) of the country is assumed, especially regarding further development of electronic commerce, e-health, digital public services (e-government), e-PUAP and timework (telecommuting). Accelerated digitization of the country will be crucial for the diffusion of development processes.

Our current backwardness, together with the rapid pace of change in the world, require accelerated development of a digital society in Poland. Poland decided, therefore, to choose the "digital momentum" option, consisting in consistent implementation of tasks and processes conditioning the rapid development of the country. The development of the telecommunications infrastructure requires substantial investments which, despite considerable amounts, are characterised by high rates of return.

Construction of the digital society is a horizontal task, i.e. concerning almost all fields of social and economic life, and thus particular tasks related to digitization of the country will be implemented under all the Integrated Strategies. It will be appropriate, therefore, to coordinate the activities of various actors (government, NGOs and private entities) at various levels of management and financed from various sources.

The development of applications of digital technology will also account for various environmental aspects (energy-saving, modern green technologies, public education).

Priority directions of public intervention:

II.5.1. Ensuring public access to the Internet

The rate of development of broadband infrastructure in Poland is still too slow. This is due to the large area of the country combined with relatively small population density and population dispersion. High installation and operating costs of the infrastructure are related to the dispersal of users. Despite the high cost of infrastructure, necessary to be incurred in order not only to meet the current requirements, but also to meet long-term future requirements, development of infrastructure should be a priority of the government in the next few years.

First, it is necessary to enable all households to have access to the Internet, and - in a slightly longer term - provide them with access to fast and ultra fast Internet. Measures to promote the process of turning an analogy TV and radio into digital ones are also important.

It is essential for the state intervention to fit properly to the character of territorial differentiation. Different activities will be addressed to the areas having the character of metropolis (in this case, the activities should focus on the development of next generation network – NGN, because of a relatively high availability of the Internet), and to the areas of rural character, with low population density (where the availability of the Internet is low, and investment is not profitable for private investors).

In this context, the construction of regional broadband networks, implemented by local governments and aimed at reducing geographical risk of digital exclusion is becoming particularly significant. The task of ensuring universal broadband Internet access, makes it a must to achieve an effective coordination of projects to build broadband networks.



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
development of a data communications network, in particular ensuring a broadband Internet access	speed and high-speed Internet technology development (next generation network)	Strategy for Innovation and Efficiency of the Economy Regional Development Strategy Voivodeships Development Strategies
continuing the process of digitization of media space, including the conversion of television and radio analogue signal into a digital one		Social Capital Development Strategy

II.5.2. Promoting the use of digital technologies

A developed digital society requires not only the development of an appropriate infrastructure but also the development of needs, attitudes and skills making it possible for the members of society to take full advantage of new technologies. The progressive digitization will be accompanied by promotion of online services, especially among those 50 + and among rural population, as it is in these groups that the percentage of Internet users is significantly lower than in developed EU countries.

The promotion of the use of digital technologies should proceed in two ways – firstly, through the development of digital literacy and, secondly, through the popularization of digital services, stimulation among the potential users of the need to have Internet access, and through development of the availability of electronic solutions in the field of education, health, justice, economy, and especially the administration and e-PUAP.

In order to build digital Poland it is important not only to stimulate the supply side - that is, to increase the number of high quality services, but also the demand side - that is, to build awareness of these services and to promote their use. A key task of the state in its endeavour to build digital Poland will be the development of citizens' competence in the area of digital literacy. The development of digital literacy will be translated into greater demand for various types of digital services which, in turn, should encourage the market to take action in these areas.

The differences in the skills of using new technologies can lead to the phenomenon of digital exclusion. In Poland, the main variables associated with the division between experts in digital technologies and persons lacking these skills are age, place of residence and education. While among young people the use of the Internet is widespread, the digital exclusion of the elderly is becoming a problem. For this second group, the digital skills are not a natural component of the socialization processes and are strongly correlated with the level of education.

In the development of digital literacy, major efforts will be predominantly focused on two groups of people: people who teach (teachers, staff of other educational and culture institutions, staff of non-governmental organizations) and need to use Internet resources for preparing and conducting courses, training, and coaching, and the elderly people who actually may have a sufficient access to the Internet in the household but often fail to see the usefulness of using the Internet.



Developing digital literacy among educators, who are often models of behaviour for other members of the community, can contribute to a rapid spread of these competencies in their environment. As a result of using digital technologies, students should be inspired to use these technologies in a creative way, and to acquire the ability to obtain useful information. The use of new technologies will also help to raise awareness of the younger generation as regards measures restricting the consumption of materials and the generation of waste (for example, use of e-manuals), as well as CO₂ emission.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
public campaigns to promote the digital economy and to raise awareness of potential users on the benefits arising from the use of the Internet		Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies
developing digital literacy through a general digital public education program		Human Capital Development Strategy Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy Voivodeships Development Strategies
electronic solutions in the field of administration, health, education, judiciary, etc.		Efficient State Strategy
use of digital technologies for synchronizing the activities of public entities (such as employment services and social services)		Efficient State Strategy, Human Capital Development Strategy

II.5.3. Ensuring the quality of digital content and services

Low level of the Internet use results not only from the problems of infrastructure and from the low level of skills, but also from a deficit of relevant content and services tailored to the needs of users. As a consequence, some people who declare having access to the Internet see no need to use it.

It should be noted that providing users with Web content and services is not, and never will be, the exclusive domain of the state, but it is the state that is responsible for creating the appropriate environment (mostly legal) to build a legal offer on the Internet for personal, businesses and offices of various levels.

Readiness of Poland for digitalization - in comparison with other countries in the region - is relatively poorly developed²⁰. It is in particular the readiness of public administration that seems inadequate - the staff often does not use modern technologies properly. An important task of the state is to develop the supply of Internet services, including, in particular, the development of digital public services (e-government), e-PUAP, digitalization of heritage resources, and opening of the public resources. In order to make it possible, it is necessary to prepare the staff of public administration accordingly, by appropriately disseminating knowledge on digital technologies and on the possibilities of their use.

²⁰ Report prepared by World Economic Forum, on the e-readiness: The Global Information Technology. Report 2010-2011. Transformations 2.0., Word Economic Forum, Geneva, 2011.



Increasing the Internet access will be particularly important in poorly populated areas, because – together with rapid development of digital public services (e-government) – it will increase the accessibility to public services. In these areas, public funds may be used for the construction of broadband Internet access, including by the use of free or divided frequencies (wireless broadband).

Taking into account the time and the resources required for this process as well as the importance of the digitalization for the cultural heritage – it should be noted that it is impossible to carry out this process without the participation of public funds. Of particular importance is the role of public institutions in developing standards for this process and in ensuring proper storage of digitalized resources of the national heritage. One of the primary objectives of digitalization is to disseminate the digitalized resources. To create the right conditions to release those resources, relevant provisions of copyright law should be adjusted appropriately.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
creation of methods to build legal offers of content more effective than the current ones; creating favourable environment for the authors and other holders of rights; creating equal opportunities for creating new business models; and distribution of innovative creativity in the digital environment		Strategy for Innovation and Efficiency of the Economy , Social Capital Development Strategy
opening of the public digital resources, and digitalization of the analogue public resources that are of importance but created prior to the digitization of process		Efficient State Strategy, Social Capital Development Strategy Voivodeships Development Strategies

Objective II.6. Energy security and the environment

One of major development challenges for Poland in the coming decade will be to achieve sustainable development through harmonious combination of economic growth with the requirements of environmental protection. The preservation of natural resources without their deterioration, and ultimate increase of their durability and quality, cannot be regarded as a barrier in the development of the country. It is rather a prerequisite for further improvements of the quality of life and of the human right to have access to the natural environment in good condition. The main task becomes thus, on the one hand - to meet growing demand for raw materials and energy, and on the other hand - to find solutions to minimize the environmental impacts, not inhibiting the economic growth, but creating new incentives to stimulate it, especially on areas that have not been urbanized .

The growing demand for raw materials and energy is primarily due to socio-economic changes over the last several years, associated with rapid economic growth and rising standards of living and is to be considered of lasting nature. Appropriate measures should, therefore, focus on reducing energy- and resource-intensity of the economy, maximizing the economic effect. This approach should allow for providing the quantities of raw materials and energy required for constant development, along with reducing the negative impact Of the economy on the environment.

During the past two decades, numerous successful measures aimed at rationalizing and stopping the over-exploitation of national natural resources were undertaken. These measures resulted primarily in a systematic improvement of energy efficiency, accompanied by minimizing the extraction of coal. In parallel, public awareness of the need to protect and preserve natural



resources (particularly scarce and non-renewable resources) increased substantially. However, the growing demand for energy will cause coal mining maintain its level of production in the coming years, despite a decrease in the share of coal in electricity production resulting from the development of new energy sources. Despite a decline in energy demand of the Polish economy by more than half (between the years 1991 and 2007), it is still one of the most energy-intensive economies of Europe. Polish primary GDP energy consumption, expressed in constant prices (base year is 2005) and in purchasing power parity in 2008 amounted to 0.191 kgoe/euro05ppp²¹, and was 25% higher than the European average.

The development of competitive fuel and energy markets contributes to improving the energy efficiency. The main barriers to further improvements in this area are: a small number of connections of the Polish market for electricity and gas with the European systems, a still too low share of the electricity exchanges in the trading of electricity on the domestic market, and incomplete deregulation of gas prices.

The next decade should witness vigorous actions aimed at changing the structure of energy sources and energy efficiency of manufacturing processes and of electricity transmission, at increasing energy and fuel use efficiency by different sectors of the economy (mainly transport, housing, industry), including the public sector, as well as at increased use of energy efficient equipment and technologies.

Enhancement of energy security will be accompanied by – besides the diversification of energy sources - diversification of direction of energy supply. Diversification of energy sources will result from the increase in the share of energy from renewables and from development of nuclear power. In 2010, almost 88% of primary energy came from solid fossil fuels, while about 10% from renewable sources.²² An appropriate strategic choice is to build nuclear power stations; with adequate security of radioactive waste; this energy source is considered to be the cleanest one in environmental terms. Nuclear power, compared to energy from fossil fuels, is characterized by a significantly lower cost of energy production, and additionally - negligible emissions of CO₂ and dusts. Despite the significant investment costs, nuclear power is considered in the long-term to be the most cost effective because of the cost of energy production, the high rate of capacity utilization, and the long effective lifetime of the plant reaching up to about 50 years. Low diversification of the directions of energy supply manifests itself in the fact that over 90% of supplies, of both oil and natural gas, come from the East. Investments will be continued to build the infrastructure allowing for supplies of energy from other directions. Work will be also conducted with a view to exploit shale gas through identification of resources and through preparation and implementation of transparent legal and administrative structures.

Key investment priorities will include the construction and development of interconnections in the north-south direction, and the integration of gas transmission systems in the region around the Baltic Sea. These connections, along with the expansion of liquefied natural gas (LNG) terminal in Świnoujście and of internal transmission networks, will constitute an extremely important part of the process of building a regional gas market.

In the past 20 years, considerable successes were achieved in the field of environmental protection. The loads of pollutants discharged into surface waters and into the air were reduced, industrial waste management problems were brought under control, the impact of solid organic substances was limited, and a significant portion of the risk to human health stemming from industrial sources was eliminated, together with the environmental threats to biotic and abiotic

²¹ Kgoe – kilogram of oil equivalent, euro05ppp – market rate euro value in 2005, currency buying value taken into account.

²² Source: Fuel and Energy Economy in 2009-2010, CSO, Warsaw 2011

environment. However, air quality still remains a major problem, especially in urban areas - as a consequence of the so-called low emissions and emissions from transport and households.

Gradual improvement in the awareness on environmental protection and on energy saving, however, is accompanied by unclear legal conditions and by low efficiency of law enforcement. Therefore, a key task is therefore to establish and implement an effective and stable legal and institutional system which would ensure effective protection of valuable natural areas and species, would halt the decline of biodiversity, and where possible – enhance the biodiversity. It is particularly important to address the issue of the rational use of natural resources in the school curriculum, starting in the early school years.

Polish ecological network is rather fragmented and does not constitute a system of coherent areas connected functionally and territorially, so as to guarantee the conservation and sustainable use of biodiversity in the long run. Actions aimed at countering the fragmentation of space and at creating solutions conducive to the protection of natural resources will thus be undertaken, particularly through the creation of ecological corridors allowing for migration of fauna and flora systems on regional, national and international levels. Improvements of the environmental quality will simultaneously affect the quality of life of the society, expecting to be provided with opportunities for recreation in appropriate environmental conditions.

The challenge for societies around the world is to adapt to the current and future impacts of climate changes, allowing for minimization of harm and dangers those changes cause for humans and in the environment (the intensification of catastrophic events, prolonged droughts and other natural disasters and extreme weather events, rising ocean and sea levels).

In the context of adaptation to climate changes in Poland, the starting point would be to identify sectors / areas particularly sensitive to climate changes and to determine for them appropriate plans plan of necessary adaptation procedures.

Priority directions of public intervention:

II.6.1. Rational management of resources

Natural resources are the foundation of the economy and they affect the quality of life. High resource intensity of the Polish economy may undermine the development of modern, competitive and low carbon economy. The appropriate tasks will be implemented through a comprehensive and integrated approach to the efficient use of resources. Therefore, actions to be undertaken will cover all key areas, including climate changes, energy efficiency, resource policy, agriculture, transport, construction, water management, waste management and conservation of biodiversity.

Numerous actions aiming to reduce the consumption of energy and the demand for resources by the economy, as well as to reduce environmental burdens, will be supported by the state. In a situation of limited access to natural resources, the need to use recycled materials is particularly important for sustainable development.

The basis for rational management of resources should be comprehensive information regarding their size and quality. One of the instruments of the proper management of resources is to include the principles of sustainable development in the planning processes.

What is key in this context is the proper recognition of the national geological resources (especially energy related) and the security of the deposits considered essential to the energy security of the country. Strategic deposits will be included in the strategic spatial development and land use plans, which will promote the rational management of the areas in which these deposits are located and will also guarantee a differentiation of methods of deposit protection in the investment process. Simultaneously, work will be continued on the reconnaissance of the extraction potential of unconventional hydrocarbon resources (such as shale gas and gas trapped



in the pores of the rock). Assuming the evidence of deposits at the currently estimated level of 346 - 768 billion m³ in the most likely scenarios (1.92 trillion m³ in the maximum scenario) and the production costs at a competitive level in relation to the cost of gas imports in about 10 years, it is possible to obtain a significant increase in the supply of gas from domestic sources. This will require intensive exploration works in the coming years. In parallel, in the planning of the future exploration and exploitation of the shale gas, intensive cooperation between industrial and research institutions will take place as regards the impact of shale gas extraction on the environment. Successful completion of geological exploration of unconventional gas (years 2015-2016), together with the inclusion of strategic deposits in spatial planning, and with the development of these deposits, will significantly increase the level of energy security of the economy and of the population.

The development of modern technologies of extraction of geological raw materials will be supported. It is also necessary to develop a long-term policy for the protection of geological resources and for their use for production purposes.

It is estimated that some parts of the country may face a problem of water shortage within the next 20-30 years. To prevent the degradation of waters, and thus the reduction of the volume of good quality water, preventive measures will be taken aimed at a more rational use of water, as well as at equilibrating the collection and recovery of water resources, and at a high level of waste water treatment. Planning documents concerning the management of water resources will include water impoundment in the entire country, and will take into account the management of rainwater in urban areas. Reimbursements will be provided for water services in accordance with the "polluter pays" principle, and incentives will be offered for users to make efficient use of water resources²³.

Polish natural resources are undoubtedly an important element of Poland's wealth, however, they are substantially underappreciated. Conservation of biodiversity is essential if Poland is to meet the requirements of intergenerational equity understood as access to the wildlife resources for future generations. The main goal in this area is halting the decline of biological diversity and ensuring a favourable conservation status for a possibly large number of species and habitats.

Ongoing efforts to protect and maintain biological diversity will involve the provision of effective and proactive protection of valuable natural sites, habitats and species in areas belonging to the Natura 2000 network, while taking account of the developmental processes and aspirations of the country, its regions and local communities. Actions will be implemented to stop the defragmentation of the environment and to maintain the continuity and protection of ecological corridors. The size of protected areas will be increased, and the so-called green infrastructure in the vicinity of protected areas will be created. Restoration of adversely impacted ecosystems will be carried out, including aquatic ecosystems, marshes, swamps and bogs, also those degraded and abandoned by their current users. This kind of action will be accompanied by integration of the active protection of cultural and natural landscapes, as a carrier for potential development.

Actions will be taken to preserve agricultural land in the state of readiness for production, taking into consideration the requirements of the environment and activities aiming to optimize the genetic base of crops, livestock and fisheries.

The effectiveness of the rational management of the environment is determined by increased public awareness and it requires promoting green behaviour of the Poles via conducting well-targeted and properly selected information and education activities.

²³ In accordance with the requirements of Directive 2000/60/EC of the European Parliament and the Council of 23 October 2000 establishing a framework for Community action in the field of water policy (the Water Framework Directive).



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
introduction of an integrated system of conservation and management of natural resources, based on a comprehensive inventory, and integrating this system with spatial development plans	creating conditions for the protection of ecological corridors, including the creation of the so-called green infrastructure in areas other than Natura 2000	Strategy for Energy Security and the Environment Voivodeships Development Strategies
restoration and maintenance of favourable conservation status of habitats and species		
national approach in spatial planning to the strategic resources (including coal and lignite)		Strategy for Energy Security and the Environment
support for research and development in the field of technologies using coal to produce liquid and gaseous fuels		Strategy for Energy Security and the Environment Strategy for Innovation and Efficiency of the Economy
identification of unconventional gas resources from shale and coal bed methane, and from geothermal resources		Strategy for Energy Security and the Environment
continuation of catchment area based water management system		Strategy for Energy Security and the Environment
establishment of protected areas for the major reservoirs and groundwater protection zones of underground water intakes	natural regeneration of adversely impacted ecosystems, including aquatic ecosystems, marshes, swamps and bogs	Strategy for Energy Security and the Environment
implementation of a new water-pricing policy, to support financing of water management and taking into account all the main sectors (utilities, industry, agriculture)	reducing water intensity of the economy	Strategy for Energy Security and the Environment Strategy for Innovation and Efficiency of the Economy
continued implementation of the requirements of the Water Framework Directive 2000/60/EC		Strategy for Energy Security and the Environment
rational management of agricultural and fisheries production		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies
educational and information campaigns on the efficient use of resources, including the resources of the NATURA 2000		Strategy for Energy Security and the Environment Voivodeships Development Strategies

II.6.2. Improving energy efficiency

Improving energy efficiency is one of the priorities of the EU energy policy. The Climate and Energy Package sets a 20% target improvement in energy efficiency by 2020.

Improvement in energy efficiency may be perceived from the perspective of producers and of consumers of energy. With regard to ensuring the necessary supply of electricity and heat, activities are planned aimed at restoring and strengthening the existing facilities and at building new power lines, in particular with a view to allow for trans-border transmission of electricity between neighbouring countries and for the implementation of the so called smart grid solutions. It is also



assumed that the existing regulatory mechanisms will be changed, such changes consisting in particular in the implementation of the heat pricing methods based on reference prices and in the introduction of incentives to optimize the costs of the supply of heat.

The modernization of electricity sector will include improving the efficiency of the transmission grid, the reducing the loss of electricity in the transmission networks, and improvements in efficiency and loss reduction in the facilities of manufacture and of use of energy through the introduction of energy-saving and highly efficient technologies. In order to reduce the failure rates of the system and the electricity transmission losses, as well to enable the integration of different energy sources (RES, nuclear energy, etc.), significant modernisation investments will be required. Stronger connections in the north-south axis transmission lines and the development of connections with north-eastern areas of the country are becoming particularly important. Efforts will also be made to support measures in favour of co-cogeneration of electricity and heat, increasing the final energy efficiency of the power plants, particularly in areas where it is possible to use the so-called "district heating". In addition, the development of diffused, outside of grid, energy generation sources will be encouraged, in particular including those based on production capacity - primary and secondary - of agriculture and fisheries) will be supported.

Factors crucial for reducing energy consumption will include: efficient use of electricity and heat by end users in various sectors of the economy - in the energy sector itself, in construction and in industry, together with fuel efficiency in the transport sector, and a reduction the energy intensity of materials and equipment. In compliance with Directive 2010/31/EC on the energy performance of buildings, it is expected that the system of assessment of energy performance of buildings will be improved through a gradual change of energy standards for new buildings as well as for the converted ones. The role of energy performance certificates of buildings is expected to be strengthened and their quality to be improved, and such certificates will constitute the basic selection criterion when buying or renting a building or an apartment. It is also anticipated that the technical and construction requirements will gradually become more stringent in order to be optimal in terms of costs, while accounting for the technical progress in the construction sector and significantly reducing energy consumption in buildings. The ultimate objective of this system is to promote energy efficiency of buildings and to increase the awareness as regards the possibilities to achieve energy efficiency in buildings, taking into account economic calculation. Improving energy efficiency will be enhanced by the use of available and proven technologies in the area of energy efficiency of buildings and district heating, which may result in savings in final consumption of heat and energy of about 15-35%, compared to the pre-retrofit of the buildings. In addition, consistent marking of energy consumption of appliances and energy using products, and establishing minimum standards for energy consuming products are assumed.

Efforts aimed at increasing energy efficiency among both manufacturers and end users will be supported by actions to develop competitive fuel and energy markets. Markets for coal and liquid fuels can be considered competitive, but the markets for natural gas, electricity and district heat require further liberalization measures. In parallel, actions will be taken to protect and "activate" consumers in these markets. The connection of the national system with the Scandinavian countries and the countries of Central and Eastern Europe through the electricity exchanges will expand access of the market participants to foreign electricity exchanges, contributing to the development of competition in the country.

New pricing methods for heat will be introduced, based on using the reference prices and incentives to optimize costs of heat supply. An important task will be to review the State regulatory powers as the tools of liberalization in the area of natural gas, electricity and heat supply networks.

Improvements in energy efficiency will be well served by developments of innovative technologies in the energy systems. Such improvements will result, in particular, from the advent



of a new generation of machinery and equipment for energy and heat production based on the renewables - on using the nuclear reactors for the cogeneration of heat and electricity and on IGCC gas-steam cycles (steam-gas power plant technology with integrated fuel gasification). Reducing the environmental impact of energy generation will foster the implementation of clean coal technologies (CCT).

By 2020, Poland will fulfil its commitments to reduce greenhouse gas emissions imposed by the provisions of the Climate and Energy Package under which the European Union is required to reduce the total emissions by 20% until 2020, compared to 1990.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
modernization of regional and local the infrastructure for the transmission and distribution of electricity (including allowing the use of renewable energy) and the development of diffused energy outside the grid with the use of indigenous renewable energy sources		Strategy for Energy Security and the Environment Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies
Introducing the system of white certificates ²⁴ , mandatory energy performance certificates for buildings, setting new requirements for thermal protection and energy efficiency of buildings, introducing the requirement to analyze highly efficient alternative systems at the stage of designing a building,	marking energy intensity of equipment and products that consume energy, introducing minimum standards for products that consume energy	Strategy for Energy Security and the Environment Strategy for Innovation and Efficiency of the Economy
support for thermal modernization of buildings and for modernization of the existing heating systems with the use of available and proven technologies		Strategy for Energy Security and the Environment Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies
developing innovative technological solutions in search for innovative methods of restricting the greenhouse gas emissions ("clean technologies")	installations constructed using "clean coal" technology	Strategy for Energy Security and the Environment Strategy for Innovation and Efficiency of the Economy
Connecting the national system with the Scandinavian as well as Central and Eastern European markets through energy exchanges		Strategy for Energy Security and the Environment
support and implementation of integrated systems for management of the demand for energy and heat		Strategy for Energy Security and the Environment Voivodeships Development Strategies
implementation of the EU regulatory framework for the functioning of the internal market in natural gas and electricity, which would guarantee full ownership separation of raw materials transmission from other activities		Strategy for Energy Security and the Environment

²⁴ **White certificates** - a system encouraging energy efficiency; white certificates (certificates of energy efficiency) will be issued for the implementation of undertakings to improve energy efficiency. The Minister of Economy publishes by notice a detailed list of such undertakings.



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
price of natural gas extracted in the country to be regulated by the market		
stimulating trade in gas through gas exchanges and parallel progressive deregulation of prices		Strategy for Energy Security and the Environment

II.6.3. Increasing the diversification of fuel and energy supply

One of Poland's priorities in the next decade will be to ensure energy security through the diversification of production and supply of fuels and energy. Numerous investments will be necessary to eliminate the risk of power deficits and to enable a significant increase in power generation capacity after 2020.

Security of supply requires the diversification of both sources and directions of fuel and energy supplies. Over the next ten years, coal will remain the main fuel for electric power generation. It will be important, therefore, to meet the domestic demand for coal and to ensure its stable supply to customers, together with the required quality parameters. As to the oil and liquid fuels markets, basic investment will include the construction of infrastructure for transport of crude oil from different regions of the world, in particular from the Caspian in the framework of Euro-Asian Oil Transportation Corridor project, as well as the expansion of transmission, transshipment and storage infrastructure for petroleum and liquid fuels. Given the need for further reduction of the emissions of key pollutants from combustion processes of fuels, and to radically reduce greenhouse gas emissions, it will be necessary in the coming decades to modify the Polish energy mix. Plans exist to develop natural gas energy generation to the level that would balance the growing demand for electricity, while simultaneously reducing emissions. Power generation based on natural gas will be important for the supplementary balancing of energy shortages and for reducing the volatility of production from RES. It will also be used as an energy source in co-generation. Diversification of gas supplies will be supported by the construction of transmission systems enabling the delivery of natural gas from the north, the west and the south. Access to geographically distant sources will be possible thanks to investments ensuring the storage capacity - building a terminal for receiving liquefied natural gas (LNG) in Świnoujście and increasing its capacity. Efforts will be made in the area of nuclear power. The construction of the first nuclear power plant covering about 7% of net demand for electricity will start within the period covered by this strategy document (using modern nuclear safety regimes). Due to public concern related to the construction of nuclear power plants, it is necessary to conduct an information campaign and educate the public in this field. The share of RES in final energy consumption will increase to a minimum of 15% in 2020, in line with the objective set for Poland in the Climate and Energy Package. Promoting the use of renewable energy will help to increase regional energy security and to create conditions for the development of diffused power generation sources, based on locally available raw materials, and thus the development of less developed regions, rich in renewables.

Legislative action aimed at removing barriers to investment, in particular for large infrastructure projects and investments is also assumed to take place within the period covered by the strategy.



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
drafting legislative solutions eliminating barriers to investment		Strategy for Energy Security and the Environment
doubling gas storage capacity - the construction of LNG terminal	increasing capacity of the LNG terminal	Strategy for Energy Security and the Environment
adopting Polish nuclear power programme, preparatory work related to the construction of a nuclear power plant	construction of the first nuclear power plant	Strategy for Energy Security and the Environment
increased use of RES (identification, comprehensive inventory and selection of key sites)		Strategy for Energy Security and the Environment Voivodeships Development Strategies
promotion and development of energy infrastructure projects, important for strengthening the security of energy supplies, including: development of transport infrastructure, development of selected product pipelines		Strategy for Energy Security and the Environment

II.6.4. Improving the environment

Major factors determining the quality of the environment include: clean air, clean water, clean soil, and proper waste management. In all these areas there are still issues that need to be regulated and adjusted to a level compatible with the strategic lines of action defined by the European Union. Investing in water conservation and in waste water services, waste management and air protection, as well as actions to enable market participants to address the challenges of sustainable development are, therefore, important. All these undertakings should be accompanied by mechanisms to improve environmental management, including access to environmental data.

Long-term measures to reduce dust emissions and other air pollution, especially in the sectors of highest emissions (energy, transport), as well as from diffused emission sources (small industrial plants, small boiler rooms) and from private sources in housing (the so called low emission sources) will contribute to improvements in air quality.

In order to achieve these goals, the use of innovative technologies in the industry will be promoted as well as of alternative fuels and solutions to increase fuel efficiency in transport and energy, and the use of low-carbon fuels in housing.

A management system will be created for national levels of greenhouse gas emissions. By 2020, the EU will reduce emissions of greenhouse gases by 20%, compared to 1990. After the adoption of the 2005 reference level in the Climate and Energy Package, Poland, together with other EU countries, will reduce the greenhouse gas emissions in accordance to the ETS emissions trading scheme by 21%, while in the non-ETS area, Poland will be able to increase emissions by 14% in 2020, compared to 2005. Long-term policy aimed at reducing emissions will be supported to encourage changes in production technologies.

Actions will be strengthened to protect groundwater and surface water by reducing pollution from point and area sources. Activities improving water quality will be related to wastewater management systems, especially fulfilling the objectives and tasks of the National Programme of Municipal Wastewater Treatment (NPMWT). The aim of the programme is to build sewage treatment plants and sewage pipeline systems in agglomerations, as well as performing parallel tasks in the areas not covered by NPMWT.



In order to reduce the amount of pollution resulting from agricultural activities, the development of knowledge on the environment will be promoted by supporting good agricultural practices. Measures will be also undertaken to protect the unique ecosystems and flora and fauna associated with agriculture and fisheries as well as measures aiming to minimize the risk of introduction of alien species into the environment that would endanger native species.

Completion of the construction of an effective system of waste management will be necessary, especially of municipal and hazardous waste. The main goal of the waste management policy should be to prevent waste the production of waste "at source" and to support the maximum recovery of materials and / or energy contained therein. Appropriate actions will also include the introduction and implementation of the "3R" (reduce, reuse, recycle) rule as well as the management of the closed loop waste circulation. These will include among others: introduction of a selective waste collection system in Poland, construction of installations for the recovery (including recycling) and disposal of waste, closure and reclamation of municipal waste landfills that do not meet the standards set by law or that are harmful to the environment, elimination of the illegal landfills, reduction of the amount of waste deposited in landfills, for example, through subjecting it to recovery. Legislative changes to remove obstacles to investment in the priority areas of modern waste management will be introduced.

An important area of action will be also the promotion of sustainable production, sustainable consumption and sustainable industrial policy. The process of transformation towards a green (low carbon) economy will be accompanied by structural changes in the domestic economy, mainly due to the dynamic development of the sector of medium and high technologies and services.

Another important task will consist in reducing health problems arising from environmental pollution, to be achieved mainly by reducing releases of hazardous substances and by effective control of the substances introduced into the environment (E-PRTR Regulation, REACH)²⁵. General measures aimed at the promotion of sustainable development are also important, such as: implementation of Integrated Product Policy (IPP), promotion of environmental technologies, implementation of environmentally friendly patterns of production and consumption. In this context, activities under the concept of efficient use of resources that aim to integrate environmental and economic areas so as to maximize resource productivity with minimal impact on the environment are becoming particularly important. A noise protection policy is also assumed to be implemented, including the reduction of the impact of noise sources, construction of noise barriers, development of noise monitoring systems, construction of urban ring roads, and use of quiet road surfaces.

General support will also be given to projects aimed at the development and promotion of Poland's own environmental technologies, at creating ecological attitudes of Poles, at the development of environmental education, at creating conditions for the formation of green jobs at promotion of "green" purchases in the public administration and in business.

Methods of eliminating natural-spatial conflicts and barriers to sustainable development and minimizing the negative effects arising from possible conflicts, especially between development

²⁵ E-PRTR - European Register of Pollutant Release and Transfer; REACH - Registration, Evaluation and Authorisation of Chemicals - Regulation (EC) No 1907/2006 of the European Parliament and Council of 18 December 2006 concerning the Registration, Evaluation, Authorisation and Restriction of Chemicals (REACH), establishing a European Chemicals Agency, amending Directive 1999/45/EC and repealing Council Regulation (EEC) No 793/93 and Commission Regulation (EC) No 1488/94 as well as Council Directive 76/769/EEC and Commission Directives 91/155/EEC, 93/67/EEC, 93/105/EC and 2000/21/EC, concerning the safe use of chemicals through their registration and assessment and in some cases, releases and limitations trade and use of certain chemicals.



programs and protected areas, including those belonging to the Natura 2000 network, will be defined. Methods used for this purpose will include the institution of environmental impact assessment. As part of arrangements on space management, initiatives will be undertaken to reduce the potential negative effects of further economic development for the environment, especially in connection with the development of communication networks, for example, by providing an appropriate amount of properly localized animal crossings on Natura 2000.

In the economic transformation to the green path, sustainable infrastructure will play an important role. Another priority will be shaping the quality of urban space. The growing role of large urban centres requires the creation of standards for sustainable development in urban areas as well as changes in approaches to environmental protection in these areas. Measures will be implemented for sustainable urban planning, fostering increase in the quality of life in urban areas, including the creation of public space, of urban green infrastructure functional areas, of zones of aeration in the cities as well as of quiet zones. Cities, as urban agglomerations and industrial, large clusters of population, affect the environment significantly, not only within their borders, but also in a wider adjacent area.

Measures will be taken to manage the urban environment and adapt cities to the climate changes. Low-carbon solutions will be implemented, among others in the field of sustainable urban transport, infrastructure, improvements in the efficiency of heating, upgrade of lighting, etc.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
preparation and implementation of legislative, organizational and financial instruments to improve air quality		Strategy for Energy Security and the Environment
introduction of a system of management of national levels of greenhouse gas emissions		Strategy for Energy Security and the Environment
ensuring efficient and effective wastewater treatment in all agglomerations with a population equivalent of over 2000		Strategy for Energy Security and the Environment Voivodeships Development Strategies
dissemination of good agricultural practices		Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies
implementation of a modern municipal waste management system and construction of installations for the recovery, including recycling and disposal of waste	construction of installations for the recovery, including recycling and disposal of waste	Strategy for Energy Security and the Environment Voivodeships Development Strategies
reducing emissions and ensuring better control over the substances introduced into the environment (E-PRTR Regulation, REACH)		Strategy for Energy Security and the Environment
defining the ways of eliminating conflicts and natural spatial and barriers to sustainable development; minimizing adverse effects of possible conflicts which arise between development programs or spatial development plans and protected areas, including Natura 2000 sites		Strategy for Energy Security and the Environment Voivodeships Development Strategies



II.6.5. Adapting to climate change

A key task in this area is the development and effective implementation of system solutions for adapting to changing climatic and hydrological conditions, including minimizing the effects of natural disasters and of extreme weather events. Adapting to climate change will involve the adjustment of risk sectors and areas (agriculture and forestry, water resources and water management, biodiversity and ecosystems, coastal zone and maritime management, transport, energy and mining, construction, metropolitan areas, spatial planning, local communities) to new conditions and climatic events, including ensuring the supply of energy and fuel, the prevention of temporary water shortages and the improvements in the crisis management systems.

Actions will be taken to reduce the impact of drought and prevent the development of steppe. It is necessary to reduce the risk of the extreme weather events as these become more frequent, particularly regarding flooding along the waterways. All actions aiming to minimize the risk of flooding will be provided for in the flood risk management plans. The findings of these plans will be included in spatial planning at all levels. Flood risk management plans put particular emphasis on prevention, protection, proper security, including flood forecasting and early warning systems, and take into account the characteristics of the river basin or catchment. These plans may also include the promotion of sustainable land use practices as well as effective water retention and controlled flooding of certain areas (such as polders, dry reservoirs) in the event of flooding. In addition, in the area of water management plans, infrastructure operations and monitoring and warning efforts will be implemented, such as the development of small and large forms of retention, proper maintenance of mountain rivers and streams, restoration of riverbeds and wetlands, and the introduction of effective flood warning systems. Introduction of a modern planning system based on GIS technology should solve the problem of issuing building permits in areas of landslides and flood plains. It is necessary to develop new, standardized spatial information systems, accessible via the Internet, and including the information on environmental hazards, allowing for the identification of hazards related to the systems of land registration. Acceleration of the decision making processes and reduction of administrative barriers in the field of risk management requires, among others, effective water management in the catchment system.

One of the important actions is to protect the coastal zone as the most vulnerable to climate change, including the provision of effective and safe coastal protection for the environment and natural values, minimizing the effects of erosion of the coastline and ensuring an effective pollution control of the sea and parts of maritime rivers. Equally, marine environment should be used a sustainable way, guaranteeing that current and future generations will have the possibility to use this environment and to conduct activities embedded within it. What it means is that the structure, functions and processes of marine ecosystems need to be fully taken into account, that marine species and habitats should be protected, and that the loss of biodiversity caused by humans should be inhibited. The effective protection of the Baltic Sea and the maintenance of the marine environment in good quality requires a concerted effort to reduce pressures and negative impacts on the environment of the Baltic Sea. All this will be implemented on the basis of functional planning for coastal and marine areas.



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
drafting the adaptation plan for sectors and areas sensitive to climate change		Strategy for Energy Security and the Environment Strategy for Innovation and Efficiency of the Economy
conducting educational campaigns about climate change and the ways to adaptation to it		Strategy for Energy Security and the Environment Voivodeships Development Strategies
implementation of flood protection measures (including infrastructural measures and warning-monitoring activities), completion of necessary investments in flood protection facilities, including in Świnna Poręba, Racibórz, Włocławek and in Żuławy region.		Strategy for Energy Security and the Environment Voivodeships Development Strategies
inclusion in national, voivodeship and municipal spatial plans of the boundaries of areas exposed to flood hazards, as per the flood warning		Strategy for Energy Security and the Environment Voivodeships Development Strategies
introduction of building standards aimed at reducing the loss resulting from natural disasters		Strategy for Energy Security and the Environment
investments aimed at reducing adverse impact of weather on the economy (for example, on agriculture, transport, energy, and construction sectors)		Strategy for Energy Security and the Environment Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies
development and implementation of programs of protection of marine waters and programmes of marine monitoring, along with corrective actions regarding marine waters	decreasing the amount of pollution with compounds of nitrogen and phosphorus flowing into the Baltic Sea	Strategy for Energy Security and the Environment Voivodeships Development Strategies

Objective II.7. Increasing the efficiency of transport

Transport is one of the key factors determining economic development of the country. Availability of transport infrastructure and its adequate capacity allows for the diffusion of economic growth from the strong regions to the ones developing more slowly.

Poland's transport infrastructure is one of the weaker elements of the Polish economy. It does not match the entrepreneurship of the Poles, nor the intensity of production and exchange or the mobility of residents. The current problems include: a high degree of wear of several infrastructural elements, both lines and terminals, the occurrence of bottlenecks and missing links, uneven regional distribution, inadequate availability of the network, lack of network adjusted to the high speed traffic, poor connections between the built-up areas, insufficient infrastructure elements and poor systems integrating different types of networks, network elements causing nuisance for the residents and for the environment, a small number or the lack of intelligent and innovative *solutions*. The high number of traffic accidents, deaths and injuries remains a significant problem.



The long-term objective for Poland is to achieve network density and capacity corresponding to the developmental needs of the country and of the regions. This will facilitate the development of the regions, by increasing the territorial accessibility of peripheral areas, and will at the same time allow for making the best use of the transit position of our country. The planned infrastructure investments will be aimed at creating an integrated and coherent transport system. This will involve the designation of a two-tier structure: the core network - defined by nodes and links of key importance for our country and accounting for the process of international integration; and the complementary network - aimed to ensure territorial cohesion. The creation of a coherent transport network and the eradication of peripheralization of our economy are among the main determinants of the development of Poland.

The most important goal for Poland for 2020 is to increase the external and internal (inter-regional and local) territorial accessibility. Measures should, therefore, be taken aimed at eliminating peripherality, both of the country and of its regions. The second leading objective fostering improvement of territorial accessibility is to create a coherent transport system, making it possible to transport goods and people efficiently, using different means of transport, and taking into account the ecological characteristics of rail and inland transport. The model of funding will be changed, increasing the revenues from the use of transport infrastructure (depending on the type of transport) and involving extra-budgetary funds.

Priority directions of public intervention:

II.7.1. Increasing the efficiency of management in the transport sector

The long lasting process of completing the formalities necessary before launching an investment in transport infrastructure (including environmental conflicts) implies a need to change the management of investment processes, including to further simplify the process that condition the preparation and implementation of an investment. Better integration will be ensured of transport investments with spatial development plans and with environmental plans, with regional policy and with legislative adjustments.

The model of financing infrastructure in Poland is neither uniform, nor coordinated or optimized, and as such it does not prove as efficient as it could be. This model is made up of numerous components, it provides complex procedures and complicated requirements, it is inconsistent with regard to various entities which construct and manage infrastructure. Moreover, instead of being complementary, various sources of financing seem to "compete" with each other. High investment costs and the burden on the public finance sector, including state and local government budgets, will require a coherent model of financing the transport infrastructure (state budget, EU funds, capital market, private investors, loan guarantee instruments, toll collection system); changes will also be required in the principles of financing transport investments by local government units (LGUs). As regards decisions on new infrastructure projects, such as the Central Airport and High-Speed Rail, their implementation will require adequate preparation and acquisition of private funds. New infrastructure investments should be a future source of revenue for the state, which would then be allocated for operation, maintenance and development of the existing facilities, as well as for further investments, if possible. The investment projects to be implemented should be aimed, in the long-term, at generating revenues, to enable the maintenance and management of infrastructure, in accordance with the principle "user pays".

Also the possibility should be considered of increased participation of the private sector in the implementation of projects, in particular in the form of public-private partnership (PPP). The mechanism of public-private partnership can provide an effective alternative for financing investment from the domestic or the European budget, based on past experience in similar



projects. The combination of private and public resources in the long run could increase the effectiveness not only of financing, but also of the management of infrastructure projects. In order to create an effective system of financing infrastructure, it is necessary to open this system to private capital, as well as to use more extensively the instruments such as bank loan guarantees. Such mechanism would bring about better results in terms of timely delivery of investments and in terms of proper allocation of risk, resulting in spreading the expenditure of the financing authority over time. The changes in fees should not result in deterioration of the competitive position of the Polish entities abroad.

The new sources of financing the construction of infrastructure should take into account the access charges paid by the users. The level of charges should be based on the type of transport and it should be calculated to account not just for normal operation and maintenance, but also for the necessary development. The system of charges should also take into account the external costs of a given branch of transport. A system of tariffs will be established, comprising the charges for using the infrastructure, depending on the type of transport and the length route. These measures will increase the pool of finance allocated for construction of transport infrastructure.

Preparation and implementation of infrastructure investments requires the management approach, oriented towards achieving the objectives and towards increasing the efficiency, including in particular financial, asset and risk management. Organizational and management structure, including the current system of management and of monitoring the preparation of investment projects and their implementation, must be supplemented by an effective system for monitoring maintenance of the existing infrastructure and by a permanent mechanism of financing the needs in this regard. Also organizational changes are required to improve the efficiency of the system.

Prioritization of investments will be introduced at national and regional levels, accounting, for example, for the need for access to the labour market or for the location of the region. The investments to be implemented will be selected based on reliable indicators, research, and analyses, including costs and benefits analyses. Thanks to this activity, investment closing stages will be effectively realized (in particular the linear ones).

A user-friendly transport system will be developed as well as regulations fostering the integration of the transport system. Key actions aimed at the deployment of intelligent transport management systems will include: the improvement of facilities for collection and distribution of data on the status and use of transport infrastructure (for example, information about traffic jams), the development of a system of management and control of urban traffic and of the roads outside urban areas, the introduction of systems increasing traffic safety (including the construction and development of automated traffic surveillance), the development of integrated management of accidents, as well as the development of an Integrated System for Passengers and Freight.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
facilitating investment processes		Transport Development Strategy
institutional changes to improve management efficiency in the transport sector		Transport Development Strategy



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
developing a model for financing, operation and maintenance of transport infrastructure in the future - financial engineering (state budget, EU funds, capital market, private investors, loan guarantee instruments, toll collection system)		Transport Development Strategy
changes in the rules of financing transport investments implemented by local government units		Transport Development Strategy Regional Development Strategy
implementation of an intelligent transportation management system (including ITS, ERTMS)		Transport Development Strategy Voivodeships Development Strategies

II.7.2. Modernization and expansion of transport links

In the coming decade, it will be a priority to invest in transport networks of national importance - in all branches and in the inter-nodes, aimed to improve the access to the interior of the country and to enhance the economic exchange, including between major centres of economic growth and between urban centres (metropolitan network), as well as within their functional areas. At the same time, investments will be made aimed at improving the external accessibility of the country, with the key role of the TEN-T network in the creation of an effective transport policy and of a coherent network of infrastructure in the European Union.

In the context of ensuring territorial cohesion, it would be of necessary to expand the infrastructure links connecting urban centres located in peripheral areas with the metropolitan network. In addition to the priority for investment in roads and railway lines of national importance, transport investments in these areas and selected local projects will be supported, which provide additional connections between towns; also systems supporting national and provincial transportation will be assisted. Construction of these transport links will depend on the financial capacity of the state budget.

There is a need to place greater emphasis on the complementarity of activities undertaken by different actors at national, regional and local levels (vertical complementarity), as well as within various sectors of the transport sector (horizontal complementarity). Complementary activities aimed at creating an integrated national transport system will be implemented at regional and local levels, to ensure that they form a coherent and coordinated whole.

In relation to road infrastructure, a coherent network of motorways and expressways will be created, essential to the effective functioning of the transport system on national and international scale, and serving major transportation corridors and providing functional links between major centres, including in particular, between Warsaw and the main voivodeship centres. The reconstruction of national roads, which will improve the road safety, will be continued. Travel conditions for the transit traffic and traffic services in metropolitan areas and in big cities will be improved. A program will be implemented for the construction of ring roads around cities and large towns (including around Warsaw) as well as a program of traffic calming on the roads passing through cities, towns and small villages. There will be changes introduced in the hierarchy of priorities for some road projects. Transport investments will be subject to the criteria of transport network and systems formation logistics, with a view to increase the integration by strengthening such elements as: intermodal systems, intelligent traffic and handling control systems.



Rail infrastructure projects will be implemented to modernize the main lines and the supporting infrastructure (including railway stations), and to modernize or replace the rolling stock. The investment in rail infrastructure network will be accompanied by the development of rail passenger and freight traffic, particularly in the most promising market segments. Obtaining a high standard of railway connections, by upgrading the lines between major Polish cities, in particular the sections that run radially from and to Warsaw (including the Central Trunk Line), is task of equal importance from the perspective of eliminating peripherality and improving territorial accessibility of rail connections.

In order to ensure the effective functioning of air transport, it is necessary to develop the existing airport and navigation infrastructure to suit the growing demand in terms of capacity. Actions should be based on the continuing expansion of airports within the TEN-T network. At the same time, to increase the capacity of Polish airspace, it is necessary to fully implement the Single European Sky (SES - Single European Sky) in systemic and operational terms, and at the same time to implement the state-of-the-art technological solutions provided for in the ATM Master Plan.

Implementation of the major transport projects, in terms of scale of investment and of funding, such as High Speed Rail and the Central Airport, would strengthen Polish transport, both internally and externally - in the European and in the global dimension. However, the final decision on undertaking such a significant investment effort by Poland will depend on many factors, and will take into account such aspects as the current and expected macroeconomic situation of the country and the resulting forecasts of demand for transport, as well as the conclusions from the feasibility studies undertaken for the two projects and their economic viability.

Moreover, the integration of transport systems is planned - connecting the air transport with other kinds of transport, and thus raising their inter-modality, in particular within the framework of the TEN-T network. These actions will create favourable conditions for the development of airports in the eastern areas of Poland. These airports, mostly small, will be designed to support local communities and - as airports serving general / business aviation traffic, as well as national and emergency traffic. It is also necessary to develop and implement new procedures which would increase airport capacity.

Poland's inland waterway network does not create a single, integrated transport system, but a collection of separate elements of a different quality. Efforts will be undertaken to modernize and develop inland water transport infrastructure (shipping routes and ports); relevant projects will be implemented subject to the availability of funds.

The marine areas of Poland represent over 10% of the area of the country, and length of the shoreline is 528 km. The maritime policy of Poland aims at maximizing the benefits for citizens and for the economy arising from the location of the country and from the marine biotic and mineral resources. Support for the development of national maritime sector is foreseen, among others by ensuring a possibility of shipping and handling transoceanic connections. The economic potential of Polish sea areas in the future will be based on the development of sea ports, in particular those of primary importance for the national economy (Gdańsk, Gdynia, Szczecin, Świnoujście). In the context of the increasing turnover and the potential of ports for storing and handling of goods, it is important to build modern intermodal terminals and logistics centres in the ports themselves and their hinterland. Developing and modernizing access to ports and harbours, both from the sea and land, including the construction of deep-water berths and approach channels to ports - roads, rail and inland waterways - will be essential. Moreover, an important factor in the development of Polish marine areas will be maritime tourism. The marine space also creates expectations for diversifying energy supplies, as well as for exploration and exploitation of natural resources.



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
construction of basic network of motorways and express roads linking Warsaw with voivodeship cities		Transport Development Strategy
modernization of national roads, mainly within the TEN-T network		Transport Development Strategy
implementation of the programme for construction of bypasses of large cities and the traffic calming on the roads passing through cities and smaller towns		Transport Development Strategy Voivodeships Development Strategies
implementation of large projects of the main railway lines modernization and supporting infrastructure (including railway stations)		Transport Development Strategy Voivodeships Development Strategies
modernization and/ or replacement of rolling stock		Transport Development Strategy Voivodeships Development Strategies
improving rail connections between major Polish cities and adapting them to high standards, including the adjustment of CMK to the speed of minimum 200 km/ h		Transport Development Strategy
implementation of the transport infrastructure users safety programme		Transport Development Strategy Voivodeships Development Strategies
modernization and expansion of the existing airports and navigation infrastructure		Transport Development Strategy Voivodeships Development Strategies
implementation of the Baltic Functional Airspace Block		Transport Development Strategy
investments arising from the implementation of the SES technology component - SESAR (Single European Sky ATM Research)		Transport Development Strategy
development and modernization of port infrastructure and access to ports and harbours from the sea and land		Transport Development Strategy Voivodeships Development Strategies
construction and modernization of logistics terminals and intermodal centres		Transport Development Strategy Voivodeships Development Strategies

II.7.3. Facilitation of traffic in urban areas

The two main reasons for the frequent lack of smooth urban traffic flow are the inconveniences of the public transport (lack of convenient connections, poor coordination of various modes of transport, overcrowding) and the transit traffic through town centres. To transform the city transport network into an efficient and functional element of the infrastructure, the regions need to focus on improving the quality of the public transport offer. One of its key elements is to organize an uninterrupted movement of people within the metropolitan area that would be consistent with the residents' expectations and to facilitate the movement to and from the outer areas.

It will be important to introduce advanced systems of management and traffic control in the cities, so as to transform the urban transport network into an efficient and functional element of infrastructure, providing convenient connections to other regions and the European transport system. Tariff systems integration within the conurbation, including the introduction of a common fare for travel by various means of transportation - which would largely facilitate the use of public transport and increase its popularity.



Another important factor affecting the attractiveness of public transport is the adequate frequency of transport services to ensure transport capacity that meets the demand. In this context it is important to develop the high-speed rail, which has the largest shipping capacity from among the available public transport means and thus relieves congestion on other means of public transport.

The lack of bypasses of large cities is an equally important factor, which results in transit vehicles going through urban centres, increasing the traffic intensity and – consequently - causing congestion. This process can be effectively halted by building a bypass of the agglomeration and organizing a smooth movement of trucks.

Activities will be implemented to improve the public transport using the simplest and often the cheapest solutions, commonly applied in EU countries (for example the traffic light control and adaptation to new roads and intersections, parking ban on the roads in the city centre and the creation of parking places in the areas where it is economically reasonable, including near to the service outlets, continuation of lowering of the tram tracks to the level of the road or their reconstruction to enable their use by the buses and other emergency vehicles).

Given the limited fossil fuel resources and an increasing pollution from their combustion in heavily urbanized areas, it is necessary to develop low-emission, alternative power technology vehicles.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
construction of bypasses of large cities		Transport Development Strategy Regional Development Strategy Voivodeships Development Strategies
introduction of "one ticket" in the functional areas of the cities and towns		Transport Development Strategy Regional Development Strategy Voivodeships Development Strategies
implementation of advanced traffic management and control techniques in big cities		Transport Development Strategy Regional Development Strategy Voivodeships Development Strategies
organization of an efficient movement of people and goods within the city and facilitating access to non-urban areas		Transport Development Strategy Regional Development Strategy Voivodeships Development Strategies



Strategic Area III. Social and territorial cohesion

Objective III.1. Social integration

The accelerated processes of restructuring and development are accompanied by social stratification in many dimensions: income, generations, health, education, housing, as well as government. Persisting social differentiation may become a barrier to maintaining the dynamic growth in the future. Inclusive growth means supporting an economy characterized by high levels of employment and entrepreneurship and ensuring economic, social and territorial cohesion. Convergence at the European level accompanied by an internal divergence is observed in many EU Member States.

Diversity of living conditions and income of the population in Poland has a clear spatial dimension. The main axes of disparities relate to differences between south-western and north-eastern regions and between metropolitan areas and other units. The result is that the areas of low development that are at risk of stagnation include not only sub-regions and peripheral regions, but also poorly communicated with the surrounding inner periphery areas, often the borderland areas of voivodeships.

The threat of exclusion in Poland is also territorial (in nature). In different regions there are problem areas characterized by low accessibility and quality of public services, limited own resources and, consequently, low development potential. The regional economic development so far, despite some measures aimed at equalising the level of development that are financed mainly from EU funds, has slightly reduced the inter- and intra-regional stratification in Poland. Economic growth and GDP per capita vary in both these systems. Mechanisms stimulating the diffusion of development processes from urban areas are currently insufficient to significantly affect the other areas, particularly those characterized by weaker socio-economic indicators.

Differences in access to public services and their quality in the various territorial sections are also observed. The result is a relatively low level of human and social capital, resulting in the need for compensatory measures of the state and possible strengthening of the citizens' passivity. Therefore, emphasis will be placed not only on redistributive measures, leading to the alleviation of poverty related to the level of income, but primarily on activity promoting measures, enabling the widespread participation in various spheres of socio-economic life. The task of development policy is to support the growth promoting measures in a way enabling as many businesses and citizens as possible to participate in and benefit from such measures and to enable more effective implementation of social policy focused on solving or alleviating the most difficult social issues.

The basic cause and consequence of social exclusion is poverty. In Poland the risk of poverty is the highest for the unemployed, large families, families of people with disabilities, but also the working poor, i.e. easily replaceable workers performing low-qualified and low-paid jobs.

Inclusive economic growth means a growth ensuring solidarity coupled with equal access to basic public services for all citizens. It also means not only the inclusion of the poorest, but also their integration on the labour market, which will have a positive impact on the development of the country. The task of the state is to efficiently use the potentials of individuals and social groups, despite the existing deficits and dysfunctions, including to build a model of recipient-oriented social policy. In the medium and long-term it will be necessary due to a decreasing number of people at working age. Therefore, a need will arise to use the reserves, which have not been used so far.

Effective implementation of the tasks aimed at ensuring cohesion will be supported by the implemented concept of decentralization of the state, fulfilling the principle of the transfer of relevant decision-making powers to the level of governance where there is the largest amount of



data required to make optimal decisions. Separate responsibility of territorial levels for the different spheres of social life and for institutions requires some consolidation at the regional level and boosting the instruments of the voivodeship government in order to achieve the long-term objectives, mainly regarding infrastructure. It also requires the regulatory strengthening of integration activities at the local (gmina and powiat) levels, where various social institutions are subject to different legislation and sectoral management. Local government, which performs the majority of tasks in this respect, is often unable to implement them to the necessary extent and at a necessary pace using its own resources and funds. Therefore, it needs more support, including organizational and financial support. In the area of poverty alleviation and combating social exclusion, it is necessary to strengthen institutionally the social welfare organisational units and improve coordination between the various stakeholders in order to solve or mitigate such social issues as poverty and social exclusion.

The role of culture in the fight against social problems, including social exclusion, also needs to be emphasized. Projects in the fields of culture contribute to the development of modern society which is open to change and tolerant. They prevent the marginalization of individual social groups, especially at risk of exclusion due to disability or due to their place of residence.

Priority directions of public intervention:

III.1.1. Increasing the activity of the socially excluded persons and persons at risk of social exclusion

The reaction of the state to exclusion and poverty will be primarily the policy targeted at the growth of employment and improving access to basic public services, including high quality education, resulting in an increased activity of the socially excluded and persons at risk of social exclusion. The state will also support the development of social economy, primarily through appropriate legislative and financial instruments.

An active system of social benefits aiming at taking up and maintaining employment will be built. The support will be provided not only to the unemployed, but also to the "working poor". The measures resulting in the higher profitability of work than social transfers are also required. The objectives that are expected to bring about the changes to the system of social benefits include also the better adjustment of support, promotion of activity by e.g. integrating the activities of various public services (reform of the illness, maternity, invalidity, accidents at work benefits). It is necessary to implement an effective system of e-skills development and to prevent digital exclusion. Digital exclusion can lead to exclusion from the labour market, and this in turn is one of the reasons for social exclusion. An important task, conducive to promoting the activity of the excluded persons, is to prepare appropriate instruments aimed at identifying and enhancing the potential (skills) of individuals, which involves the programmes restoring the participation of the excluded people in social life. It would be a next step to effectively support these persons on the labour market. A more widespread use of social economy (including the integration of disadvantaged groups and creating jobs for them) should be one of the important instruments promoting the activity of the excluded groups.

A particularly difficult task is to stimulate the activity of people with disabilities. An emphasis should be placed on vocational and continuous education, better preparation of the local community, civil servants and employers for the participation of people with disabilities in socio-economic life, as well as on adjustment of space in architectural and urban planning terms to the needs of this group – it is important for building social bonds. These actions, however, will not be fully effective without corresponding changes in the education system, aimed at integrating the disabled people.



MTNDS		Translation into activities of appropriate strategies
Actions 2011-2015	Actions 2016-2020	
changes in the system of social benefits (stimulating the activity, an integrated database of different services, etc.) - including benefits related to illness, maternity, invalidity, accidents at work		Human Capital Development Strategy
social integration programs aimed at eliminating deficits of individuals and promoting their potential		Human Capital Development Strategy Voivodeships Development Strategies
increased access to rehabilitation		Human Capital Development Strategy Voivodeships Development Strategies
social campaigns to prepare local communities, employers, civil servants to active functioning of persons with disabilities in the society		Human Capital Development Strategy Voivodeships Development Strategies
e-Inclusion program (educational activities, provision of relevant content and services) targeted at the groups at risk of digital exclusion		Human Capital Development Strategy Social Capital Development Strategy Voivodeships Development Strategies
development of legislative and financial instruments supporting the social economy		Human Capital Development Strategy Social Capital Development Strategy
creating conditions for the development and promotion of professional and social activity of seniors		Human Capital Development Strategy Voivodeships Development Strategies
providing universal access to high quality education at all its stages and to culture (including the popularisation of lifelong learning, e-education, cultural education)		Human Capital Development Strategy Social Capital Development Strategy Voivodeships Development Strategies
support for increasing the availability and quality of flexible forms of child care, with particular focus on rural areas and small towns		Social Capital Development Strategy Regional Development Strategy Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies
increasing transport accessibility, facilitating the access to services and labour markets		Transport Development Strategy National Strategy of Regional Development, Voivodeships Development Strategies

III.1.2. Reducing poverty among the highest risk groups

In Poland, the highest risk of poverty is faced by families with many children, and therefore this problem affects mainly children and adolescents. It is necessary to offer support to families in the form of selective social benefits, emergency social assistance and the tax system instruments addressed directly to families, , on the one hand, and to ensure equal development opportunities and prevent neglect arising from households' deficits, on the other hand. The issue of full accessibility of child care and educational services, conducive to equal development opportunities of children and reconciliation of work and family life, is of utmost importance, as are the policies consisting in providing schools with universal social benefits (healthy nutrition, medical care and physical activity).

The problem of poverty is also encountered by the disabled. Particular attention will be paid to preventive measures, such as: school education, skills training and lifelong learning, provision of facilities enabling mobility and presence of disabled people in public space, preparation of people with disabilities to articulate their needs, provision of information on civil rights and responsibilities; adequate communication with the environment and participation in the social life of the local or professional community.

Efforts to improve social cohesion within the next 10 years, particularly after 2020, must take into account the demographic changes associated with population ageing. The key will be to provide older people with access to health care services and long-term care services. Promoting



the activity of this social group is also important in order to keep them on the labour market and increase their participation in social life. Since the risk of poverty of older people will increase, a need will emerge to develop a new model of assistance for this group of recipients.

Actions undertaken in the area of housing will also contribute to reducing social exclusion. During the period covered with the strategy, the housing policy will focus on eliminating the quantitative deficits in the segment of social housing and housing for persons requiring other social housing assistance. Affordable housing will be offered in the housing rental sector. At the same time activities will be carried out to reduce the deficit of expenditure for renovation of dwellings and reduce the demand for energy in the housing sector. It is also important to reduce the costs of housing construction and rationalize the spatial functionality of the new housing stock by creating appropriate resources of land prepared for housing development. The aim of the housing policy will also be to rationalize the principles of the management of public housing resources and resources of communal building societies..

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
changes in the system of social benefits - a better adjustment of support		Human Capital Development Strategy
increasing the availability of various forms of assistance for students (lunch, manuals, etc.)		Human Capital Development Strategy Voivodeships Development Strategies
increasing the availability and quality of flexible child care, with particular focus on rural areas and small towns		Human Capital Development Strategy Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies
investment in infrastructure allowing the presence of the disabled in public space		Human Capital Development Strategy Voivodeships Development Strategies
	new curricula integrating people with disabilities	Human Capital Development Strategy Voivodeships Development Strategies
creation of an effective system of dwelling rental, social housing development, rationalization of the principles of the management of public housing resources and the resources of communal building societies		Human Capital Development Strategy
	first stage of creating a new system of care for dependents and the elderly – system sealing and efficiency improvement	Human Capital Development Strategy
creating conditions for the development and promotion of professional and social activity of seniors – implementation of the "Silver Economy" model		Human Capital Development Strategy Voivodeships Development Strategies



Objective III.2. Providing access and specific standards of public services

The availability and the quality of public services demonstrate the level of the country's development and the quality of life of its population. Since the access to such services (health, education, culture, sports, administration, security, etc.) significantly affects the potential development of citizens, this issue requires special attention of the central and local government.

Public services include tangible or intangible goods, the supply of which is the responsibility of public authorities and the right to use which cannot be denied to anyone. Public services are usually performed in the areas of activity which require the maintenance of an appropriate material, personal or financial basis while ensuring the continuity of their provision at a certain level. The scope of public services is variable, both in terms of their type and the general availability, depending on the current demand. In addition, it is conditioned by the financial potential of the public authorities.

The provision of basic public services is one of the important areas of local government activity. The transfer of these powers to local government resulted from the basic rule stating that the provider of services should be as close to customers as possible and their performance should be subject to citizen control. In the opinion of local communities, the standard of living depends directly on the quality of public services. The main indicator of the effectiveness of meeting the needs in this regard is the degree of satisfaction with the standards of provided services. While the efficiency of using the resources of an individual entity performing a specific public service can be determined by analyzing the cost of providing the service and the number of services in the given area along with their standard.

Public services make up a large group of diverse activities and projects, ranging from simple administrative services, such as issuing ID cards and driving licenses, registration of specific events (births, weddings), to making administrative decisions (in the field of environmental protection, spatial planning and construction). These services are performed largely in local government offices, which act both as the organizer of the services and as their provider. Currently, the standards for the implementation of such services are related, in principle, to the level of the customer service culture in a specific office.

Public social services (health, education, culture, sport, welfare, unemployment services) are generally performed by local government agencies or entities with legal personality, the founding body of which is the local government. The basic problem here is to increase the economic rationality and in the case of services for which the standards are legally defined (social assistance, education), there is a need to maintain the standards prescribed by law.

Public services of a technical nature (public utility services) include water supply, sewage disposal and treatment, heat, electricity and gas provision, municipal waste management, transport services, road maintenance and modernisation. Such public utility services can be provided either by entities reporting to the local government (budgetary units, public utility companies), or by mixed capital companies or private companies. However, the responsibility for providing these services always rests upon a specific local government unit.. In Poland the problem of unequal access to public services is still widespread and has a spatial dimension at national and regional levels.

In terms of administrative and institutional efficiency of the state, the standards of public service provision do not correspond to the level of technological development and the changing socio-economic determinants, creating an incoherent system in which different bodies and entities providing such services, provide them to varying extent and at different cost. The significant disparities are recorded in the provision of public services both between different regions of the country and between the growth centers (large cities) and less developed areas (e.g. rural areas) and outermost regions.



The provision of public services involves a large number of complex and lengthy procedures, which in turn lead to their low effectiveness. It is also often accompanied by the lack of adjustment to changes in society and economy as well as by stagnation of procedures resulting in increasing disparities between the expectations of the society and the actual quality of services. The rules for financing of public services are also a problem, as they result i.a. in varied costs of the services provision. Despite the development of modern technologies, the technologies that could improve the functioning of the public service system are not sufficiently implemented. The non-state actors are not sufficiently involved in performing such tasks.

A relatively low ability of the administration to analyze the costs and quality of the services results in limited possibilities for establishing and improving the standards of service.

The improvement of the provision of services by increasing their availability and quality will be the challenge for the state in the coming years. The measures undertaken should contribute to ensuring more equal access of all citizens to high quality public services. As a result of changes in the management system, the units providing all kinds of public services should have a flexible approach to changing realities and keep up with technological developments. By 2020, the transparency of public services will be improved and a service will be introduced for efficient and reliable assessment of the effectiveness of their provision.

Priority directions of public intervention:

III.2.1. Improving the quality and availability of public services

The improvement of the quality of public services means extending the scope of their provision, implementing mechanisms to monitor the standard of provided services and citizen participation in setting the standard.

All services provided by public authorities will be reviewed in order to diagnose the condition of the public service system in the country, determine their scope and reduce the unnecessary and duplicating services. The construction of the public services management system will include the adoption of a system of standards binding for all of the providers, both with regard to the specific quality of these services, as well as the specific effects they are to produce.

The public service standards established at the national level will provide a reference point for determining the possibility of their fulfilment at the regional and local level, taking into account the specific characteristics of some areas, such as outermost or problem areas.

A broader and more comprehensive use of information and communication technologies and the development of the necessary infrastructure will contribute to the introduction of appropriate standards of public service provision and to increasing their availability.. This applies both to administrative services (forms, applications, requests), educational services, part of health care services (data management, partial diagnosis), cultural services (digitization of cultural resources and national heritage) and utilities (development of sewage treatment and water supply infrastructure, enabling a selective collection of waste, etc.). The state will support to a greater extent the role of non-state actors, focusing in particular on social economy entities, in providing services and determining the method of their provision.

The creation of a system of provided public services and their standards should be accompanied by increasing their availability. Also in this regard, the territorial specification should be taken into account. This will involve the use of the potential of new technologies and the identification of services which can be provided using those technologies (like culture) and which can only be supported in this way (health care). The availability of services will also be increased as a result of an improved transport accessibility, which will not only offer the citizen the access to public services in close proximity, but will also enable the citizen to choose the unit where the waiting time for a service is shorter or the service's quality is better.



Increasing the access to public services will be associated primarily with a strive to ensure equal access to the standards of these services in the territorial system of the country, with particular focus on rural and outermost areas.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
review of the public services functioning		Efficient State Strategy, Regional Development Strategy Human Capital Development Strategy Social Capital Development Strategy Voivodeships Development Strategies
determination of the scope of services, standards and costs of their provision		Efficient State Strategy, Regional Development Strategy Human Capital Development Strategy Social Capital Development Strategy Voivodeships Development Strategies
	introducing a new model of public service provision, involving the non-governmental organizations and other social partners in their planning and implementation	Efficient State Strategy, Regional Development Strategy Human Capital Development Strategy Social Capital Development Strategy
increasing access to services (e-education, e-health, e-culture, etc.) by means of the resources digitization		Efficient State Strategy, Regional Development Strategy Human Capital Development Strategy Social Capital Development Strategy Voivodeships Development Strategies
increasing transport accessibility, facilitating the access to services		Transport Development Strategy Regional Development Strategy Voivodeships Development Strategies

III.2.2. Increasing the effectiveness of the public service provision system

Increasing the quality and availability of public services will be accompanied by increasing the efficiency of their provision and financing system. This will be linked to the creation of a modern public service management system, which will use tools to measure the efficiency and control the costs of public tasks implementation. A component will be created within the framework of the public service management system that will allow to fulfil the second priority, i.e. to increase the efficiency of public services. Such a system will be equipped with tools to measure effectiveness, which will allow for periodic verification of standards, both in terms of their use, as well as their relevance in the context of the changing reality. The effectiveness of public services will also be increased by adopting a new approach to their financing, taking into account the territorial specificity and allowing to combine public and private financial resources. This will allow to both increase the access to public services and improve their quality. Public opinion (cyclical polling of the expectations of the society) will be increasingly taken into account and the experience of the private sector and academic centres in analysing customer satisfaction and expectations will be widely used in the decision-making in this regard. An integrated information platform will be established for public services. At the same time, periodic audits of the quality of public authorities' performance in the field of services for citizens and businesses will be introduced. This will be accompanied by educational and information activities aimed at



increasing the knowledge and awareness of the citizens about the benefits of using remote access tools for these services.

Increasing the effectiveness of the public service system will also involve a wider use of the private sector and NGOs as suppliers and organizers of such services. As regards the public authorities, efforts will continue to assign the responsibility for providing public services along with the transfer of necessary funding to the level of public administration, which will perform this task most effectively in terms of quality and economic criteria. This may mean changes in the assignment of responsibility for providing and managing public services, both in terms of decentralization of these tasks and, in special cases, shifting the responsibility for their delivery between local, regional and central government units. The efficiency of the system will be increased also thanks to the changes, which will involve the separation of the function of the supplier (contractor) of public services from the function of their financing and quality assurance while maintaining cost control to prevent the overstating of costs by the providers of services.

The objectivization of funding schemes, which will maximally shift from the objective financing (concentrated on financing the maintenance of the infrastructure base and personnel) to the subjective financing, related to the financing of services actually provided in accordance to the required standard, will also contribute to increasing the availability and quality of public services. The rationalizing element of the system will be the mechanisms for co-financing selected public services by the service recipient, with ensuring the forms of assistance for people who, due to financial difficulties, are not able to bear those costs.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
	introduction of the public service management system (including the rules of commissioning the services to the private sector, effectiveness measurement tools)	Efficient State Strategy, National Strategy of Regional Development, Human Capital Development Strategy, Social Capital Development Strategy
determination of the scope of services, standards and costs of their provision		Efficient State Strategy, National Strategy of Regional Development, Voivodeships Development Strategies
change in funding principles for individual public services, taking into account i.a. territorial characteristics, combining the financial resources (public, private)		Efficient State Strategy, Regional Development Strategy



Objective III.3. Strengthening the mechanisms for territorial development balancing and spatial integration in order to develop and make a full use of the regional potentials

The uneven pace of development is a natural element of business processes both in the world and in Poland. The challenge is to reconcile the development interests of the state related to the competitiveness of regions and its strengthening in the country and internationally and the prevention of widening of regional disparities. Therefore, the new regional policy must focus its efforts on strengthening the endogenous potentials of all the territories and developing mechanisms to enhance the diffusion of the development processes of the main growth centres to the environment. Apart from these activities, the development processes in problem areas will be supported, primarily by increasing their capacity of absorption of growth factors (capital, skilled labour, knowledge, innovation).

This approach entails assigning a special role to urban centres and their surroundings as the centres of development processes both in the country and in the regions. The regional policy aimed at developing functional, infrastructural and institutional links between voivodeship centres assumes the full use of the development factors based on regional and local potentials and the flow of development impulses not only between voivodeship centres, but also to their further surroundings.

The level of economic development of the country depends largely on the performance and position of the largest urban centres, with their functional areas. They are the engine stimulating the development of the entire country and its regions and increasing their competitiveness. The most effective of these, which are centres of growth and socio-economic development, generate the largest share of GDP, bringing together the potential determining the strength of the economy. They are often a place of concentration of job creation and high quality human resources, they create and quickly absorb innovations, and get involved in networking with other centres within the national and international systems, increasing their complementarity and specialization. However, disparities within urban areas, where the most of the social and economic problems are concentrated, are more pronounced than disparities in the entire country (between urban and rural areas, Warsaw and the rest of the country, east and west). Therefore, it is necessary to pursue a national urban policy, linking sectoral policies affecting urban development and defining measurable objectives tailored to the challenges faced by the cities of various types.

In addition to supporting the largest urban centres and their functional areas, which are the engines of growth of the entire country and its individual regions, it is necessary to strengthen the capacity to absorb and diffuse the development processes by sub-regional and local centres, including the powiat towns, with their potential for territorial specialization. The development of powiat towns and other cities of local importance, which have the potential to attract non-agricultural investments or use the agricultural potential of surrounding areas (as a market and a place for processing of agri- food products), stimulates the development of the surrounding areas.

The dissemination of the developmental processes will also be enhanced by the support targeted at rural areas. Such projects will include extension and modernization of infrastructure, especially transport, revitalization measures and the development of public services and other functions in the provision of public services, which are necessary to initiate development processes at the local level.

The diverse settlement, social and economic structure of rural areas in Poland and the varying degree of their links with cities require an increasingly precise orientation of the regional policy which should be integrated with the sectoral activities undertaken with regard to this category of



areas in such fields as telecommunications and transport infrastructure, agriculture, industry, education and health.

The contribution of Polish regions to the achievement of national development objectives, i.e. growth and employment, varies. This is demonstrated by the concentration of GDP and a high growth rate recorded only in certain areas of the country. The main creators of growth and employment are the regions with competitive and innovative economy, especially the largest and most dynamic urban centres located in their area. The Mazowieckie Voivodeship has the highest and growing share in generating the national GDP - in 2009 it accounted for 21.9% of Poland's GDP. Four regions with the greatest economic potential are: Masovia, Silesia, Wielkopolska and Lower Silesia - in 2009 they generated 52.6% of the national GDP.²⁶

The uneven pace of development and threats that arise from increasing disparities between the regions, social groups or sectors of the economy require the economic policies to address the challenges related to the elimination of backlog and to support the creation of the new competitive advantages.

The processes of marginalization are most concentrated territorially in peripheral rural areas, in the areas that lose their existing socio-economic functions (urban areas, former industrial areas and other degraded areas) and in border areas with a low availability of transport, particularly in eastern Poland but also in other regions of the country.

One of the strategic challenges for regional policy is to ensure the internal cohesion of the country (so that none of the territories would be excluded from the development processes) and to prevent excessive spatial differences.

Priority directions of public intervention:

III.3.1. Creating the institutional, legal and financial conditions for the implementation of development activities in the regions

Decentralization, strengthened with the programming process of Cohesion Policy 2007-2013, has increased the responsibility of the voivodeship governments in pursuing the regional development policy. The transfer of the responsibilities related to the management of regional programs resulted in the necessity to introduce appropriate system changes. The reformulation of the role of actors associated with conducting regional policy and redefining their relationships was of particular importance. This issue concerned in particular the definition of the tasks of government administration and the determination of the new role of voivodeship governments in terms of their active participation in decision-making and implementation processes of the regional policy. The relationship between the central government, voivodeship governments and other local entities involved in the implementation of the regional policy, such as town/city authorities, social and economic partners, also required clarification.

In the light of the new challenges, as well as the development management system introduced in the country, it is advisable to review the institutional and competence links as well.

It is necessary to strengthen the coordination of government activities undertaken within the framework of the strategy implementation at the regional level. Strategies and programmes should take into account the regional (territorial) aspect, particularly in the context of the impact of their implementation on the socio-economic situation in individual regions. It becomes necessary to develop and formulate the inter-ministerial cooperation mechanisms aimed at coordinating the activities at the central level under the sectoral policies of individual ministries for the regional policy of the state, consisting i.a. in taking into account the relevant differences and territorial potentials in the design and intervention of public policies. The regional policy should be a part of coordinating element of sectoral policies under the integrated approach. At

²⁶ Source: CSO.



the same time, the regional policy development measures should be integrated with the rational and sustainable spatial management.

The rules governing mutual relations (complementary) between individual policies will also be developed. The issue of spatial concentration of interventions and activities conducted both regionally and within sectors and their mutual coherence in the implementation of the objectives of the regional policy of the state is of key importance.

Conditions will be created for a broad strategic discussion between different public and non-public entities involved in activities for the strategic directions and forms of regional development and the spatial dimension of the development policy.

In order to ensure better planning and implementation of public territorially targeted intervention, the system for continuous monitoring and evaluation of regional development processes and the effects of regional policy will be launched. This will allow to obtain the data showing both the course of public intervention and the development of the socio-economic situation in the areas of strategic intervention of the state.

The most important area, where it becomes necessary to take measures being a natural consequence of and a prerequisite for the decentralization of regional policy, is the decentralization of the public finance system, along with the reconstruction of the system for territorial distribution of the funds (the so-called territorialisation). The responsibility of local government units for the development of the territory concerned requires the necessary financial support, thus giving them a guarantee of effective participation in the regional policy.

In order to ensure efficiency and effectiveness of actions taken in the respect of the territory at different levels of development management (national, regional and local), it becomes necessary to ensure effective methods for the central and voivodeship government to agree on common objectives and priority projects undertaken and funded by the regional development policy. It will be enabled by the territorial contract which guarantees the implementation and financing of negotiated investment projects.

The forthcoming implementation of the regional policy system and mechanisms to enhance its efficiency is to entail i.a. the introduction of instruments supporting the diffusion of development processes beyond the areas constituting the socio-economic life centres. The activities to this end will contribute to improving the complementarity and functional links between voivodeship centres and other areas of voivodeships. The successful diffusion of development processes depends on the introduction of effective and widespread instruments enhancing the functional relationships between various types of areas, such as urban and rural areas, and establishing a clear division of responsibility for the development-related tasks within the multi-level development management system.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
changes in competence (national level, national - local government units level, local government units only)		National Strategy of Regional Development, Efficient State Strategy
introduction of legal and organizational framework for management of the functional areas (such as metropolitan areas)		National Strategy of Regional Development, Efficient State Strategy
preparation and implementation of urban policy		National Strategy of Regional Development, Voivodeships Development Strategies



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
territorial orientation of interventions undertaken under the instruments of different public policies		All Integrated Strategies Voivodeships Development Strategies
changing the way/ model of the public policies financing (health, culture, education, higher education, etc.), taking into account the territorialisation.		National Strategy of Regional Development , Human Capital Development Strategy Social Capital Development Strategy Strategy for Innovation and Efficiency of the Economy
changes in the system of financing (own revenues, grants and budget subsidies)		National Strategy of Regional Development, Efficient State Strategy
introduction of new instruments to increase the effectiveness of regional policy (territorial contract, National Territorial Observatory + Regional Territorial Observatories, National Territorial Forum, financial engineering, global grant, etc.)		National Strategy of Regional Development, Voivodeships Development Strategies

III.3.2. Strengthening of the voivodeship centres

Polish cities and surrounding areas are in many respects inferior to cities and regions in other countries, in particular in highly developed countries of the European Union. Compared to them, the main Polish urban centres are characterized by a deficient development of metropolitan functions, particularly in the sphere of economic management, transport functions, research and development, culture, and to some extent - symbolic functions. These centres represent a relatively low level of innovation and participation in the knowledge-based economy. Other problems occurring in the cities include infrastructure gap, progressing process of uncontrolled suburbanization, population ageing and poor condition of urban space. Despite these shortcomings and weaknesses, metropolises and the largest Polish cities are the major centres of development of the country and regions.

In order to strengthen the provincial centres, the development of public services and higher-order and symbolic functions to enhance the importance of these centres on a national and international scale are postulated. The measures undertaken will concern the development of metropolitan functions of international and national importance, such as economic functions, i.e. the presence of management structures of important economic and financial corporations, scientific functions, which mean ensuring the highest standards of operation for scientific and research institutions, wide range of technology transfer centres, cultural and symbolic functions i.e. the presence of active cultural centres of the highest rank. The administrative functions are important for the programming, coordination, initiation and implementation of development projects. Their appropriate performance can make a significant contribution to the improvement of the situation in the regions. Development and efficient use of metropolitan functions will serve as an impulse for further development of these cities and their functional areas (and at the same time the entire country).

An important part of activities aimed at stimulating the development of metropolitan functions of the voivodeship centres is the introduction of support for mechanisms of cooperation and networking in the areas determining the competitive strength of individual centres in the country. The cooperation of regions, cities, businesses, research centres, universities and organizations in all its dimensions, i.e. economic, scientific, educational and cultural dimension, is an important factor for spread of development processes by enhancing the economy, the



exchange of know-how, partners acquisition, science and technology, production and investment cooperation. In an environment of cooperation created by three sectors, namely the government, enterprises and research centres, it is possible to create innovations that would provide Polish regions with sustainable and competitive advantages in many areas. In order to develop the metropolitan functions, actions will be undertaken to improve the availability and quality of transport between and within regions, as well as of the municipal transport. Many cities face the problem of traffic jams, noise and air pollution. Therefore, actions will be taken to solve these problems.

An increase in the competitiveness of the major Polish cities is also supported by the development of human resources and social capital. The activities of the state will focus on improving the quality and effectiveness of education in leading academic centres, including in the area of vocational education.

The support will be granted for development of social infrastructure, including cultural infrastructure, as well as for the measures aimed at protecting the cultural heritage, which is an important factor of development and increasing the attractiveness of cities, contributing to building a strong competitive position of urban centres.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
development of functional, infrastructural and institutional connections between the voivodeship centres		National Strategy of Regional Development Voivodeships Development Strategies
development of higher-order public services and symbolic functions to enhance the importance on the national and international scale		National Strategy of Regional Development Social Capital Development Strategy Voivodeships Development Strategies
fostering cooperation and networking of science, government, education and culture centres, etc. to increase the rate of diffusion of knowledge and know-how		National Strategy of Regional Development Strategy for Innovation and Efficiency of the Economy Social Capital Development Strategy Voivodeships Development Strategies
development of human resources and social capital (promoting the vocational activity, social inclusion, entrepreneurship, education, culture etc.)		National Strategy of Regional Development Human Capital Development Strategy Social Capital Development Strategy Strategy for Innovation and Efficiency of the Economy Voivodeships Development Strategies
solutions that integrate the functional space in urban areas (transport, utilities, labour market, culture, public services)		National Strategy of Regional Development Human Capital Development Strategy Transport Development Strategy Voivodeships Development Strategies
increasing the transport accessibility - regional and intra-regional (including high quality road connections between all voivodeship centres and Warsaw, modernization of railways)		Transport Development Strategy National Strategy of Regional Development Voivodeships Development Strategies



III.3.3. Creating conditions for the development of regional and sub-regional centres and increasing the potential of rural areas

The cities which are the so-called growth poles include not only the largest voivodeship centres, but also important urban centres having a regional, sub-regional or local impact.²⁷ All voivodeships have a developed and quite evenly distributed network of medium-sized cities, fulfilling important functions on the regional and sub-regional scale. This is the network through which development impulses, originating mainly in metropolitan centres, pass and spread to the remaining part of the region. Cities are fulfilling their role as centres of development playing a crucial role in economic, social and administrative life of individual regions. Thanks to specialisation, some of them directly influence the development of the country in the economic sphere, and also in terms of providing the access to public services of medium and sometimes high-order for residents of the region.

Therefore, the efficiency of the settlement system which covers the cities of various sizes, situated outside the main centres and their functional areas, will be enhanced. Public intervention will be adjusted to the cities specificity at regional and sub-regional levels, and will also take into account the relationship between the growth-generating areas (major cities), functional areas and their associated peripheral areas, including rural areas. The work on revitalizing degraded areas and poor urban areas and supporting the links between rural and urban areas will also be carried out. Strong and competitive towns and medium-sized cities should be centres for the development of rural areas, border areas, as well as the areas peripherally located in relation to major cities, which act as intermediaries in spreading the development from major cities further into the country.

Urban development should be based on the use of territorial specificity and deepening the specialization which determine the comparative advantages of the area, in such fields as industry, advanced agriculture and services, including in particular tourism. Support for the clusters development (transformation of companies' aggregations into dynamic clusters with high levels of competition and cooperation, interaction and external impacts) will be a modern instrument for strengthening regional and local specialisations.

The local transport infrastructure is the main factor conducive to the spread of development processes between cities and to their surrounding areas. The activities of the state in this area (in particular of local government units) will focus on building and modernising the local road infrastructure and the intensification of transport connections, which should both promote the development of entrepreneurship and enable the access to the public services offered by urban areas. The initiatives for the construction of transport infrastructure (public transport) connecting the rural areas to urban centres will serve to improve the territorial balance of development in urban and rural areas and will facilitate the access of rural population to the medium-order public services and jobs in small towns and regional centres.

Investments in ICT infrastructure will be supported in parallel to the transport investments. The development of this infrastructure, in addition to transport infrastructure, is a factor contributing to economic and social cohesion, i.a. by means of the opportunities offered by the popularisation of broadband in rural and underdeveloped areas. Actions in the field of ICT infrastructure development will be accompanied by education and training activities popularising the use of modern information technologies in education, administrative services, business, culture, etc.

The planned intervention to support development processes in the regions also includes various types of rural areas and should be differentiated according to their functions and level of development. Cross-sectional approach to rural development results from the need to take into

²⁷ The adopted delimitation of cities is compliant with the typology of functional areas developed in the National Spatial Development Concept 2030, adopted by the Council of Minister on 13 December 2011.



account their diversity and is focused on making the best use of development potentials of the most developed rural areas and increasing the absorption capacity of growth factors (by means of developing the functional relations between the cities), on the one hand. On the other hand, it refers to the special treatment of the rural areas with a poorer access to public services determining the development opportunities. Rural areas should be perceived in a functional sense, not only in terms of agricultural activity.

A better use of endogenous resources of the rural areas in the development of the country and regional development will be achieved by means of functional integration of these areas with the cities, strengthening the absorption of external development processes (development of infrastructure, including transport, energy and environmental infrastructure, support for human resources development, support for business location, mainly using local material resources and creating green jobs), support for territorial specialization and ensuring uniform standards for access to basic public services and goods.

In order to support the development of rural areas dependent on agriculture it is important to carry out the activities designed to increase the competitiveness and modernisation of agriculture and fisheries. In this context, the changes in the structure of the agricultural sector will be supported.

Development policy should facilitate a multifunctional development of rural areas. The conditions conducive to creation of non-agricultural jobs in rural areas and increasing labour mobility between rural and urban areas will be improved through measures aimed at supporting the diversification of economic activities of agricultural producers, improvement of the education system in rural areas (including its quality and access to vocational and technical education, adjusted to the needs of the local labour market), and support for people taking up teleworking.

A prerequisite for increasing the efficiency of policy with respect to rural areas is to ensure an integrated, multisectoral approach to planning and undertaking actions within various public policies, including in particular the regional, agricultural, social, educational, cultural, environmental and transport policies. The new approach will help eliminate structural barriers in the country in the coming years. The measures to support rural development will aim at increasing the level and quality of life in rural areas, starting from provision of care and preschool education, through improving the access to education and culture, and to support for non-agricultural business development and infrastructure development as well as by means of improving the access to public services.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
supporting the development of regional and sub-regional centres (including the development of the functions with supra-local impact, development of infrastructure related to economic specialization, increasing the investment attractiveness - land development, spatial availability, the development of technical infrastructure as an element increasing the attractiveness of living and investment)		National Strategy of Regional Development, Voivodeships Development Strategies
supporting the development of local centres in the revitalization activities, infrastructure development, in particular transport infrastructure development, and the improvement of public utility services and other functions necessary for the initiation of development processes at the local level		National Strategy of Regional Development, Voivodeships Development Strategies



MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
multifunctional development of rural areas taking into account their endogenous potential (agricultural, mixed and transient) and their functions - economic diversification, professional and spatial mobility, transport links, restructuring and increased productivity in agriculture and fisheries, non-agricultural investments, development of entrepreneurship, development of new features of rural areas and support for the creation of new jobs in the field of tourism or ecology, or related to teleworking in different areas; measures to improve the quality of life as well as the tourist and investment attractiveness;		National Strategy of Regional Development, Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries, Voivodeships Development Strategies
increasing the transport accessibility- regional and intra-regional (actions related to transport links at regional and local level)		Transport Development Strategy, National Strategy of Regional Development, Voivodeships Development Strategies
increasing access to ICT infrastructure		Strategy for Innovation and Efficiency of the Economy, National Strategy of Regional Development, Voivodeships Development Strategies

III.3.4. Improving territorial cohesion

The contribution of Polish regions to achieving national development objectives varies. The main creators of growth and employment are the regions with competitive and innovative economy, and especially the largest and the most dynamic urban centres located in their area.

The uneven pace of development and threats arising from the increase in disparities between and within regions, social groups or sectors of the economy require the economic policy to address the challenges related to the elimination of backlog and support for improving the competitiveness. Therefore, in addition to the support for growth poles, it is important to create conditions for balanced territorial development.

The development of factors capable of spreading the development processes should take place in two dimensions: by expanding the largest positive impact areas of the voivodeship centres and by strengthening the absorption capacity in areas of the voivodeship - in the sub-regional cities, poviats cities and rural areas.

The regional policy is a primary instrument for implementing the so defined national development objectives with regard to space.

Territorial disproportions in Poland and the EU are increasing, due to the faster economic growth generated primarily by the largest urban areas.

One of the areas of strategic challenges for development policy and regional policy is thus to ensure the internal cohesion of the country and avoid the excessive spatial differences.

Apart from the areas where the determinants of development are concentrated, there are areas which, due to the accumulation of barriers to development, are not able to use their spatial resources to enhance competitiveness and innovation, and thus to participate to a greater extent in the creation of economic growth. These areas are defined as **problem areas**, requiring



restructuring and development of new functions, with the support of relevant regional policy instruments.²⁸

Marginalization processes in Poland, unlike in developed countries, are highly territorially concentrated in peripheral rural areas and former industrial areas, losing their economic functions, as well as in border areas with low transport accessibility, particularly in the eastern Poland. This is the largest problem area of the country, which still needs special treatment, because the cohesion of this area with the rest of the country and the EU is insufficient in each of its aspects: economic, social and spatial. The voivodeships of eastern Poland (Podkarpackie, Świętokrzyskie, Lubelskie, Podlaskie and Warmińsko-Mazurskie), despite a significant improvement in their socio-economic situation in recent years, are still characterised by a low (compared to the whole country and EU) level of development, ageing population, education level worse than the rest of the country, obsolete infrastructure, poor living conditions (including access to goods and services), low productivity in all sectors of the economy and low transport accessibility. The potential of this part of the country, which, if supported by appropriate public intervention, can be used to increase the contribution of eastern Poland's voivodeships to the economic growth, includes the following: environmentally friendly agriculture and high quality food model, scientific activity in the area of biotechnology, development of specialist services using the local scientific and research infrastructure, international logistics in the east-west direction, the production of biofuels.

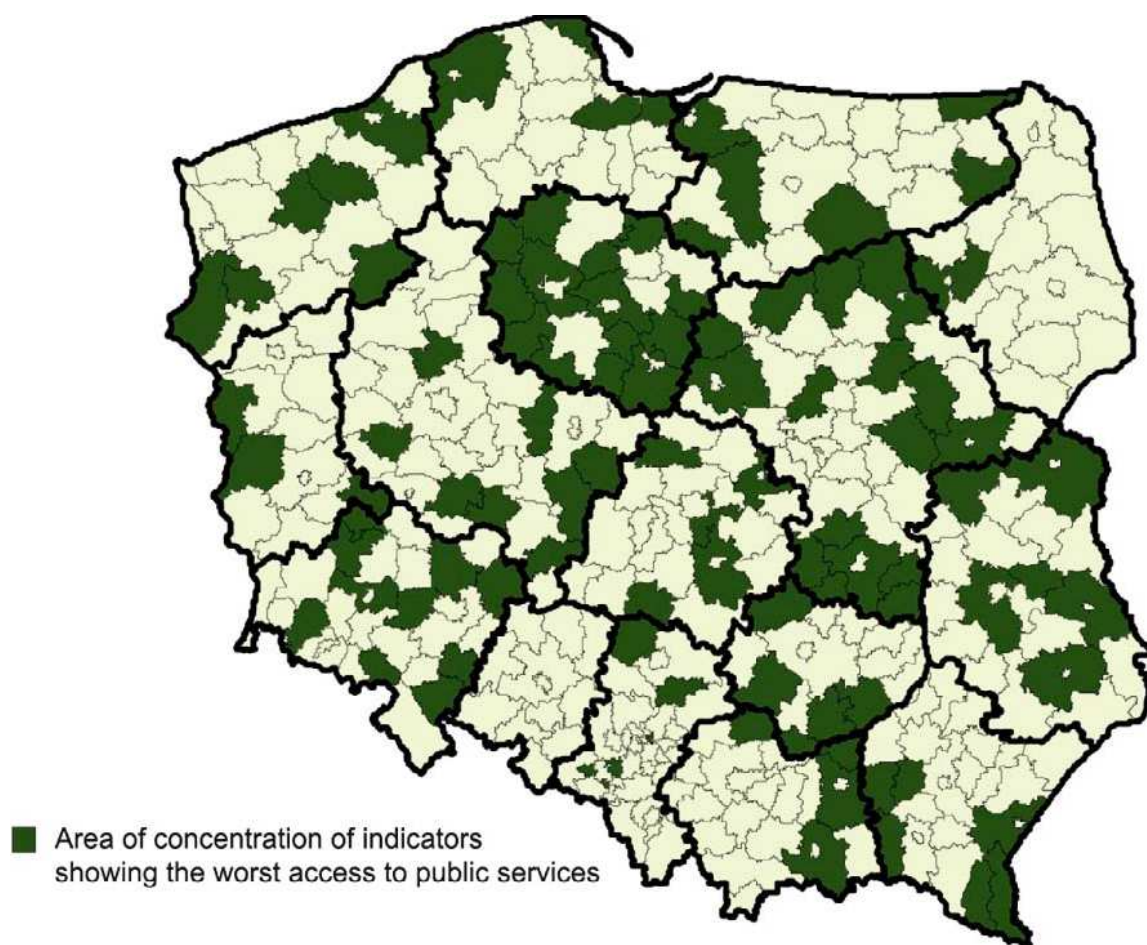
Regional policy offers a solution in this regard consisting in launching appropriate external interventions to eliminate barriers to development and to enable better use of endogenous potential of the given region, but also to obtain access to the necessary exogenous factors. To ensure cohesion at the national level, strategic intervention will include actions aimed at strengthening the existing network of towns/cities and facilitating urban, human resources and social capital development as well as business development and creation of infrastructural and institutional conditions for increasing investment and labour productivity.

The territory at risk of marginalization covers mainly the rural areas with the worst indicators of socioeconomic development and the lowest level of the access of residents to services and goods determining the development opportunities. They are characterized by high levels of employment in agriculture, low levels of entrepreneurship development, a large percentage of people with low education level and low professional skills, low income levels of local budgets, resulting in low level of investment and infrastructure. In addition, these areas may experience depopulation and defeminisation. They are often too distant and poorly communicated with urban centres.

²⁸ Categories of functional areas are characterized in the National Spatial Development Concept 2030 adopted by the Council of Ministers on 13 December 2011.



Map 1: Areas of concentration of activities aimed at ensuring equal access to goods and services determining the development possibilities²⁹



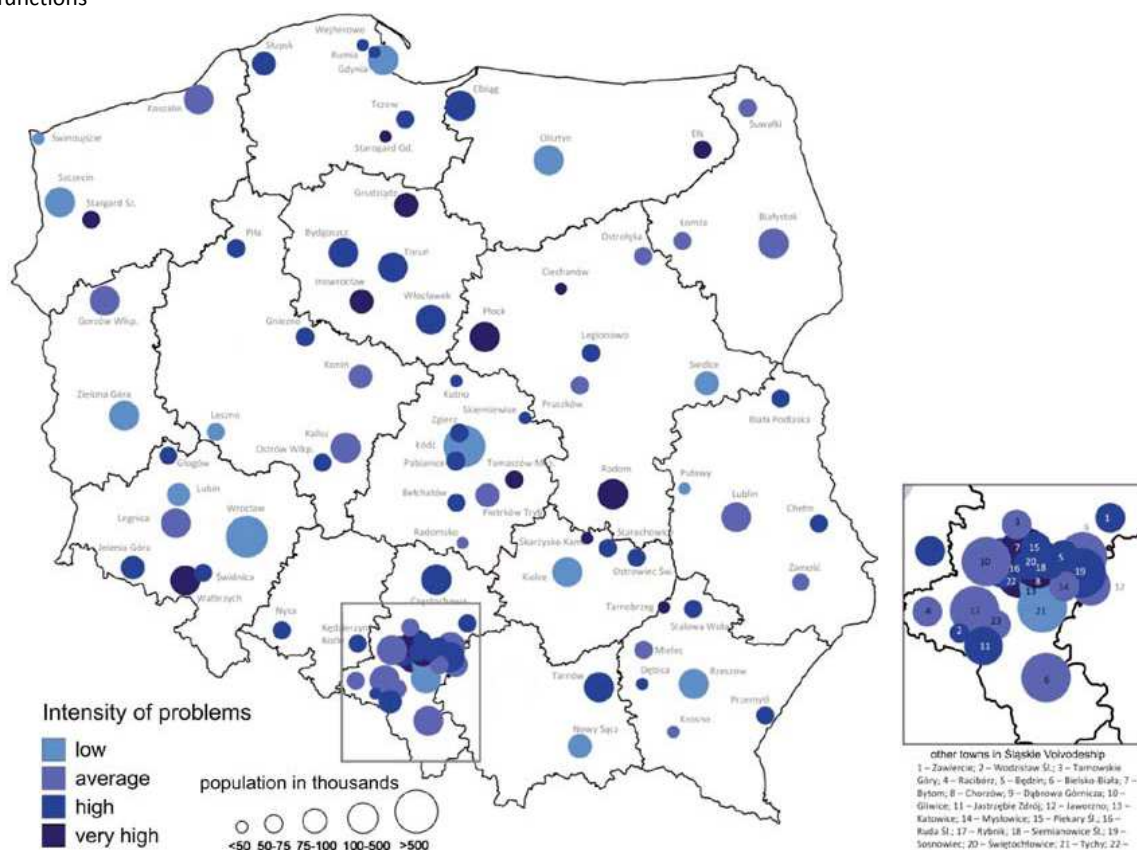
Source: MRD.

In rural areas with the poorest development prospects, actions are planned to reduce the differences in the level of access to services (education, health, culture, sports, transport, business consulting, local transport infrastructure, infrastructure for investments in non-agricultural sectors of the economy), which determine the inclusion of the inhabitants of these areas in regional development processes.

²⁹ The map presents the poviats where at least six of nine negative phenomena occur: percentage of children aged 3-5 years covered by the pre-school education (kindergartens, nurseries and kindergarten departments) below 50%, the average results of the lower secondary school leaving examination in mathematics and in 2008 - at least 15% below the national average, the number of pupils in primary and lower secondary schools per 1 computer with broadband access in 2008 - at least 20% higher than the national average, the percentage of the population using the sewage system in 2008 - below 50%, the share of recycled waste in the amount of waste produced during the year (2008) - less than 50% , the number of doctors per 10 000 inhabitants in 2008 - at least 50% lower than the national average, the number of persons per 1 outpatient clinic in 2008 - at least 40% higher than the national average, the infant deaths per 1 000 live births - above the national average in 2006,, the average number of participants of the events in the cultural centres, clubs and community centres in the years 2003 - 2007 per 1 inhabitant - below the national average, the voter turnout in local elections in 2006 - less than 45%. The exact boundaries of areas of strategic intervention will be determined in the Regional Development Strategy and Regional Spatial Development Plan based on the most appropriate indicators for the region illustrating the severity of various problems at the regional level.

Another group of areas at risk of marginalization consists of urban areas and urban areas of former industry centres, the growth rate of which significantly decreased. They are affected by impoverishment of the population and a decline in investment. The problem of concentration of poverty, social pathology, and loss of economic functions increasingly affects also some districts situated in the most dynamic cities.

Map 2: Areas of strategic intervention for restructuring and revitalization of cities losing their socio-economic functions³⁰



Source: MRD.

The challenge in regard to the above areas is the use of restructuring instruments and the instruments of recovery for large urban areas, support for a comprehensive revitalization and restructuring of the socio-economic areas in the smaller spatial scales. This challenge involves the introduction of a national urban policy as an important element of regional policy.

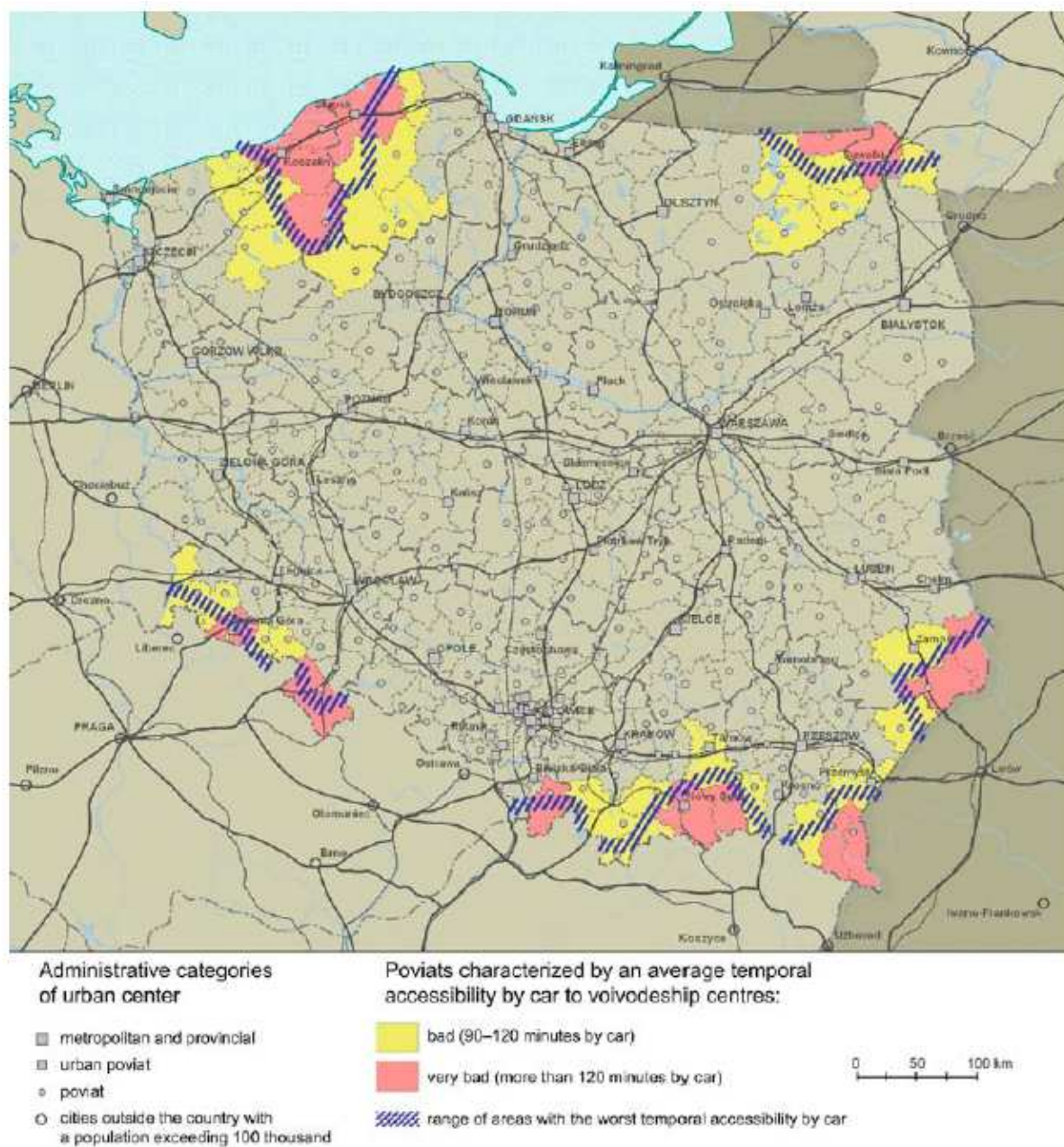
The areas at risk of marginalization processes include also some border areas particularly vulnerable to adverse events associated with the low national territorial availability, cultural and social differences and the drain of endogenous regional potentials by foreign regions. The regional policy towards these types of territories addresses measures designed to reduce barriers, increase economic cooperation, political and intercultural dialogue and to increase the competitiveness and attractiveness in both economic and social terms, enabling a full use of endogenous development potentials. The measures stimulating the economy in the areas situated on the borders with non-EU members, i.e. Russia, Belarus and Ukraine, are particularly important.

³⁰ Map shows an approximate group of cities at which the intervention will be targeted. An accurate determination of degraded areas and those parts of cities that require intervention will take place at the regional level. These areas will be identified in the Regional Development Strategies and Regional Spatial Development Plans.



One of the major drivers of economic growth and the spread of development processes is a modern transport infrastructure, understood functionally as a condition to open other possibilities of using resources and development opportunities. Poor transport accessibility of some Polish areas, especially the cities where social and economic functions are concentrated and the most important government authorities are located, is one of the major barriers to development.

Map 3: Areas of strategic intervention of regional policy to improve the transport connections to voivodeship centres



Source: MRD.



Actions planned within the framework of regional policy in order to provide adequate transport capacity will improve access to centres of innovation, science and knowledge centres, labour markets, education, health care, etc., while helping spread the effects of innovation to the peripheries and counteracting marginalization processes.

An important objective of support for the border areas is to develop border infrastructure, including that of local importance. Its absence is often the main barrier (also understood literally) for cross-border cooperation.

MTNDS		Translation into activities of appropriate strategies
Actions 2012-2015	Actions 2016-2020	
counteracting the processes marginalization at the national level through measures designed to strengthen the existing network of towns and support urban development, human resources and social capital development, entrepreneurship and the creation of infrastructural and institutional conditions for increasing investment and productivity growth		Regional Development Strategy Voivodeships Development Strategies
compensatory measures in the most backward rural areas to increase the access to and the quality of basic public services		Regional Development Strategy Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries Voivodeships Development Strategies
focused and integrated operations (infrastructure, social and economic issues) in the field of revitalization of cities and areas that lost their previous functions		Regional Development Strategy Voivodeships Development Strategies
impact on the border areas in order to overcome barriers to development and release their potential (with particular emphasis on the border of the Schengen area)		Regional Development Strategy Voivodeships Development Strategies
increasing the spatial availability of peripheral areas (expansion and modernization of transport infrastructure - road and rail and improving the quality of public transport - regional and intra-regional)		Transport Development Strategy Regional Development Strategy Voivodeships Development Strategies
increasing access to ICT infrastructure		Strategy for Innovation and Efficiency of the Economy Regional Development Strategy Voivodeships Development Strategies



IMPLEMENTATION FRAMEWORK

Financial framework

One of the most important challenges for development policy in the medium-term horizon of the national development strategy is to implement the planned modernization measures, while at the same time reducing the general government ³¹ sector deficit, and then to achieve and maintain the medium-term budgetary objective, i.e. the structural deficit at 1% of GDP. The main objective of the economic policy of the government in the medium-term is to create conditions for fast and sustainable growth, while at the same time ensuring the optimal pace of public finance consolidation (in accordance with the successive *Convergence programmes*). The development policy should therefore be implemented so as to maintain public debt within the limits defined by the Constitution and the Stability and Growth Pact. Public debt and deficit should be reduced using the means which do not hamper the development of the country.

Income and expenditure of the general government by 2020 is difficult to define. It will be influenced by the developments in the global economy, particularly in the euro area, on the one hand, and the readiness to implement structural reforms in Poland, on the other hand. The scale of EU funds that will be available under the financial perspective 2014-2020 is also unclear. Therefore it is not possible to precisely determine the expenditure necessary to complete the planned development activities. The proposed financial framework is based on departure from funding these activities with the general government deficit and focus on the changes in the structure of public expenditure. Therefore, the primary assumption for determining the MTNDS financial framework is the increase in spending on development activities in total public expenditure by reducing the expenditure in the areas that generate the smallest pro-development impulse in favour of the pro-development areas rather than by increasing the general government deficit.

MTNDS 2020 points to the need to carry out specific investments, but is an orientation document. According to the hierarchical system of planning, individual projects will be implemented on the basis of programmes, plans and other operational documents of the national strategic management system and adopted by the competent authorities at both the national and the regional level. These documents will determine the amount and method of financing, and the exact year of implementation. They should become the basis for drafting long-term financial plans of the state, budget acts and the multiannual financial forecasts for LGUs, local government budgets and financial plans of other public sector entities. The planned investment projects should be carried out within the limit of funds planned in the state budget for the given year and should not constitute a basis for applying for additional funding from the state budget. Where the EU funds will be used for the project implementation, they will be allocated under the relevant operational programmes or other programming documents. Financial assets of private entities, including those involved in infrastructure development, will play an important role in the implementation of MTNDS 2020.

Investment plans resulting from MTNDS provide a certain framework– they define the desired investment, but leave their implementation to the relevant institutions and make it dependant on changing financial and administrative capabilities. The financial framework is based on the desired scale of funding for implementation of projects in various areas of socio-economic development in the next ten years.

³¹ Debt of the general government.



Level of funding for development activities

Development expenditure for 2011-2020 was estimated based on the following macroeconomic assumptions³²: GDP growth rate of 3.5% a year on average until 2020, continuation of fiscal consolidation - a gradual decline in expenditure of the general government sector and a reduction of the deficit to 1% of GDP. The estimates took into account the effects of public finance reforms, including an increase in disability pension contributions, introduction of taxes on certain minerals. The adopted assumptions resulting from the fiscal consolidation mean that a necessary condition for meeting the needs of national development is the rationalization of public expenditure and its reorientation towards those activities that are crucial for the socio-economic and spatial development of the country, while reducing the general government deficit. Such an approach should allow to increase the development expenditure to 17.6% of GDP in 2020 (against 16.4% in 2010).

The **Efficient and effective state**, a strategic area of MTNDS, presupposes a change in the structure of public expenditure, consisting in a shift from the current expenditure to development expenditure. The development expenditure³³ includes expenditure on: research and development (including fundamental research), education, health, culture, economic issues (agriculture, transport, and telecommunications), environmental protection (waste management, reduction of pollution), water supply.

The strategic area of **Competitive economy** (Objectives II.2, II.3 and II.4) identifies research and development, technology diffusion and improving the skills of the labour force as areas that are of particular importance for increasing innovation in the economy and accelerating growth. Increased outlays on R&D will be particularly important for the creation of new technologies, innovation and implementation of research results. At the same time, thanks to increased spending on R&D, it will be possible to achieve other objectives of the Strategy, namely to improve the condition of the environment, reduce the energy consumption, promote e-government services and the use of digital technologies in the economy.

Maintaining the funds on education at the current level, their re-allocation and more efficient use will allow to build human capital faster in Poland. Objective II.4 Development of human capital also focuses on increasing the labour force participation. The achievement of this objective will be possible through higher spending on institutional care for small children (development of the network of child care institutions for children up to age of 3 and kindergartens), and higher education (to provide qualified personnel for the economy). The labour force participation of people aged 45-65 may also be improved by the proposed reform of the social security system and labour market. This will contribute to the reduction of social marginalisation (Objective III.1 Social Inclusion).

The construction of modern transport connections will increase the accessibility of the country (thus contributing to greater territorial cohesion, III.3 Strengthening the diffusion mechanisms and spatial integration in order to develop and make a full use of the regional potentials), reduce

³² The pro-development expenditure include (COFOG classification):

- R&D in all categories,
- category of economic affairs: part of agriculture (22%), transport, telecommunications, basic research,
- category of environmental protection: waste management (80%) and reduction of pollutants,
- category of housing and utilities: water supply (50%)),
- category: health,
- category of recreation, culture and religion: cultural services,
- category: education.

³³ According to COFOG classification covering the government sector and local government.



the number of road accidents (Objective I.3.3. Increasing the citizen security) and transport costs. In the long run it will be possible to close the infrastructure gap between EU15 and Poland (Objective II.7. Increasing the efficiency of management in the transport sector).

The challenges in public health, resulting from demographic processes, should also be taken into account. Population ageing and the need to prevent shrinkage of the labour force requires not only the increase (starting from 2013), but also the reorientation of expenditure in this area. Improving the accessibility of health services and better management of public health contribute to the objectives: III.2. Ensuring access and specific standards of public services, I.3.3. Increasing the citizen security, III.3.4. Improving territorial cohesion. This will be achieved in particular by increasing the expenditure on research and development, medical equipment and prevention (Public health department in the COFOG classification).

Table 1. Strategic tasks of the state, development objectives in medium-term perspective and the method for their implementation, as well as the expenditure of the general government sector (according to COFOG classification³⁴)

Strategic tasks of the state and MTNDS objectives	Methods of implementation and scale of expenditure
Consolidation of public finances II.1.1. Recovery of public finances	Gradual decrease in the general government expenditure
Modernization of public spending structure, including increasing the share of development expenditure (reallocation of public expenditure, gradual replacement of expenditure from the EU with national funding). Changes in the management of public policies (including territorialisation of public policies) and principles of financing the resulting tasks. Objective I.2.1. Modernization of public expenditure structure	Increase in expenditure on modernization from 16.4% in 2010 and 16.9% of GDP in 2011 to 17.6,0% of GDP in 2020
Increasing the efficiency of social benefits (illness, maternity, invalidity, accidents at work, unemployment, old age) The gradual increase of the retirement age over time and equalizing it for women and men, starting from 2013. II.1.1. Recovery of public finances II.4.1. Increasing labour force participation	Decrease of social protection expenditure from 16.2% of GDP in 2011 to 14.6% of GDP in 2020 as a result of increased labour force participation and improved effectiveness of benefits.
Implementation of comprehensive solutions in family policy (flexible forms of employment, different forms of child care, housing, etc.). II.4.1. Increasing labour force participation	Maintaining expenditure on pre-school and primary education at the level about 1.8 - 1.9% of GDP by 2020 (despite the negative demographic trends).
The implementation of solutions arising from the adverse demographic trends and an increase in retirement age, on the labour market and health care. Actions in the field of public health (precisely targeted prevention, information and popularization campaigns) covering lifestyle diseases. I.3.3. Increasing the citizen security II.4.2. Human capital improvement	The increase in expenditure in the area of <i>Health care</i> from 5.1% of GDP in 2011 to 6.1% of GDP in 2020 - an increase in spending on <i>Products, appliances and equipment</i> by 0.2 percentage points, increased spending on public health services by 1.2 percentage points, increased spending on health R&D by 0.1 percentage points.
Modernising vocational qualifications and ensuring re-training for employees of companies under restructuring. Changes in the education system and higher education system conducive to improving the quality of teaching and building a knowledge based society.	Maintaining expenditure on <i>Education</i> at the level of 5.4-5.6% GDP by 2020 (despite the negative demographic trends).

³⁴ According to the terminology used by the Central Statistical Office.



Strategic tasks of the state and MTNDS objectives	Methods of implementation and scale of expenditure
II.4.2. Human capital improvement Increasing the efficiency of activities in the area of environmental protection, including the creation of a system of adaptation to climate change and for protection of air against pollution, flood risk management. Introducing natural resource management (including strategic mineral resources, groundwater resources). Measures to minimize the risk of flooding Actions in the field of rational waste management II.6.1. Rational management of resources II.6.4. Improving the environment II.6.5. Adapting to climate change	Increase in expenditure on <i>Environmental protection R&D</i> to 0.06% of GDP in 2020, an increase in expenditure on reducing pollution to 2015.
Introducing innovation support system (preferences for innovation - the diversity of instruments, linking science and business, increasing investment in R & D, use and targeting of FDI) Identification of and support for new technologies that can provide competitive advantages of the economy (such as clean technologies, medicine, industrial design, organic biology) II.3.1. The increase in demand for research results II.3.2. Increasing the degree of research commercialization II.3.3. Providing human resources for R & D II.3.4. Increasing the use of innovative solutions	Increasing investment in R&D of 0.13% of GDP in 2011 to 0.4% of GDP in 2020, and for basic research from 0.3% of GDP in 2011 to 0.5% of GDP in 2020
Development of energy infrastructure projects (modernisation of transmission lines, development of transmission infrastructure, extension of selected product pipelines, Polish nuclear power program implementation, increasing the share of RES). II.6.2. Improving energy efficiency II.6.3. Increasing the diversification of fuel and energy supply	Increasing expenditure on <i>Economic affairs R&D</i> to 0.12% of GDP in 2020 Increase in <i>Environmental protection R&D</i> expenditure to 0.06% of GDP in 2020
Road infrastructure - high quality road connections between voivodeship capitals and Warsaw, construction of bypasses, construction and modernization of local connections (access to labour markets). Railway infrastructure - building networks with a high standard between the major economic and social centres, modernization of rail connections providing access to the labour markets. II.7.1. Increasing management efficiency in the transport sector II.7.2. Modernization and expansion of transport links II.7.3. Improvement of traffic capacity in urban areas	Maintaining expenditure on transportation (annual average in the period 2011-2020) at the level of 4.1% of GDP.

In order to implement the development projects while maintaining macroeconomic stability, public expenditure on these activities in 2020 should reach 17.6% of GDP. This means that it could be possible to allocate about PLN 3 billion of public funds on the development activities in 2011-2020.

Development expenditure structure

Most of the development expenditure in the period 2011-2020 will be allocated for three areas: education, health care and economic issues (including transport, agriculture and telecommunications, including digitization). Those areas of intervention will receive more than 88% (PLN 2 621.8 billion) of the total development expenditure, which accounts for about 15.4% of GDP.

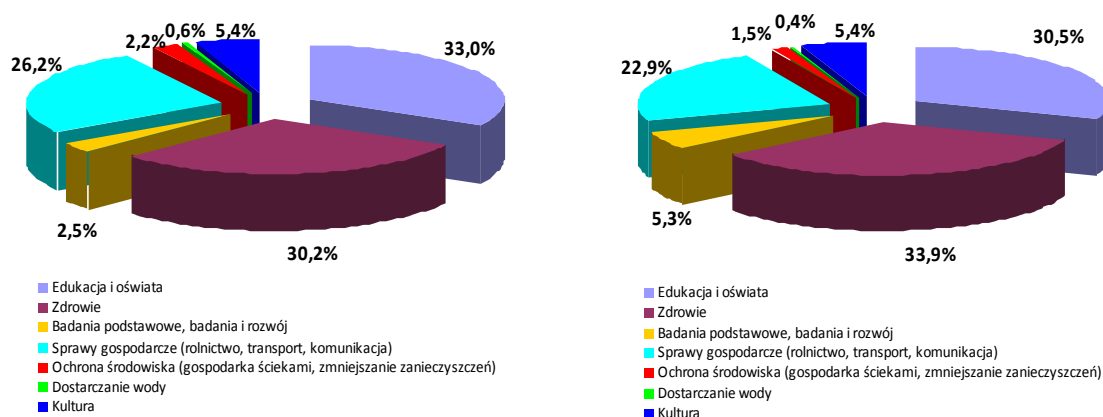


Table 2. Development measures³⁵ (COFOG classification)

Development expenditure ³⁶	2011	2020	Average in the years 2011-2020	Total 2011-2020	2011	2020
	PLN million				GDP %	
Education	82 068	108 065	93 595	935 951	5,6%	5,4%
Health care	75 007	120 055	93 752	937 521	5,1%	6,0%
Basic research	4 289	10 919	7 299	72 988	0,3%	0,5%
R&D	1 977	7 710	4 596	45 961	0,1%	0,4%
Economic issues (agriculture, transport, telecommunications)	65 094	81 001	74 458	744 582	4,4%	4,0%
Environmental protection (waste management, pollution reduction)	5 415	5 371	5 973	59 735	0,4%	0,3%
Water supply	1 375	1 440	1 589	15 889	0,1%	0,1%
Culture services	13 355	19 222	16 354	163 541	0,9%	1,0%
Total development	248 580	353 784	297 617	2 976 170	16,9%	17,6%

Source: Ministry of Regional Development in cooperation with the Chancellery of the Prime Minister³⁷

Chart 1. Share of individual categories of expenditure (according to COFOG) in the total development expenditure in 2011 (left chart) and 2020 (right chart)



Source: MRD

It should be noted that despite the steady growth of expenditure for **education**, its share in development expenditure will gradually decrease from 33.0% in 2011 to 30.5% in 2020. The share of expenditure on **health care** in development expenditure will increase from 30.2% in 2011 to 33.9% in 2020. In the case of expenditure on education, its share of GDP will be maintained at the same level until 2020, but there will be a reorientation in its structure.

In the initial period, the share of expenditure on **economic affairs** in total development expenditure will not change and will amount to 26.0% in 2015, and next, after a gradual decline,

³⁵ In constant prices of 2010.

³⁶ It is assumed that the group of agriculture, forestry, hunting and fishing, development expenses will constitute 22% of total expenditure in this group over the period 2011-2020; in waste management, the development expenditure will represent 80% of total expenditure in this group over the period 2011 - 2020; in water supply, the development expenditure will represent 50% of total expenditure in this group over the period 2011-2020.

³⁷ A detailed review of the various categories of COFOG classification available at: <http://unstats.un.org/unsd/cr/registry/regcst.asp?Cl=4&Lg=1>



it will total 22.9% in 2020. The major costs in this category are transport costs, amounting to about 96% of expenditure in this group, which represents approximately 24% of total development expenditure in the period 2011-2020. The share of transport expenditure will increase until 2014, reaching a level of 25% of development expenditure (which will constitute 4.3% of GDP), and then will decrease to 22.0% in 2020 (3.9% of GDP). The structure of transport expenditure will change (especially after 2015), with the share of expenditure on rail transport increasing. This will be related the increase of EU funds for such projects, on the one hand, and to the implementation of railway projects in Poland and the high standards of multimodal transport in big cities and their functional areas, on the other hand.

The share of expenditure on **cultural services** in the spending on development will remain at a similar level, amounting to 5.4% .

Although the share of **R&D** and basic research expenditure in total development expenditure will reach only 4.0% in the period 2011-2020, this category of expenditure will record the largest increase from 2.5% in 2011 to 5.3% in 2020 (0.4% of GDP in 2011 to 0.9% of GDP in 2020). It is estimated that approximately PLN 228 billion will be spent on this area, of which about PLN 120 billion will come from public funds. Private sector participation may reach PLN 108 billion, which is slightly over 47% of the R&D expenditure.

The share of **environmental protection** expenditure in the total development expenditure will decrease from 2.2% in 2011 to 1.5% in 2020

Key investment activities in the period until 2020

1. Broadband Internet
2. Network of motorways, expressways and bypasses
3. Modernisation of railway lines, replacement of rolling stock, modernization of railway stations
4. Modernization and expansion of airports
5. Strengthening maritime transport links
6. Nuclear power
7. Transmission networks
8. Storage of gas, oil and liquid fuels
9. Waste management, sewage treatment infrastructure

The projects resulting from MTNDS will be further defined during the creation of long-term operational plans and programmes with a medium-term perspective. Only a part of the expenditure that must be made by 2013/2015 (depending on the sector) has been specified in detail in the applicable documents. It should also be noted that in the case of large infrastructure projects such as roads, a significant part of the costs may be the expenditure on the purchase of land (in the case of investment in new routes), whose value may change over time.

The distribution of funds for development in terms of nine integrated strategies is presented in Table 4. The distribution suggests that some development activities financed from public funds will be implemented under several integrated strategies. At the programming stage of the development activities it is difficult to determine the precise scope of intervention in specific areas under their assigned strategies. This will be only possible at the operational stage upon formulation of programmes and division of activities between individual entities. The National Strategy for Regional Development is a special case, since it does not assign individual funds for its objectives and priorities. They are implemented using mainly sectoral instruments, and therefore under other integrated strategies.



Table 3. Distribution of funds (general government) for various integrated strategies implementing the objectives identified in MTNDS (according to COFOG) in constant prices of 2010

Area of intervention	Estimated funds (PLN million)	Main integrated strategy	Related integrated strategy
General public services			
Basic research	72 988.3	Strategy for Innovation and Efficiency of the Economy	
General public services in research and development	4 091.1	Efficient State Strategy	
National defence			
R&D - defence	1 185.0	Strategy for Development of the National Security System	
Public order and safety			
R&D - public order and safety	286.6	Efficient State Strategy	
Economic affairs			
Agriculture, forestry, fishing and hunting	27 485.9	Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries	Regional Development Strategy
Transport	710 890.6	Transport Development Strategy	Regional Development Strategy
Telecommunications	6 205.2	Strategy for Innovation and Efficiency of the Economy	Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries
R&D – Economic affairs	18 137.3	Strategy for Innovation and Efficiency of the Economy	Regional Development Strategy
Environmental protection			
Wastewater management	45 908.6	Strategy for Energy Security and the Environment	Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries
Pollution reduction	13 826.4	Strategy for Energy Security and the Environment	
R&D - environmental protection	6 136.6	Strategy for Energy Security and the Environment	
Housing and community amenities			
Water supply	15 889.0	Strategy for Energy Security and the Environment	
R&D - housing and facilities for local communities	474.3	Human Capital Development Strategy	
Health care			
Medical products, appliances and equipment	98 792.9	Human Capital Development Strategy	
Services for patients in outpatient facilities	177 699.2	Human Capital Development Strategy	Regional Development Strategy
Hospital services	444 031.9	Human Capital Development Strategy	Efficient State Strategy
Public health services	197 862.5	Human Capital Development Strategy	Efficient State Strategy
R&D - health	10 750.8	Human Capital Development Strategy	Regional Development Strategy
Health care - other	19 134.8	Human Capital Development Strategy	Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries
Recreation, culture and religion			
Culture services	163 541.4	Social Capital Development Strategy	Efficient State Strategy
R&D - Recreation, culture and	830.1	Human Capital Development	Regional Development Strategy



Area of intervention	Estimated funds (PLN million)	Main integrated strategy	Related integrated strategy
religion		Strategy	
Education			
Pre-school and primary education	312 238.1	Human Capital Development Strategy	Social Capital Development Strategy Regional Development Strategy Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries
Secondary education (lower and upper secondary education, vocational education)	258 540.1	Human Capital Development Strategy	Social Capital Development Strategy Regional Development Strategy Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries
Postsecondary education excluding higher education	607.9	Human Capital Development Strategy	Regional Development Strategy
Higher education	257 160.8	Human Capital Development Strategy	Social Capital Development Strategy Strategy for Innovation and Efficiency of the Economy Regional Development Strategy
Education not classified by level	61 865.7	Human Capital Development Strategy	Social Capital Development Strategy
Supporting services for education	34 319.9	Human Capital Development Strategy	Social Capital Development Strategy
R&D - education	4 069.7	Human Capital Development Strategy	
Education - other	11 218.9	Human Capital Development Strategy	
TOTAL ³⁸	2 976 169.5		

Source: MRD

According to the areas of intervention assigned to individual strategies, it is estimated that the public funds earmarked for development of integrated strategies in the system will amount to:

1. Strategy for Innovation and Efficiency of the Economy (SIEE): ca. PLN 97.3 billion

Additional funds for joint actions identified in:

- HCDS in the education area part (higher education).

2. Human Capital Development Strategy (HCDS): ca. PLN 1 889.6 billion

Common funds for activities identified in:

- PCDS - in the part concerning *recreation, culture and religion, education*;
- NSRD – in the part concerning *education and health care*;
- ES – in the part concerning *health care*;
- IEES in the part *education* concerning (*higher education*).
- SDRAAF – in the part concerning *education and health care*;

3. Transport Development Strategy (TDS): ca. PLN 710.9 billion

Common funds for activities identified in:

- NSRD in the part concerning *economic affairs* (transport investment);
- SDRAAF in the part concerning *economic affairs* (transport investment);

4. Strategy for Energy Security and the Environment (ESE): ca. PLN . 81.8 billion

Common funds for activities identified in:

- NSRD in the part concerning *environment protection (sewage management)*;
- SDRAAF in the part concerning *environment protection (pollution reduction)*;

³⁸ The integrated strategy will be implemented as activities that can generate expenses not included in the pro-development category.



5. Efficient State Strategy (ESS): ca. PLN 4.4 billion
6. Social Capital Development Strategy (HCDS): ca PLN 163.5 billion
Common funds for activities identified in:
 - HCDS in the part concerning *culture, recreation and religion (culture) and education*
 - NSRD in the part concerning *culture, recreation and religion (culture)*
 - SDRAAF in the part concerning *culture, recreation and religion (culture)*.
7. National Strategy of Regional Development (NSRD) – joint activities with other integrated strategies.
8. Strategy for Development of the National Security System (NSS): ca PLN 1.2 billion³⁹
9. Strategy for Sustainable Development of Rural Areas, Agriculture and Fisheries (SDRAAF): ca PLN 27.5 billion
Common funds for activities identified in:
 - NSRD in the part concerning *economic affairs (rural areas development)*.
 Additional resources for collective actions identified in:
 - TDS in the part concerning *economic affairs (transport infrastructure)*
 - SIEE in the part concerning *economic affairs (communication)*
 - ESE in the part concerning environment protection (pollution reduction);
 - HCDS in the part concerning *health protection and education*
 - SCDS in the part concerning *culture, recreation and religion (culture)*.

Sources of development activities' funding

In order to achieve the expenditure for development defined in MTNDS, additional sources of financing of the proposed projects must be found. They may include:

- EU budget;
- foreign direct investment;
- reforms of the labour market and the social security system, increasing the supply of labour, productive employment and thus the number of persons paying the contributions and taxes;
- changes in the tax system;
- increased revenues from environmental taxes (including the ETS system of emission charges) and the introduction of charges for using the transport infrastructure;
- additional public revenues or savings in other expenditure than spending on development, generated by constant monitoring of the funding needs of the reforms.

It is assumed that under the **EU financial perspective for 2007-2013**, Poland will obtain nearly PLN 284 billion in the years 2011-2013, including almost PLN 216 billion for implementation of

³⁹ The expenses under the "defense" function according to COFOG classification will cover only expenditure on R&D. While the expenditure included in the NSS financial framework also covers other expenses provided for the implementation of intervention concerning the defense needs of the State, the annual financing of which, in accordance with applicable law, should amount to at least 1.95% of GDP for the previous year (Act of 25 May 2001 on reconstruction, modernization and financing of the Polish Armed Forces (Journal of Laws of 2009 No 67, item 570, No 157, item 1241 of 2011 No 81, item 439).



the National Cohesion Strategy 2011-2013 (in line with the n +2 spending rule until the end 2015). Actions related to the restructuring of agriculture and rural development under the Rural Development Programme 2007-2013 may receive the financing of PLN 35.5 billion in the years 2011-2013 (in line with the n +2 spending rule until the end 2015). Significant funding from the EU budget will be transferred to Poland in form of direct payments under the Common Agricultural Policy (PLN 31 billion in the years 2011-2013).

In the **2014-2020 perspective** the EU funding is expected to remain at a level similar to the one under the 2007-2013 perspective, namely within the limits of PLN 400-440 billion. Final decisions concerning the amount of the EU funds will depend on the development of socio-economic situation in the euro area and the results of the negotiation on the package of regulations related to the EU financial perspective 2014-2020. The EU funds are therefore an important source of financing for development activities; however, they require the contribution from national public funds in line with the principle of co-financing and pre-financing.

Private economic operators will play an important role in the financing of the widely understood development of the country thanks to their **own investments**. Public-private partnership, which has not been widely used thus far, will be an essential tool for integrating private initiatives with the country's development activities. The mechanisms and conditions for the functioning of the instrument will have to be simplified. The National Bank of Poland estimates that the FDI inflow to Poland increased to approximately EUR 12.7 billion in 2011. This growth results from increased flows of capital on an international scale, the relatively high investment attractiveness of Poland and an increase in reinvested earnings. The FDI inflow is expected in industries where foreign companies look for opportunities to cut costs, and therefore in the area of widely understood services, primarily in the creation of business service centres and shared service centres (SSC). Such investment requires much less capital, while creating a relatively large number of jobs.

Additional funds may be found through a **reallocation of expenditure** from current spending to development expenditure. It is mainly related to the reduction of social transfers (due to structural reforms). Introducing an equal retirement age for men and women and a gradual increase of this age allowing to simultaneously decrease the expenditure for retirement pensions, increase revenues from social security contributions and from personal income tax. At the same time, the labour force participation of women aged 25-44, men aged 25-54 and young people (15-24 years) will need to increase. A gradual integration of special pension schemes and rationalization of pension expenditure provided for in MTNDS will result in synergies for public finances, consisting in reducing the pension liabilities of the state and increasing the revenues from contributions.

Due to demographic changes, the growth of expenditure on education is expected.

Moreover, in the long run, i.e. from 2020, maintenance of the constructed road and motorway network will be facilitated by adopting a system of charges for the use of transport infrastructure.

It is estimated that the introduction of structural reforms and tax changes will allow to obtain 0.7% of GDP in additional government revenue an average in the period 2013-2020, accumulatively by 1.2% of GDP in 2020. In particular, the structural reforms of the labour market should generate positive external effects in the form of increased labour resources and an increased employment rate, up to 64% for those aged 15+, 69% for women and 76% for men aged 15-64 years. It may also result in a higher rate of economic growth and income of the population and in the reduction of social exclusion. This would allow to achieve the objectives of the Europe 2020 strategy in terms of employment and social cohesion.



A gradual introduction of fees for CO₂ emissions starting from 2013 would result in a significant **increase in budget revenues** (up to 0.6% of GDP in 2020). At the same time, potential sources of additional revenue will be constantly monitored, with particular emphasis on indirect taxes as those that are the least distorting for the allocation of labour resources and capital. The proposed changes in the tax system would also contribute to increasing the investment and savings, which is consistent with objective II.1.2 Efficient state.

Summary

Financing all development priorities set for 2020 will require substantial public (national and EU) funds. The analyses show that the implementation of the development activities planned in MTNDS will require the spending of about PLN 3 trillion of public funds in the years 2011-2020, which constitutes about 17.3% of GDP. It is assumed that 23-25% of the indicated development expenditure in the analysed period will be financed by the EU funds. Private funds will constitute an additional source of funding for development activities, particularly in the area of R&D, transport, or the main source of financing in the area of energy, port, airport and telecommunications infrastructure (matching funds from the EU and the associated national public funds allocated for co-financing).

Implementation of an ambitious vision of Poland in 2020 in the context of an ageing population also entails the need to increase state revenues and reduce the deficit arising from social transfers.

Although Poland is still backward, especially in terms of basic infrastructure, the estimated amount of funds for development is sufficient to finance the priorities identified in MTNDS 2020 and 9 integrated strategies. Such expenditure also appears to correspond to the capacity of the Polish economy and guarantees the country's macroeconomic stability.

An important task of the state is to constantly increase the national contribution in total expenditure for development so that by the end of the decade it would be possible to replace the financing of development measures from the EU funds, which are gradually decreasing, with the national funds.

The structural reforms and measures reducing the general government deficit that are provided for in MTNDS should allow to achieve and maintain the medium-term budgetary objective (structural deficit of 1% of GDP) and the accomplishment of development objectives in the perspective of 10 years, thus creating a favourable ground for modernization activities in the long-term. The failure to carry out the reforms would result in Poland remaining a country with low competitiveness and prosperity, and also with growing fiscal problems.



Implementation system

Entities and coordination

Programming and implementation of individual policies and strategies under the development policy in a broad sense will be based on the principles of the so-called multilateral coordination and multi-level management by means of an active participation of actors from various levels of public administration and other entities of the social and economic life.

The Council of Ministers is responsible for the development policy implementation at the national level, while local government units bear this responsibility at the regional and local levels. The assumption is that the MTNDS, as a key strategic document of the development policy, should integrate all entities that can participate and contribute to the development process, including public institutions at central and regional level, as well as economic and social circles, around the strategic objectives of the policy. This will require efficient coordination, at the programming, planning and implementation stages, in order to obtain synergies necessary for the effective achievement of the MTNDS objectives. This principle will govern the implementation mechanisms in all development strategies and programmes, including rules on the project identification and funding.

Determination of the strategic objectives of the state and the major programming decisions rest with the Council of Ministers. The Prime Minister directly supervises the strategic management. The adopted development management system increases the personal involvement of the Prime Minister at the programming stage of strategic government documents. This applies particularly to the long-term national development strategy, the preparation and consultation of which is, pursuant to the Act of 6 December 2006 on the principles of development policy, coordinated by the Prime Minister or his delegated representative.

The Coordinating Committee for Development Policy (CC) is an advisory and consulting body of the Prime Minister in the area of development policy whose task is to ensure an effective coordination of programming and implementation of development policy, as well as strategic monitoring and evaluation of its implementing instruments. The CC is chaired by the Prime Minister or his delegated representative which ensures his direct supervision of the implementation of the national development policy.

Ministers and heads of central offices provide the Committee with the key programming documents and materials relating to their implementation and evaluation, as well as any other studies concerning the programming, implementation and evaluation of development policy (including recommendations for its amendments).

The minister responsible for regional development plays an important role in the development and coordination of development policy. The minister is responsible for development programming in the medium-term (including the preparation of the draft medium-term national development strategy and its updates, the national strategy for regional development, trans-regional strategies), definition of methodological and professional standards and organizational procedures of the programming process as well as the enforcement of their observance by the entities involved in this process with regard to all government policies constituting the development policy. The minister in charge of regional development also prepares the National Spatial Development Concept which includes the long-term perspective.

The main tool allowing the minister responsible for regional policy to coordinate the programming of the national development policy in the horizontal aspect is the assessment of compliance of the government strategies and development programmes with the medium-term national development strategy (i.e. the National Development Strategy 2020). The opinion of the minister responsible for regional development is required for the adoption of the document by the Council of Ministers.



The coordinators in the individual ministries are responsible for the preparation and implementation of integrated strategies. Based on integrated strategies, they determine which programmes or other instruments must be adopted for appropriate and effective implementation of these strategies.

A special role in coordinating the development policy consisting in ensuring effective and efficient financing for the development policy belongs to the minister in charge of budget and public finances who is responsible for i.a. preparation of the Multi-Year State Financial Plan (MYSFP i.e. a plan of income and expenditure, revenues and spending of the budget for next four financial years, which is updated annually).

The MYSFP includes medium-term objectives of national development strategy and objectives of socio-economic policy of the Council of Ministers. Multi-Year State Financial Plan includes i.a. a forecast of budget expenditure, including the expenditure on national development activities, based on the priorities and main directions of intervention indicated in the medium-term development strategy. The MYSFP is the basis for preparation of the Budget Acts for subsequent years of its application and is, along with the performance budget, the basic instrument to ensure consistency of the budget planning and strategic programming.

The voivodeship government plays an essential role in the programming, management and coordination of development measures at the regional level. Its most important include programming of development activities in the region (voivodeship development strategy), building cooperation networks at the regional level, coordinating the development activities implemented in the region and supervision of the regional policy implementation using appropriate monitoring and evaluation mechanisms. Local governments which are involved in the development policy implementation at the regional and local level at both the programming and implementation stages of development activities, constitute an important element of the regional cooperation network.

Other entities involved in the implementation of the development policy objectives on a partnership basis include the representatives of socio-economic partners, associations and NGOs, academic circles and private entities. Their participation at all stages of the processes related to programming and implementation of the development activities ensures the efficiency and effectiveness of these processes by building broad public support and trust between the public entities and their partners with the aim of achieving the development objectives.

Implementation instruments - recommended strategies and programmes

The strategic objectives identified in MTNDS are implemented in the form of integrated development strategies that go beyond traditional sectoral framework and comprehensively cover the main areas of the country's development. MTNDS defines the strategic tasks of the state. While ensuring consistency between actions at the national and regional level, the objectives of the strategy, pursuant to the Act on voivodeship government, should be included in the development strategies of the voivodeships.

The instrument for coordination of development activities at the national and regional level is a territorial contract. The territorial contract allows to establish common objectives in relation to a specific territory and coordinate development activities by both the central and the local government. Such contract includes activities implemented at the national level (by individual ministries, to the extent indicated as a condition for the implementation of other activities at the regional level) and at the regional level (activities implemented by various units of local government - voivodeship, powiat, gmina). As a result, the contract defines the directions of intervention of the competent ministers and various local governments (voivodeship, powiat, gmina). At the national level, the government is represented by the minister responsible for



regional development. The local government (voivodeship, powiat or gmina government) is represented by the board or boards of voivodeships (in case of a contract covering an area larger than the area of the voivodeship).

The National Reform Programme for the implementation of the Europe 2020 strategy (NRP), which is the basic element of the management system in the European Union Member States, is an important tool for implementation of the development objectives. This document focuses on major reforms for smart, sustainable and inclusive growth, resulting from the Europe 2020 objectives and on the barriers to growth for Poland. The NRP incorporates and clarifies those elements of the medium-term strategy and 9 integrated strategies, which contribute to the achievement of the Europe 2020 objectives and implementation of its flagship initiatives.

The implementation tools for integrated strategies include the operational and development programmes, including multiannual programmes. The process of organizing the existing development programs, involving their verification, possibly combining them into broader thematic blocks and identification of the lacking ones, will be conducted based on the needs resulting from the adopted integrated strategies.

The measures that need to be undertaken by the ministers in charge of individual sections of government administration within their competences are identified based on regulations concerning the management control of the public finances within the framework of annual action plans. They should include the tasks performed under the specific sections of the government administration that implement development objectives set out in the above mentioned documents.

Monitoring and reporting

Under the current system, the implementation of the adopted strategic objectives under the medium-term national development strategy, was monitored mainly based on the report on the implementation of the medium-term national development strategy drawn up annually by the minister responsible for regional development, using the contributions from individual ministries. Pursuant to the Act on development policy, the Prime Minister shall forward such a report to the Sejm and the Senate by 31 July each year.

The experience from the functioning of the MTNDS implementation system so far points to the necessity of its modification by linking the strategic planning level with the operational level. A new tool, i.e. the MTNDS Action Plan, will be used for this purpose.

The minister in charge of regional development will still be responsible for coordinating and monitoring the implementation of MTNDS. The competent ministers will be responsible for the implementation of the various elements of the Strategy.

MTNDS Action Plan – introduction of the principle of linking strategic and operational planning

MTNDS Action Plan will constitute a document for the operationalization of a medium-term strategy and the main tool for ongoing monitoring of progress in its implementation.

The plan will specify the following, as for the objectives (priorities) resulting from MTNDS:

- List of key projects planned for this period, broken down into:
 - legislative changes,
 - institutional changes,
 - interventions/ investment programmes.
- Ministries responsible individual projects;
- Performance indicators of individual projects.



The plan will be prepared by the minister responsible for regional development.

The implementation of the Plan will be regularly monitored on an annual basis. Reports on the implementation of the Plan, together with recommendations for actions necessary to ensure its timely and effective implementation, will be examined by the Coordinating Committee for Development Policy.

The annual reviews of the MTNDS Action Plan, adopted by the Council of Ministers, will constitute a tool for monitoring the medium-term strategy. At the same time, the annual information on the MTNDS implementation will be submitted to the Sejm and the Senate, in line with the current practice and statutory requirements.

The basic point of reference for monitoring the MTNDS Action Plan, and thereby the MTNDS itself, will be the key indicators included in this document, which should be elaborated and complemented in the integrated strategies and individual programmes.

The strategic management system is to create a nationwide, comprehensive system of key indicators for designing the systems for monitoring the implementation of strategies and development programmes, as well as the process of development monitoring at the national and regional level. The key indicators will be included in the publicly accessible electronic database of statistical data used for monitoring at the national level and at the level of regional units. This set of structural indicators will enable the institutions compiling strategic documents to quickly and easily obtain the information necessary to monitor the strategic documents.

Evaluation and risk analysis

Mechanisms and standards for monitoring and evaluation, developed for the needs of the European cohesion policy in Poland, are increasingly being used to evaluate other public policies, including those financed from national sources.

MTNDS, in accordance with the requirements of the Act on development policy principles, is subject to ex ante evaluation (i.e. assessment of the effectiveness and efficiency of the strategic document before its adoption).

An ex ante ⁴⁰ evaluation was carried out for the MTNDS draft and included:

- Assessment of the socio-economic diagnosis and assessment of the accuracy of the selection of objectives of the strategy in the context of the diagnosis;
- Quality assessment of the assumptions for the implementation system, in particular:
 - ⇒ Effectiveness and efficiency of the support instruments adopted in the implementation system,
 - ⇒ Verification of adequacy and compliance of the proposed indicators with the objectives,
- Evaluation of the appropriateness of the identified state policy objectives, objectives of intervention, strategic tasks of the state and the estimated efficacy of the instruments for their implementation;
- Evaluation of the estimated strategy impact, defined as the expected impact of the strategy on the socio-economic development of the country;
- Evaluation of the inclusion of the findings from the "Poland 2030. Development Challenges" and the draft "Long-term National Development Strategy", "Europe 2020

⁴⁰ Final Report. Ex ante evaluation of National Development Strategy 2020., Zachodniopomorska Advisory Group LLC, Szczecin, October 2011



Strategy”, “Renewed EU Sustainable Development Strategy” in MTNDS and the consistency between these documents and MTNDS.

The evaluation of the effects of the medium-term strategy, which is part of the ex-ante evaluation, was performed using the economic impact assessment, complemented by the Delphi survey.

Two extreme variants of the conditions for the implementation of the Strategy were adopted to assess the effects of the Strategy. The first variant, described as pessimistic, assumed that development activities are conducted in the situation where many adverse external factors are present (such as the deepening global financial crisis) have a negative impact on the situation in the country. The second variant, an optimistic one, did not foresee the circumstances that would prevent the implementation of the strategy.

The presented evaluation of the effects of actions taken under pessimistic variant leads to the conclusion that the economic position of Poland in comparison with other countries should not deteriorate and may even slightly improve. This is due to the fact that in the event of a crisis other countries will be in a similar situation as Poland and due to a relatively good current socio-economic condition of the country. If the optimistic variant materializes, the competitive economy and effectively functioning public institutions will ensure macroeconomic stability and further dynamic development of Poland.

Another possible scenario is that the implementation of strategic tasks in the area of *efficient and effective state* will allow to fundamentally improve the quality of the functioning of state institutions. It will be possible as a result of i.a. the entrepreneurship development, socialization of the decision making processes, increase in the decision-making competence, better use of resources (including aid), better spatial order and improvement of public safety.

According to estimates, the implementation of the tasks in the strategic area of *Competitive economy* will create solid foundations for strengthening the macroeconomic policy as the basis for the functioning of the economy, more effective activities of the state, reduction of the investment risk and encouragement for investment, savings and generating of investment capital. Information and communications technologies will be implemented on a large scale which will allow to improve the management and information flow. Moreover, the economic efficiency and the condition of the natural environment will be improved. Energy security will guarantee the uninterrupted functioning of the economy as the diversification of the supply should reduce the costs of energy and fuel supply.

According to the evaluators, the implementation of tasks in the strategic area of *Social and territorial cohesion* will allow to increase the efficiency of the expenditure on social services and elimination of pathologies and to promote the activity of the excluded, as well as to improve the social security. Moreover, it should boost the interregional cooperation and generate and support sustainable economic development.

The evaluation report included a conclusion that the planned interventions should generate lasting effects in the area of development, provided that the authorities are determined to implement such measures. The majority of objectives set forth in the strategy will most likely be accomplished, although to various extent.

In addition to the estimation of the effects of the strategy, the evaluation report contained conclusions and recommendations on the structure and content of the document. They were used to add a separate diagnostic part to the document which covers 15 areas coinciding with the main areas of intervention of the National Development Strategy 2020. The comments on the indicators and data sources were taken into account. The structure of the strategic part presenting the financial framework has changed substantially compared to the draft submitted for evaluation.



The evaluation based on the analysis of the document and the opinions of experts concluded that the strategic areas, objectives and priorities of intervention had been defined accurately. It also confirms their compliance with the requirements of the Act on the principles of development policy and with key national and EU strategic documents. The monitoring system was described as consistent with the assumptions of the whole document implementation system and the proposed support instruments were rated as having a potential for efficiency and effectiveness.

The evaluation report also included proposals for certain adjustments that have been used.

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MTNDS implementation will be accompanied by comprehensive projects for evaluation of activities conducted by public administration units in different sectors of the economy, as well as the wider public policies. It is a continuous process, serving as a tool to assess the effectiveness of public policies and actions under those policies. This will be supported by co-operation, particularly in the evaluation of policies and actions for achieving the MTNDS objectives.

A report on the socio-economic, regional and spatial development, including the analysis of development directions, evaluation of the effectiveness of the implementation of national development objectives stated in the individual policies and programmes and recommendations for national development policy, including the development of regions, sectors and areas, as well as spatial development, which is drawn up by the minister responsible for regional development every three years, is an important element supporting the evaluation of conducted development activities. The report assesses the level and pace of development in these areas against the EU background. The conclusions of the report can serve as the basis for updating the existing strategies and programs.

The introduced system of strategic documents based on LTNDS, MTNDS, nine integrated strategies and their implementing programmes requires a comprehensive evaluation and analysis in order to avoid excessive expansion of the evaluation system in each of these documents, duplication of analyses and studies, and thus the dispersion of budget funds.



STRATEGIC TASKS OF THE STATE IN THE 2020 PERSPECTIVE

Tasks of systemic nature

1. Consolidation of public finances.
2. Modernization of the structure of public spending, including increasing the share of development expenditure (reallocation of public expenditure, gradual replacement of expenditure from the EU funds with national funding).
3. The gradual increase and equalisation of the retirement age of women and men over time, starting from 2013.
4. Increasing the efficiency of social benefits (illness, maternity, invalidity, accidents at work, unemployment, old age)
5. Changes in competences of public administration at central and local government level and new management methods.
6. Changes in the management of public policies (including territorialisation of public policies) and principles of financing the resulting tasks.
7. Improving the justice system resulting in shorter average duration of judicial proceedings (change in the management of courts, simplification of court procedures) and changes in the organizational and procedural system of the prosecution system.
8. Determining the standards of public services (valuation of public services) and introduction of the public services management.
9. Supporting the development of entrepreneurship (elimination of legal and administrative barriers, improvement of the access to capital, strengthening entrepreneurship, institutional, organizational and financial strengthening of business environment).
10. Promoting export and investments (financial instruments, Polish investments abroad, inflow of innovative FDI, and coherent system of promoting the Polish economy).
11. Introducing the innovation support system (preferences for innovation - the diversity of instruments, linking science and business, increasing investment in R & D, use and targeting of FDI)
12. Identifying and supporting new technologies that can provide competitive advantages of the economy (such as clean technologies, medicine, industrial design, agrobiological)
13. Modernising the system of vocational qualifications and ensuring re-training for employees of restructured companies.
14. Modernization of agri-food sector and diversification of employment in rural areas, use of internal resources enabling a unique specialization of regions.
15. Improving the quality of food and improving food security by supporting integrated, organic, traditional and regional food production methods using local raw materials.
16. Introduction and ensuring spatial order at the national and local level.
17. Introducing an integrated system of state security, rescue and civil protection (including the improvement of the crisis management system).



18. Increasing the efficiency of activities in the area of environmental protection, including the creation of a system for adaptation to climate change and for protection of the air against pollution, flood risk management.
19. Introducing the natural resources management system (including strategic mineral resources, groundwater resources).

Investment tasks – hard investments

1. Road infrastructure - high quality road connections between voivodeship capitals and Warsaw, construction of bypasses, construction and modernization of local connections (access to labour markets).
2. Railway infrastructure - building a network of high standard connections between the major economic and social centres, modernization of rail connections providing access to the labour markets.
3. Development of energy infrastructure projects (transmission lines modernization, transmission infrastructure development, development of selected product pipelines, Polish nuclear power programme implementation, increasing the share of RES).
4. Providing access to broadband.
5. Measures to minimize the risk of flooding
6. Actions in the field of rational waste management
7. Improving the health care infrastructure and the teaching facilities of medical schools and research institutes.

Investment tasks – soft investments

1. Implementation of comprehensive solutions for a family policy (flexible forms of employment, different forms of child care, housing, etc.).
2. Implementation of solutions arising from the adverse demographic trends and an increase in retirement age on the labour market and in health care.
3. Changes in the education system and higher education conducive to improving the quality of teaching and building a knowledge based society.
4. Actions in the field of public health (precisely targeted prevention, information and popularization campaigns) covering lifestyle diseases
5. Strengthening the social capital at the local level by raising awareness of the benefits of cooperation and shaping pro-social and pro-entrepreneurial attitudes.



INDICATORS

KEY INDICATORS				
Item	Indicator	The value in the base year (2010)	The value in the target year (2020)	Sources for 2010
1	GDP growth rate (2010 = 100, constant prices)	100	140.00-144.00	CSO
2	GDP per capita in PPS (EU27 = 100)	63	74-79	Eurostat
3	Gross disposable income of households in total (2010 = 100)	100	138-142	CSO
4	Public balance (%)	-7.8	-1	MF
5	Human development index (HDI) / / Ranking	0.795 // 41.	0.820 // ≤35.	UNDP
6	Global Competitiveness Index / / Ranking	4.51 // 39.	5.2 // 25.	WEF
7	Employment rate for persons aged 20-64 years (%) * total / / women / / men	64.6//57.7//71.6	71//69//73	CSO
8	Average investment rate (%)	19.9	21-23	CSO
SPECIFIC INDICATORS				
I. Effective and efficient state				
1.1 Transition from administration to management				
Main indicator:				
1	Government effectiveness	0.64 (2009)	1	WB
Auxiliary indicators:				
2	Regulatory quality	0.93 (2009)	1.3	WB
3	Position in the Global Competitiveness ranking in terms of regulatory burden	111.	75.	WB
4	Use of the Internet for interaction between public authorities and citizens / / including for returning completed forms (%)	28//10	achieving a value situating Poland among the top seven countries of EU (currently 51 // 27)	Eurostat
1.2 Ensuring funds for development				
Main indicator:				
1	The share of public expenditure on development-oriented goals in GDP (%)	16.4	17.6	SRI on the basis of CSO data
1.3 Strengthening the conditions conducive for citizens' interests and activities				
Main indicator:				
1	Adults' level of interpersonal trust (%)	26	35	CBOS
Auxiliary indicators:				
2	Average duration of debt collection through the courts (in days)	830	<600	Doing Business Report
3	Trust in public institutions (%)	Local authorities of the city / gmina 55%; Officials of public administration 42%	Local authorities of the city / gmina 60%; Officials of public administration 48%	CBOS
4	Percentage of the population declaring activity in social organisations (%)	16	25	CBOS
5	The share of area covered by the current spatial development plan in the total country geodesic area (%)	26	35	own calculations based on CSO data
6	The percentage of people who feel safe in the place they live (%)	88 (2009)	92	CBOS
II. Competitive economy				



2.1 Macroeconomic stability strengthening				
Main indicators:				
1	General government debt (ESA '95) (% of GDP)	54.8	45	CSO
2	Share of exports in GDP (%)	42.3	44-46	CSO
2.2. Increasing the economy productivity				
Main indicators:				
1	Gross value added (GVA) per employee in PPS (EU27 = 100)	66	70-76	CSO calculations based on Eurostat
Auxiliary indicators:				
2	Structure of employed persons by sector of the economy (sector I / sector II / sector III) (%)	12.9/30.2/56.9	10/28/62	CSO
3	Share of fields of high and medium-high technology in value of sold production of products (%)	33.5	36-38	CSO
Main indicator:				
1	European Innovation Ranking	Poland in the group of moderate innovators	Poland in the group of catching up leaders	Innovation Union Scoreboard
Auxiliary indicators:				
2	Expenditure on R&D (GERD) (%)	0.74	1.7	CSO
3	Business Enterprise Expenditure on R&D (BERD)(%)	0.2	0.6-0.8	Eurostat
4	Share of students at technical and natural sciences faculties in the total number of students (%)	23.3	30	CSO
2.4 Human capital development				
Main indicator:				
1	Employment rate for persons aged 15-24 / / 55-64 (%)	26.3//34.0	30 // 40	CSO
Auxiliary indicators:				
2	Percentage of people aged 25-29 not in employment, education or training - NEET	21.7	18	Eurostat
3	Employment rate of women whose youngest child is aged up to 5 years(%)	57.6	63	LFS (BAEL), Eurostat
4	Percentage of children under 3 years of age in formal child care (%)	2.7 ⁴¹	33	CSO/MPiPS
5	Results of the PISA test - percentage of students below Level 2 in three areas: reading (C), mathematics (M) and science (P)	(C) 15 ; (M)20,5; (P) 13,1 (PISA 2009)	(C) 11 ; (M) 16; (P) 10	OECD
5a	Results of the PISA test - percentage of students over Level 4 in three areas: reading (C), mathematics (M) and science(P)	(C) 7,2 ; (M)10,4; (P) 7,6 (PISA 2009)	(C) 10 ; (M) 13; (P) 10	OECD
6	Early Childhood Education ratio (%) total / / urban / / rural	77.1//89.5//60.2	90//100//80	CSO
7	Share of 30-34 year olds with a tertiary or equivalent degree (%) total / / urban / / rural	35.3//44.4//18.8	45//50//30	CSO
8	Adults in education and training (%)	5.3	10-15	CSO
2.5. Ensuring the use of digital technologies in the economy				
Main indicator:				
1	Percentage of individuals using the Internet	54.6//61.1//43.5	70-75//75-	CSO

⁴¹ Percentage of children under 3 years of age enrolled in pre-school education in the total number of children in a given age group (%)



	regularly (%) total / / urban / / rural		80//60-65	
	<i>Auxiliary indicators:</i>			
2	Households having access to the broadband Internet in the total number of households (%)	56.8	75-80	CSO
3	Digital literacy level (percentage of respondents who declared they have carried out 5 or 6 of the specific Internet related activities) (%)	9	40-45	Eurostat
2.5 Energy security and the environment				
	<i>Main indicator:</i>			
1	Aggregate energy efficiency index (ODEX) (2000 = 100)	76.0 (2009)	63	CSO, Odysse base
2	FBI - Farmland Bird Index (2000 = 100)	88	90	GIEP/ CSO
	<i>Auxiliary indicators:</i>			
3	Energy intensity of the economy (kgoe/1000 €)	363.7 (2009)	Reduction of primary energy consumption to the level of ca. 96 Mtoe in 2020	Eurostat
4	Share of renewable energy in gross final energy consumption (%)	9.5	15	CSO
5	Change in greenhouse gas emissions compared to 1990 (%)	87.9	CO2 emissions reduction	NCEBM/ CSO
6	Reduction of biodegradable municipal waste going to landfill in the total amount by weight of BMW produced in 1995(%)	85	35	ME
7	Water quality indicator (%)	Class I - 1.1% (2008), Class II - 11.6% (2008)below Class III - 29.2%	Class I - 5%, Class II - 20%, below Class III - 15%	GIOS
2.7. Increasing the efficiency of transport				
	<i>Main indicator:</i>			
1	Inter-branch Transport Accessibility Indicator – ITAI	0.3795	improvement of 15.7%	PAS (report for MRD)
	<i>Auxiliary indicators:</i>			
2	Motorways (A) and expressways (D)	(A) 857.4 (D) 674.7	(A) 2000 (D) 2800	CSO on the basis of GDNRM data
3	Length of railway lines allowing for movement of passenger trains at speeds above 160km / h (in km)	0	350	SRT
4	Volume of goods in intermodal transport in the total load transported by rail (%)	2.03	5-6	CSO
III. Social and territorial cohesion				
3.1. Social integration				
	<i>Main indicator:</i>			
1	Risk of poverty or social exclusion (aggregate of three sub-indicators) (%)	27.8	20-23	Eurostat
	<i>Auxiliary indicators:</i>			
2	Early leavers from education and training (%)	5.4	4.5	CSO
3	Employment rate of people with disabilities aged 16-64 (%)	20.5	27	CSO
3.2. Providing access and certain standards of public services				
	<i>Main indicator:</i>			
1	Synthetic index of access to public services / for calculation			
3.3 Strengthening the diffusion mechanisms and spatial integration in order to develop and make a full use of the regional potentials				
	<i>Main indicator:</i>			



1	Share of Eastern Poland voivodeships in GDP (%)	15.2 (2008)	18-20	own calculations based on CSO data
<i>Auxiliary indicators:</i>				
2	<i>Population living within the 60-minute road isochrones from voivodeship cities (%)</i>	57.9 (2008)	68	PAS (report for MRD)
3	Non-farm income in rural households (%)	54	64	CSO

*Indicators highlighted blue are Polish indicators for Europe 2020.



INDICATORS DEFINITIONS

KEY INDICATORS

Ad 1) GDP growth rate (2010 = 100, constant prices)

The indicator shows the rate of growth of GDP in the base year 2010. (Source: CSO).

Ad 2) GDP per capita in PPS (EU27 = 100)

The value of gross domestic product per capita presented as a ratio of GDP per capita for Poland against the average level of GDP per capita in 27 European Union countries. GDP calculated by purchasing power parity (PPP) and expressed in the contractual currency unit PPS (Purchasing Power Standard) (Source: Calculations based on national data are performed by Eurostat).

Ad 3) Gross disposable income of households in total (2010 = 100)

The indicator shows the percentage increase in real income relative to the base year 2010 (Source CSO).shows the rate of growth of GDP in the base year 2010. (Source: CSO).

Ad 4) Public balance (%)

The difference between revenues and expenditure of the general government sector in structural terms, i.e. after correction by the impact of business cycle, temporary and one-off activities. The data are presented in relation to GDP and compiled in accordance with the principles of the European System of National Accounts (ESA95). ESA95 is an international methodology and accounting standard for a detailed description of the economy (i.e. regions, countries or group of countries), its components and relations with other economies (Source: MF).

Ad 5) Human development index (HDI) / / Ranking

A distance indicator, whose components include life expectancy at birth, mean years of schooling (for adults), expected years of schooling, net national income per capita (according to the methodology of PPP, in USD) (source: UNDP).

Ad 6) Global Competitiveness Index / / Ranking

An indicator of the capacity of individual countries for long-term economic growth, developed based on 12 interrelated pillars (institutions, infrastructure, macroeconomy, higher education and training, goods market efficiency, health and primary education, labour market efficiency, financial markets development, technological readiness, market size, business sophistication, innovation) (source: WEF - World Economic Forum).

Ad 7) Employment rate for persons aged 20-64 (%)

The share of the employed aged 20-64 in the total population of the same age group. The data presented are based on the Labour Force Survey (LFS), as an average per year. The study concerns the population living in private households, excluding residents of institutional households (for example, workers' hostels, student hostels, nursing homes).

The working population = total number of people who performed any work for at least one hour in the week when the survey was carried out, for which they received remuneration and the people who helped



(without pay) in conducting a family farm or a non-agricultural family business. It also includes people who have not worked, but had a job. (Source: CSO)

Ad 8) Average investment rate (%)

The ratio of gross fixed capital formation to GDP (source: CSO)

SPECIFIC INDICATORS
I. Effective and efficient state
1.1 Transition from administration to management

Ad 1, Ad 2) Government effectiveness (according to the World Bank); Regulatory quality (according to the methodology of the World Bank)

The World Bank adopts six indicators of good governance: Voice and Accountability, Political Stability and Absence of Violence, Government Effectiveness, Regulatory Quality, Rule of Law, Control of Corruption. The scale of indicators: from -2.5 to +2.5.

Ad 3) Position in the ranking of global competitiveness in terms of regulatory burden

See item 6 under the Key Indicators. The regulatory burden index is a part of the "institutions" pillar - the first of the 12 pillars of the Global Competitiveness ranking. (Source: WEF).

Ad 4) Use of the Internet for interaction between public authorities and citizens / / including for returning completed forms (%)

The percentage of individuals aged 16-74 using the Internet to interact with public administrations for private purposes within the 12 months preceding the survey (source: Eurostat)

1.2 Ensuring funds for development

Ad 1) The share of public expenditure on development-oriented goals in GDP (%)

The pro-development expenditure includes (COFOG classification):

- basic research and R&D in all categories,
- category of economic affairs: part of agriculture, forestry, fishing and hunting, transport, telecommunications,
- category of environmental protection: waste management, pollution reduction
- category of housing and utilities: water supply,
- category of recreation, culture and religion: cultural services.

The indicator shows the share of expenditure in GDP (%) (Source: IBS calculations based on CSO data)

1.3 Strengthening the conditions conducive for citizens' interests and activities
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Ad 1) Adults level of interpersonal trust (%)



The percentage of people aged 18 and over stating that other people can be trusted (Source: CBOS).

Ad 2) Average duration of debt collection through the courts (in days)

One of the components of the factors affecting the ease of doing business index (in days) specified in the Doing Business report. The report includes indicators presenting the quantitative assessment of regulations on starting a business, obtaining construction permits, employing workers, registering property, getting credit, protecting investors, paying taxes, trading across borders, enforcing contracts, getting electricity and the closure of business. (Source: Doing Business Report, World Bank).

Ad 3) Trust in public institutions (%)

The percentage of people that answered "I rather do" or "I definitely do" to the question: "Do you, in general, trust or not trust the listed institutions?" (Source: CBOS, report: Public trust).

Ad 4) Percentage of the population declaring activity in social organisations (%)

The percentage of people who - in the past 12 months - have spent their free time in voluntary and unpaid work in a non-governmental organization (association or foundation), institution, church or other organization (Source: CBOS, Social activity of Poles - the level of commitment and motivation, Warsaw, May 2011).

Ad 5) The share of area covered by the current spatial development plan in the total country geodesic area (%)

The area of the country covered by the current spatial development plan in the total country geodesic area (Source: own calculations based on CSO data).

Ad 6) The percentage of people who feel safe in the place they live (%)

The percentage of people who believe that their place of living is safe and quiet (Source: CBOS, Sense of security, the threat of crime and attitudes towards the death penalty, Warsaw, May 2011).

II. Competitive economy

2.1 Macroeconomic stability strengthening
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Ad 1) General government debt (ESA '95) (%)

Consolidated gross debt of general government. The data are presented in relation to GDP and compiled in accordance with the principles of the European System of National Accounts - ESA95 (source: CSO).

Ad 2) Share of exports in GDP (%)

Exports of goods and services in relation to GDP in current prices (source: CSO).

2.2. Increasing the economy productivity

Ad 1) Gross value added (GVA) per employee in PPS (EU27 = 100)



The value of products (goods and services) produced by national market and non-market entities, net of intermediate consumption in connection with its production, expressed in PPS (Purchasing Power Standard), per one employee, compared to the EU27 average (Source: calculations based on CSO Eurostat data).

Ad 2) Structure of employed persons by sector of the economy (sector I / II sector / sector III) (%)

It specifies the number of employees in individual sector of the economy in the total number of the employed. The indicators were developed based on the results LFS sample survey.

Sector I - agriculture, forestry, hunting and fishing,

Sector II - industry and construction,

Sector III - services.

(Source: CSO)

Ad 3) Share of fields of high and medium-high technology in value of sold production of products (%)

Share of fields of high and medium-high technology in value of sold production of products – in manufacturing enterprises employing over 49 people (source: CSO).

2.3 Increasing innovation in the economy

Ad 1) European Innovation Ranking

An instrument of the European Commission for measuring and comparing EU Member States in terms of innovation and identifying strengths and weaknesses of the research and innovation sector in the countries based on 25 indicators. The rating distinguishes between modest innovators (less than 50% of the EU27 average), moderate innovators (member with an index in the range between 50% below the EU27 average and 10% below the EU27 indicator), a group catching up with the leaders (innovation followers: members with an index in the range between 10% below the EU27 average and 20% above the EU27 average), and leaders of innovation (innovation leaders: 20% or more above the EU27 average) (Source: Union innovation Scoreboard: <http://www.proinno-europe.eu/inno-metrics/page/innovation-union-scoreboard-2010>).

Ad 2) Expenditure on R & D (GERD) (%)

Expenditure on R & D (including public) in relation to GDP (*Gross Domestic Expenditure on Research and Development, GERD*) - total research and development expenditure in the given country and in a specific unit of time (source: CSO).

Ad 3) Business Enterprise Expenditure on R&D (BERD) (%)

Expenditure of the enterprises sector on R & D in relation to GDP. This includes funds that finance research and development, whose equity investors are enterprises (source: Eurostat).

Ad 4) Share of students at technical and natural science faculties in the total number of students (%)

It concerns faculties classified as "science" and "technology, industry, construction"; excluding foreigners (source: CSO).



2.4 Human capital development

Ad 1) Employment rate for persons aged 15-24 / / 55-64 (%)

For people aged 15-24 years - the share of the employed aged 15-24 in the total population of the same age group. The data presented are based on Labour Force Survey (LFS), as an average per year.

For people aged 55-64 years - the share of the employed aged 55-64 in the total population of the same age group. The data presented are based on Labour Force Survey (LFS), as an average per year (source: CSO).

Ad 2) NEET

The percentage of people aged 25-29 years that are neither in employment nor in education or training (within 4 weeks preceding the survey) in the total population of the same age group (source: Eurostat).

Ad 3) Employment rate of women whose youngest child is aged up to 5 years (%)

Share of working women aged 15-64 whose youngest child's age did not exceed 5 years in the total number of women in the given age group (Source: LFS, Eurostat).

Ad 4) Percentage of children under the age of 3 years in formal child care (%)

The share of children under the age of 3 years that are enrolled in child care institutions for children aged up to 3 in the total number of children in that age group (in %).

Ad 5) Results of the PISA test - percentage of students below Level 2 in three areas: reading (C), mathematics (M) and science (P)

The results of competence tests of students aged 15 years - the percentage of students below Level 2 in three areas - reading, mathematics and science.

PISA stands for *Programme for International Student Assessment* - an international study coordinated by the [OECD](#). Its purpose is to provide comparable data about the skills of students who completed 15 years of age in order to improve the quality of teaching and organization of education systems. Seven levels are used in student assessment - the best students achieve level 5 or 6, while students having only very basic skills and knowledge achieve level 1a or 1b (source: PISA, OECD).

Ad 5a) Results of the PISA test - percentage of students over Level 4 in three areas: reading (C), mathematics (M) and science (P)

The results of competence tests of students aged 15 years - the percentage of students at 5 and 6 levels in three areas - science (P), mathematics (M) and Reading (C).

PISA stands for Programme for International Student Assessment - an international study coordinated by the [OECD](#). Its purpose is to provide comparable data about the skills of students who completed 15 years of age in order to improve the quality of teaching and organization of education systems. Seven levels are used in student assessment - the best students achieve level 5 or 6, while students having only very basic skills and knowledge achieve level 1a or 1b (source: PISA, OECD).

Ad 6) Early Childhood Education ratio (%) total / / urban / / rural



The percentage of children covered by preschool education from 4 years of age to the age of compulsory schooling. The preschool education institutions offer education-oriented child care. They may include schools or institutions managed by other entities than those responsible for education. They have to employ staff with specialist qualifications (source: CSO).

Ad 7) Share of 30-34 year olds with a tertiary or equivalent degree (%) total / / urban / / rural

The share of persons aged 30-34 with a tertiary or equivalent degree in the total population of the same age group. The data presented are based on Labour Force Survey (LFS), average per year. Tertiary degree is equivalent to 5th and 6th level of the International Standard Classification of Education (International Standard Classification of Education, in short ISCED) (source: CSO).

Ad 8) Adults in education and training (in %)

The share of persons aged 25-64 years in education and training in the total population of the same age group (within four weeks before the survey), data are presented based on the Labour Force Survey (LFS), average per year (source: CSO).

2.5. Ensuring the use of digital technologies in the economy

Ad 1) Percentage of individuals using the Internet regularly (%) total / / urban / / rural

Percentage of people aged 16-74 using the Internet regularly, for example at least once a week (source: CSO).

Ad 2) Households having access to the broadband Internet in the total number of households (%)

Broadband connections - the type of Internet connection characterized by a high speed information flow, measured in kb/s (kilobits per second) or Mbit/s (megabits per second). Due to rapid technological progress in the field of telecommunications, determination of the throughput limit (digital bandwidth), starting from which the connection is considered broadband, is likely to become obsolete soon after the adoption of the definition. Therefore, the Community research on ICT defines broadband based on the type of Internet connection. According to this definition, broadband access is enabled by the DSL technologies (ADSL, SDSL, etc.), cable network (cable modem), 3G mobile phones (UMTS, EDGE, etc.) and other, such as satellite links, fixed wireless connections (radio network). Broadband allows to transmit high-quality images, movies, watching TV or playing games online, telephoning over the Internet with the possibility to watch the caller and to use a variety of advanced Internet services (source: CSO).

Ad 3) Digital literacy level (percentage of respondents who declared they have carried out 5 or 6 of the specific Internet related activities) (%)

The percentage of respondents who declared that they have carried out 5 or 6 of the specific Internet-related activities: use of search engines, sending e-mails with attachments, using chat rooms, forums and discussion groups, making calls over the Internet, sharing files via peer-to-peer and web development (source: Eurostat).

2.6 Energy security and the environment

Ad 1) Aggregate energy efficiency index (ODEX) (2000 = 100)



ODEX is used to measure the increase in energy efficiency in the manufacturing, transport and households sector; it does not show the current level of energy intensity, but the improvement against the base year. It is calculated as a weighted average of the relative decrease (increase) of unit energy consumption in various sectors or areas of use in subsequent years. A decrease in value of the indicator means an increase in energy efficiency (for example, if the energy efficiency ratio in 2009 was 76.0%, this means that energy efficiency has improved by 24% compared to energy technologies and practices used in 2000) (source: CSO / Odyssee database).

Ad 2) FBI - Farmland Bird Index (2000 = 100)

The index of the population of a selected group of common breeding birds, characteristic for agricultural landscape. It has been created by averaging out the information about the population indexes of 22 species (base year 2000 = 100) (Source: CIEP / CSO).

Ad 3) Energy intensity of the economy (kgoe/1000 €)

The relation of gross national energy consumption to gross domestic product at constant prices from the base year (2000). This indicator measures the amount of energy needed to produce one unit of GDP and is given in kilograms of oil equivalent per 1,000 euro. A decrease in energy intensity means that less energy is needed to produce the same unit of GDP and it is related to increased energy efficiency. This indicator does not reflect the actual gap between the energy efficiency of the Polish and the EU economy due to differences in purchasing power, which means for example that the price levels of market or non-market goods and services vary (purchasing power of euro in Poland is higher than the EU average). The differences in the energy intensity of Poland and the EU at the physical level (e.g. energy consumption per production of a tonne of product) are much smaller (source: Eurostat).

Ad 4) Share of renewable energy in gross final energy consumption (%)

The share of renewable energy is calculated as the value of gross final energy consumption from renewable sources divided by the gross final energy consumption from all sources (%) (Source: CSO).

Ad 5) Change in greenhouse gas emissions compared to 1990 (%)

The change in aggregate emissions of six greenhouse gases (carbon dioxide, methane, nitrous oxide, hydro-fluoro-hydrocarbons, perfluoro-hydrocarbon, sulphur hexafluoride), weighted by global warming potentials with the base of 1990 = 100 (source: KOBIZE / CSO).

Ad 6) Reduction of biodegradable municipal waste going to landfill in the total amount by weight of BMW produced in 1995 (%)

Pursuant to the Act of 13 September 1996 on maintaining cleanliness and order in gminas, biodegradable municipal waste is waste generated by households, excluding the vehicles out of service, and waste that does not contain hazardous waste from other waste generators, which due to its nature or composition is similar to household waste, degradable by aerobic or anaerobic microorganisms. Landfills are facilities intended for waste storage. The method for calculating this indicator will be specified in the Regulation of the Minister of Environment *on the levels of reduction of the weight of biodegradable municipal waste going to landfill and the method of calculating the level of waste weight reduction* (Source: Ministry of Environment).

Ad 7) Water quality indicator (%)

The share of surface water according to the division of surface water into ecological quality classes pursuant to the Regulation of the Minister of Environment of 20 August 2008 on the classification of the condition of surface water bodies.



Class I - very good ecological status, Class II - good ecological status, class III - moderate ecological status, Class IV - poor ecological status, Class V - bad ecological status. (Source: CSO)

2.7. Increasing the efficiency of transport

Ad 1) Inter-branch Transport Accessibility Indicator – ITAI

The index is a synthetic qualitative measure of the potential time-availability of the most important national settlement units and transport nodes (internal and border) taking into account all the basic modes of transport (proportionally to their share in transport volume) and weighted with the level of socio-economic development. The measure can be calculated separately for the transport of goods and passengers, and divided into 16 voivodeships and four types of transport (road, rail, air and inland waterways). The indicator ranges from 0 to 1 (Source: The Academy of Sciences for MRR).

Ad2) Motorways (A) and expressways (D) (km)

(Source: CSO on the basis of GDNRM data)

Ad 3) Length of railway lines allowing for movement of passenger trains at speeds above 160km / h (in km)

(Source: MI)

Ad 4) Volume of goods in intermodal transport in the total load transported by rail (%)

(Based on Glossary for Transport Statistics- Eurostat, EKGON2, ITF): Intermodal transport is the movement of goods (in one and the same unit of intermodal transport) by successive modes of transport without handling of the goods themselves when changing modes. Intermodal transport unit may be - for example - a container, swap body, a road vehicle (source: CSO).



III. Social and territorial cohesion

3.1. Social integration

Ad 1) Risk of poverty or social exclusion (aggregate of three sub-indicators) (%)

The percentage of people who are at risk of poverty and/or deeper material deprivation and/ or live in households with very low labour intensity. The persons are counted only once, even if they are under several indicators (source: Eurostat).

Ad 2) Early leavers from education and training (%)

The share of persons aged 18-24 with at most lower secondary education who are not in education or training in the total population of the same age group. The data presented are based on Labour Force Survey (LFS), average per year (source: CSO).

Ad 3) Employment rate of people with disabilities aged 16-64 (%)

Share of workers with disabilities aged 16-64 in the total population of people with disabilities of the same age group. The data presented are based on Labour Force Survey (LFS), average per year (source: CSO).

3.2. Providing access and certain standards of public services

At this stage, there is no synthetic indicator of public services - the access to services will be measured by public opinion polls once in two years. In the meantime, a synthetic indicator will be developed.

3.3 Strengthening the diffusion mechanisms and spatial integration in order to develop and make a full use of the regional potentials

Ad 1) Share of Eastern Poland voivodeships in GDP (%)

The total share of Eastern Poland voivodeships, which includes the following voivodeships: Lubelskie, Podkarpackie, Podlaskie, Świętokrzyskie, Warmińsko-Mazurskie, in generating the national GDP (source: own calculations based on CSO data).

Ad 2) Population living within the 60-minute road isochrones from voivodeship cities (%)

The percentage of the population whose time of getting to the centre of the voivodeship capital is less than 60 minutes (Source: Institute of Geography and Spatial Organization, Academy of Sciences).

Ad 3) Non-farm income in rural households (%)

The total share of "income from hired work" and "income from self-employment" categories in the category of "disposable income (rural areas)" (source: CSO).



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PROJEKT WSPÓŁFINANSOWANY ZE ŚRODKÓW
EUROPEJSKIEGO FUNDUSZU ROZWOJU REGIONALNEGO

